



# ***UNITY UNIVERSITY***

***COLLEGE OF BUSINESS, ECONOMICS & SOCIAL SCIENCES***

***DEPARTMENT OF ACCOUNTING & FINANCE***



## **FUNDAMENTALS OF ACCOUNTING II (ACFN 202)**

**PRE- REQUISITE: FUNDAMENTALS OF ACCOUNTING I (ACFN 201)**



## Department of Accounting and Finance

### Course Module

#### Course overview

|                              |                           |
|------------------------------|---------------------------|
| <b>Course title:</b>         | Fundamental Accounting II |
| <b>Course number:</b>        | ACFN 202                  |
| <b>Course credit hours:</b>  | 3                         |
| <b>Course contact hours:</b> | 4                         |
| <b>Total hours</b>           | 60                        |
| <b>Pre-requisite course</b>  | ACFN 201                  |

#### Course description

Fundamental Accounting II provides full introduction coverage of accounting for Inventory, Property Plant and Equipment, Intangible assets, Natural resources, Current Liabilities, Ethiopian Payroll system, Accounting for companies in Ethiopia, Partnerships in Ethiopia, and Public enterprises in Ethiopia.

#### Course Objectives

After completing this course, students are expected o:

- Describe inventory accounting
- Deal with accounting for depreciation, depletion and amortization
- Describe accounting for current liabilities and
- Discuss accounting for business organized as partnership
- Describe accounting for companies as per Ethiopian Commercial code

#### Evaluation



**The evaluation scheme will be as follows:**

| Component                          | Weight | Coverage     |
|------------------------------------|--------|--------------|
| Attendance and Class participation | 5%     | 80% of Class |
| Test 1                             | 10%    | Chapter 1 &2 |
| Test 2                             | 10%    | Chapter 3&4  |
| Test 3                             | 10%    | Chapter 5 &6 |
| Individual and Group Assignment    | 15%    | All Chapters |
| Final Exam                         | 50%    | All Chapters |

**Text and reference books**

- ❖ Kieso, D. E., Weygandt, J. J., & Warfield, T. W. (2016). Financial Accounting, IFRS Edition, New York: John Willey & Sons.
- ❖ Jerry J. Weygandt, Paul D. Kimmel & Donald E. Kieso. (2012). Accounting Principles, 10<sup>th</sup> Edition, New York: John Willey & Sons.
- ❖ Carl S. Warrner, James M. Reeve, & Jonathan Duchac. (2009). Principles of Accounting, 23<sup>rd</sup> Edition, South-Western Cengage Learning Academic Resource Center US.
- ❖ Commercial Code of Ethiopia
- ❖ Income tax Proclamation number 979/2016
- ❖ Regulation number 78/2002
- ❖ Proclamation number 907/2015

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## **Chapter 1: Accounting for Inventories (12 hrs)**

### **Session 1**

#### **1.1 Introduction to the Nature and Importance of Inventories**

##### **Session learning objective:**

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After the end of this session, students are expected to:

- Explain the meaning of inventories
- Describe the importance of inventories
- Describe the internal control of inventories
- Explain the effect of Inventory errors on the Financial Statements

## Reading text

### 1.1.1 Nature of Inventory

**International Accounting Standard (IAS) 2 defines inventory as-**

*Inventories* are assets:

- (a) held for sale in the ordinary course of business;
- (b) In the process of production for such sale; or
- (c) In the form of materials or supplies to be consumed in the production process or in the rendering of services.

How a company classifies its inventory depends on whether the firm is a merchandiser or a manufacturer.

- Merchandisers need only one inventory classification, **merchandise inventory**, to describe the many different items that make up the total inventory.
  - In a *manufacturing* company, some inventory may not yet be ready for sale. As a result, manufacturers usually classify inventory into three categories. These are:
    - ✓ Finished goods
    - ✓ Work in process and
    - ✓ Raw materials.
1. **Finished goods inventory:** is the cost identified with manufactured items that are completed and ready for sale.
  2. **Work in process:** is that portion of manufactured inventory that has been placed into the production process but is not yet complete. Specifically cost of raw material, direct labor cost applied in to this material and allocated manufacturing overhead costs.
  3. **Raw materials** are the basic goods that will be used in production but have not yet been placed into production.



The accounting concepts discussed in this chapter is applied to the inventory classifications of merchandising business i.e. ***merchandising inventory***

### **1.1.2 Importance of Inventories**

Merchandise purchased and sold is the most active elements in merchandising business, i.e. in wholesale and retail type of businesses. This is due to the following reasons:

1. The sale of merchandise is the principal source of revenue for them.
2. The cost of merchandise sold is the largest deductions from sales.
3. Inventories (ending inventories) are the largest of the current assets or those firms.

Because of the above reasons inventories, have effects on the current and the following period's financial statements. If inventories are misstated (understated or overstated), the financial statements will be distorted.

### **1.1.3 Internal Control of Inventories**

Internal controls are put in place to keep the company on course towards growth and profitability and the achievement of its mission. The internal control system enables management to deal with rapidly changing economic and competitive environment, selecting the best options and planning for growth.

The following topics related to the inventory internal control process:

1. Types of documents and records.
  2. The major functions.
  3. The key segregation of duties
1. **Documents and Records Included in the Inventory Control Process includes:**
    - Receiving report
    - Inventory General Ledger
    - Cost accumulation and variance report
    - Inventory status report
    - Shipping order
  2. **Functions in the Inventory Management Process**



- **Inventory management:** Authorization of purchasing activity and maintenance of inventory at appropriate levels; issuance of merchandise inventory purchase requisitions to the purchasing department
- **Purchasing:** Purchase of merchandise inventory.
- **Purchased goods stores:** Custody of purchased inventory and issuance of merchandise inventory to the shipping department.

### 3. Key Segregation of Duties in the Inventory Management Process and Possible Errors or Fraud

The inventory purchase, the merchandise inventory stores function, the inventory recording function and the responsibility for supervising physical inventory should be separated.

Unless inventory is properly controlled or misstated (understated or overstated) the Financial statement will be distorted.

## 1.2 The Effects of Inventories on the Financial Statements

Unfortunately, errors occasionally occur in accounting for inventory. In some cases, errors are caused by failure to count or price the inventory correctly. In other cases, errors occur because companies do not properly recognize the transfer of legal title to goods that are in transit. When errors occur, they affect both the income statement and the statement of financial position. In the following page an error on inventory and its impact on each of the financial statement is presented in the following page:

### I. Income Statement Effects

Under a periodic inventory system, both the beginning and ending inventories appear in the income statement. The ending inventory of one period automatically becomes the beginning inventory of the next period. Thus, inventory errors affect the computation of cost of goods sold and net income in two periods. The effects on cost of goods sold can be computed by entering incorrect data in the formula and then substituting the correct data.

**Cost of**

**Cost of**



$$\text{Beginning Inventory} + \text{Goods Purchased} - \text{Ending Inventory} = \text{Goods Sold}$$

If the error understates *beginning* inventory, cost of goods sold will be understated. If the error understates *ending* inventory, cost of goods sold will be overstated.

***The effects of inventory errors on the current year's income statement:***

| When Inventory Error:           | Cost of Goods Sold Is: | Net Income Is: |
|---------------------------------|------------------------|----------------|
| Understates beginning inventory | Understated            | Overstated     |
| Overstates beginning inventory  | Overstated             | Understated    |
| Understates ending inventory    | Overstated             | Understated    |
| Overstates ending inventory     | Understated            | Overstated     |

So far, the effects of inventory errors are fairly straightforward. Now, though, comes the (at first) surprising part: An error in the ending inventory of the current period will have a **reverse effect on net income of the next accounting period**.

## II. Statement of Financial Position Effects

Companies can determine the effect of ending inventory errors on the current period statement of financial position by using the basic accounting equation:

$$\text{Assets} = \text{Liabilities} + \text{Equity}.$$

Errors in the current period ending inventory have the effects shown below:

| Ending Inventory Error | Assets      | Liabilities | Equity      |
|------------------------|-------------|-------------|-------------|
| Overstated             | Overstated  | No effect   | Overstated  |
| Understated            | Understated | No effect   | Understated |

### Lecture synopsis

#### ➤ *The meaning of inventories*

- Merchandise company inventory represents goods that are controlled and held for sale in the ordinary course of the business.
- Manufacturing inventories are:
  - Finished Goods Inventory: goods completed and ready for sale
  - Work in process Inventory: materials in process and not yet completed
  - Raw material inventory: Material on hand but not yet placed in to production



➤ ***Importance of Inventories***

- Most active element
- Major source of revenue
- The largest amount in Statement of Financial Position
- Major item in Income Statement

➤ ***Internal Control system over inventory: which involves***

- Types of documents and records.
- The major functions.
- The key segregation of duties

➤ **The effects of inventories error:**

- On current period Financial Statements
- On the following period Financial Statement

**Warp- up discussion questions:**

- a. Why do we consider inventories the most active elements of merchandising business?
- b. Why does an error in ending inventory affect two accounting periods?

**Next day's assignment:**

**Study the following topics:**

- Periodic inventory system
- Perpetual inventory system

**Session 2**

**1.3 Cost of inventories and Inventory Systems**

**Learning objective:**

**After the end of this session, students are expected to:**

- Describe costs included in inventory
- Identify and describe the two principal inventory systems

**Reading Assignment Discussion:**



- a. What are the costs included in the purchase price of inventory?
- b. How is periodic inventory system different from perpetual inventory system?
- c. When is the use of each system appropriate?

## Reading text

### 1.3.1 Cost of inventories

The cost of inventories shall comprise all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

#### Cost of inventory categorized as:

##### A. Costs of purchase

The costs of purchase of inventories comprise the purchase price, import duties and other taxes (other than those subsequently recoverable by the entity from the taxing authorities), and transport, handling and other costs directly attributable to the acquisition of finished goods, materials and services. Trade discounts, rebates and other similar items are deducted in determining the costs of purchase.

##### B. Costs of conversion

The costs of conversion of inventories include costs directly related to the units of production, such as direct labor. They also include a systematic allocation of fixed and variable production overheads that are incurred in converting materials into finished goods. Fixed production overheads are those indirect costs of production that remain relatively constant regardless of the volume of production, such as depreciation and maintenance of factory buildings and equipment, and the cost of factory management and administration. Variable production overheads are those indirect costs of production that vary directly, or nearly directly, with the volume of production, such as indirect materials and indirect labor.

### 1.3.2 Inventory Recording System

#### Periodic System Verses Perpetual System

Recording inventory related transaction can be made using one of the following systems

##### a. Periodic inventory system



Under a **periodic inventory system**, a company determines the quantity of inventory on hand only periodically, as the name implies. It records all acquisitions of inventory during the accounting period by debiting the Purchases account. A company then adds the total in the Purchases account at the end of the accounting period to the cost of the inventory on hand at the beginning of the period. This sum determines the total cost of the goods available for sale during the period.

To compute the cost of goods sold, the company then subtracts the ending inventory from the cost of goods available for sale. Note that under a periodic inventory system, the cost of goods sold is a residual amount that depends on a physical count of ending inventory. This process is referred to as “taking a physical inventory.” Companies that use the periodic system take a physical inventory at least once a year.

The journal entries to be prepared are:

1. *At the time of purchase of merchandise:*

|                          |    |           |
|--------------------------|----|-----------|
| Purchases                | XX | } at cost |
| Accounts payable or cash | XX |           |

2. *At the time of sale of merchandise:*

|                             |    |                   |
|-----------------------------|----|-------------------|
| Accounts receivable or cash | XX | } at retail price |
| Sales                       | XX |                   |

3. *To record purchase returns and allowance:*

|                                |    |    |
|--------------------------------|----|----|
| Accounts payable or cash       | XX |    |
| Purchase returns and allowance |    | XX |

4. *To record adjusting entry or closing entry for merchandise inventory:*

|                                   |    |    |
|-----------------------------------|----|----|
| Income Summary                    | XX |    |
| Merchandise inventory (beginning) |    | XX |

*To close beginning inventory*

|                                |    |    |
|--------------------------------|----|----|
| Merchandise inventory (ending) | XX |    |
| Income summary                 |    | XX |



*To record ending inventory*

## b. Perpetual Inventory System

In a **perpetual inventory system**, companies keep detailed records of the cost of each inventory purchase and sale. These records continuously—perpetually— show the inventory that should be on hand for every item. The accounting features of a perpetual inventory system are as follows.

1. Purchases of merchandise for resale or raw materials for production are debited to Inventory rather than to Purchases.
2. Freight-in is debited to Inventory, Transportation-in account. Purchase returns and allowances and purchase discounts are directly credited to Inventory rather than to separate accounts.
3. Cost of goods sold is recorded at the time of each sale by debiting Cost of Goods Sold and crediting Inventory at cost.
4. A subsidiary ledger of individual inventory records is maintained as a control measure. The subsidiary records show the quantity and cost of each type of inventory on hand.

Management must choose the system or combination of systems that is best for achieving the company's goal. Journal entries under perpetual system are presented in the following page:

### Journal entries to be prepared are:

*1. At the time of purchase of merchandise*

|                                     |    |           |
|-------------------------------------|----|-----------|
| Merchandise inventory               | XX | } at cost |
| Accounts payable/cash               | XX |           |
| <i>To record cost of goods sold</i> |    |           |

*2. At the time of sale of merchandise*

|                                          |                             |    |                   |
|------------------------------------------|-----------------------------|----|-------------------|
|                                          | Accounts receivable or cash | XX | } at retail price |
|                                          | Sales                       | XX |                   |
| ➤ To record the sales                    |                             |    |                   |
|                                          | Cost of goods sold          | XX | } at cost         |
|                                          | Merchandise inventory       | XX |                   |
| ➤ To record the cost of merchandise sold |                             |    |                   |



3. To record purchase returns and allowances
 

|                          |    |    |  |
|--------------------------|----|----|--|
| Accounts payable or cash | XX |    |  |
| Merchandise inventory    |    | XX |  |
4. To record purchase discount taken
 

|                       |    |    |  |
|-----------------------|----|----|--|
| Accounts payable      | XX |    |  |
| Merchandise Inventory |    | XX |  |
5. To record cash paid for transportation under FOB shipping point
 

|                       |    |    |  |
|-----------------------|----|----|--|
| Merchandise Inventory | XX |    |  |
| Cash                  |    | XX |  |

No adjusting entry or closing entry for merchandise inventory is needed at the end of each accounting period.

### Illustration

In its beginning inventory on Jan 1, 2017, Glory Company had 120 units of merchandise that cost Br. 8 Per unit. The following transactions were completed during 2017.

- February 5 Purchased on credit 150 units of merchandise at Br. 10 per unit.
- 9 Returned 20 defective units from February 5 purchases to the supplier.
- June 15 Purchased for cash 230 units of merchandise at Br 12 per unit.
- September 6 Sold 220 units of merchandise for cash at a price of Br. 16 per unit. These goods are: 120 units from the beginning inventory and 100 units for February Purchases.

December 31 260 units are left on hand, 30 units from February 5 purchases.

Required: Prepare general journal entries for Glory Company to record the above transactions and adjusting or closing entry for merchandise inventory on December 31,

- a) Periodic inventory system
- b) Perpetual inventory system

### Solution

| Date       | Periodic inventory system                                           | Perpetual inventory system             |
|------------|---------------------------------------------------------------------|----------------------------------------|
| February 5 | Purchase.....1,500<br>A/P.....1,500                                 | Inventory .....1,500<br>A/P .....1,500 |
|            | -To record purchase of merchandise inventory on credit of Br. 1,500 |                                        |
| February 9 | A/P..... 200<br>Purchase return and allowance 200                   | A/P .....200<br>Inventory .....200     |
|            | - To record return of 20 unit @ br. 10 each defective inventory     |                                        |
| June 15    | Purchase .....2,760<br>Cash.....2,760                               | Inventory.....2,760<br>Cash.....2,760  |



|         |                                                                                                                              |                                                     |
|---------|------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------|
|         | - To record purchase of inventory on cash (230 unit @br. 12 each)                                                            |                                                     |
| Sept. 6 | Cash .....3,520<br>Sales Revenue.....3,520                                                                                   | Cash .....3,520<br>Sales Revenue.....3,520          |
|         | - To record sales revenue of merchandise sold                                                                                |                                                     |
|         | No entry                                                                                                                     | Cost of goods sold.....1,960<br>Inventory.....1,960 |
|         |                                                                                                                              | - To record the cost of merchandise sold            |
| Dec. 31 | Income summary ..... 960<br>Inventory (beginning bal.)..960<br>Inventory (ending bal. )...2,960<br>Income summary .....2,960 | <b>No adjusting entry</b>                           |
|         | -To record the update of inventory ledger                                                                                    |                                                     |

### Lecture Synopsis:

#### 1. Cost of inventory includes

- Cost of purchase- for a merchandising business and
- Cost of conversion for a manufacturing business

#### 2. Periodic inventory system

- For purchase of merchandise:  
Purchase.....XXX  
Cash (A/P).....XXX
- For sale of merchandise:  
Cash (A/R).....XXX  
Sales .....XXX
- Contra purchase account are maintained
- Physical count at the end of the fiscal period
- Two adjusting entries
- It could weaken the control over inventory
- Used for low cost high volume items

#### 3. Perpetual inventory system

- For purchase of merchandise  
Inventory .....XXX  
Cash (A/P).....XXX



- For sale of merchandise

|                    |                            |
|--------------------|----------------------------|
| Cash (A/R).....XXX | Cost of goods sold.....XXX |
| Sales.....XXX      | Inventory.....XXX          |

- Physical counting at the end of the fiscal period
- It could contribute towards the strength of control over inventory
- Used for high cost low volume items

### Warp-up discussion questions:

What would be the accounting treatment if there is a difference between the inventory record and the physical counting in perpetual inventory system?

### Next week's assignment

Jupiter Trading distributes computers to retail stores and extends credit terms of 1/10, n/30 to all of its customers. At the end of June, Jupiter's inventory consisted of Computers costing Br. 12,200. During the month of July, the following merchandising transactions occurred.

July 1 Purchased Computers on account for Br. 150,000 from Dera Trading, FOB destination, terms 2/10, n/30. The appropriate party also made cash payment of Br. 1,000 for freight on this date.

3. Sold Computers on account to Book World for Br. 55,200. The cost of suitcases sold is Br. 40,800.

9. Paid Dera Trading in full.

12. Received payments in full from Book World.

17. Sold Computers on account to ABC Electronics shop for Br. 62,500. The cost of the Computers sold were Br. 50,000.

18. Purchased Computers on account for Br. 70,000 from XYZ Company, FOB shipping point, terms 1/10, n/30. The appropriate party also made cash payment of Br. 1,500 for freight on this date.

20. Received Br. 5,500 credit (including freight) for Computers returned to XYZ Co.

21. Received payment in full from ABC Electronics shop.

22. Sold Computers on account to Kelem Trading for Br. 25,000. The cost of Computers sold were Br. 19,531.25.



30 Paid to XYZ Company in full.

31 Granted Kelem Trading Br. 2,000 credit for Computers returned costing Br. 1,552.5.

Jupiter Trading's chart of accounts includes the following: No. 101 Cash, No. 112 Accounts Receivable, No. 120 Inventory, No. 201 Accounts Payable, No. 401 Sales Revenue, No. 412 Sales Returns and Allowances, No. 414 Sales Discounts, and No. 505 Cost of Goods Sold.

### ***Instructions***

Journalize the transactions for the month of July for Jupiter Trading using

- a. Perpetual inventory system.
- b. Periodic inventory system assuming the ending inventory costing Br. 106,921.25

### **Next Session reading assignment:**

- ✓ Goods in transit
- ✓ FOB shipping point
- ✓ FOB Destination
- ✓ Goods on consignment

## **Session 3**

### **1.4 Determining Inventory Quantities**

#### **Learning objective:**

At the end of this session, students are expected to:

- Describe taking a physical inventory
- Identify the procedures for determining the actual quantity in inventory and determining ownership of goods

#### **Reading assignment questions**

- a. What are the goods included in ending inventory quantity?
- b. What is the difference between FOB shipping point and FOB Destination?

### **Reading text**

#### **Determining actual quantities in the inventory**



Determining inventory quantities involves two steps:

- (1) Taking a physical inventory of goods on hand and
- (2) Determining the ownership of goods.

### **A. Taking a Physical Inventory**

Companies take a physical inventory at the end of the accounting period. Taking a physical inventory involves actually counting, weighing, or measuring each kind of inventory on hand.

### **B. Determining control (ownership) of Goods**

One challenge in computing inventory quantities is determining what inventory a company controls. To determine ownership of goods, two questions must be answered: Do all of the goods included in the count belong to the company? Does the company control any goods that were not included in the count?

#### **I. Goods In Transit**

The company may have purchased goods that have not yet been received, or it may have sold goods that have not yet been delivered. To arrive at an accurate count, the company must determine ownership of these goods. Goods in transit should be included in the inventory of the company that has legal title to the goods. Legal title is determined by the terms of the sale.

1. When the terms are **FOB (free on board) shipping point**, ownership of the goods passes to the buyer when the buyer's carrier accepts the goods from the seller.
2. When the terms are **FOB destination**, ownership of the goods remains with the seller until the goods reach the buyer.

#### **II. Consigned Goods**

In some lines of business, it is common to hold the goods of other parties and try to sell the goods for them for a fee, but without taking control of the goods. These are called **consigned goods**.

For example, you might have a used car that you would like to sell. If you take the item to a dealer, the dealer might be willing to put the car on its lot and charge you a commission if it is sold. Under this agreement, the dealer **would not take ownership** of the car, which would still belong to you. Therefore, if an inventory count were taken, the car would not be included in the dealer's inventory.

### **Synopsis of Lecture**

---



**1. Inventory quantity determination involves checking:**

- Items physically owned by the company itself and unsold at year end
- Goods in transit and where ownership transferred to the buyer at point of sale
- Goods-on-consignment that is agent/principal agreement

**Wrap-up discussion questions:**

- a. XYZ Company, found in Addis, purchased goods from ABC Company, found in Gonder, on FOB shipping point terms. Who will cover transportation charges?
- b. Assume these goods (maintained above) are in transit at the end of accounting period. In which Company's inventories do we include these goods?

**Next day's assignment**

Study the following topics:

Study the following topics:

- First In First Out (FIFO) method
- Average cost method
  1. Moving Average Cost – Perpetual Inventory System
  2. Weighted Average Cost – Periodic Inventory System
- Specific Identification Method

**Session 4**

**1.5 Inventory costing method**

**Learning Objective:**

At the end of this session, students are expected to:

- ✓ Aware of the most common inventory costing methods
- ✓ Compare the effect of the different method on operating results

**Reading assignment discussion:**

- a. What are the inventory costing methods?
- b. How do you differentiate each method?

**Reading text**



## Inventory costing methods

After ending inventory quantities are determined by counting, checking goods in transit and on consignment, the next step is identifying the monetary value of the inventory. The inventory costing method is applied to do so. IFRS requires companies to use the same cost flow assumption for all goods of a similar nature. In the following pages different costing methods are presented:

### I. Specific Identification

Specific identification calls for identifying each item sold and each item in inventory. IFRS actually requires that the specific identification method be used where the inventory items are not interchangeable (i.e., can be specifically identified). If the inventory items are not specifically identifiable, a cost flow assumption is used. Specific identification matches actual costs against actual revenue. Thus, a company reports ending inventory at actual cost. In other words, under specific identification the cost flow matches the physical flow of the goods.

NB: Instead, rather than keep track of the cost of each particular item sold, most companies make assumptions, called *cost flow assumptions, about which units were sold*.

### II. Cost Flow Assumptions

Because specific identification is often impractical, other cost flow methods are permitted. These differ from specific identification in that they **assume** flows of costs that may be unrelated to the physical flow of goods. There are two assumed cost flow methods:

1. First-in, first-out (FIFO)
2. Average-cost

#### a. First-in, first-out (FIFO) method

The FIFO method assumes that the earliest goods purchased are the first to be sold. Often reflects the actual physical flow of merchandise. Under FIFO, the costs of the earliest goods purchased are the first to be recognized as cost of goods sold. The costs of the most recent goods purchased are recognized as the ending inventory. FIFO method assumes *earliest goods* purchased are the first to be sold

#### b. Average-cost method



As the name implies, the average-cost method prices items in the inventory on the basis of the average cost of all similar goods available during the period. The average cost method assumes that the goods available for sale are homogeneous. The allocation of the cost of goods available for sale is made on the basis of the weighted average unit cost incurred. The weighted average unit cost is then applied to the units sold to determine the cost of goods sold and to the units on hand to determine the ending inventory. Allocation of the cost of goods available for sale in average cost method is made on the basis of the weighted average unit cost. Average cost method assumes that goods available for sale are homogeneous.

## I. Inventory Costing Methods Under Periodic Inventory System

A periodic inventory system determines cost of merchandise sold and inventory at the end of the period.

Beza Company began the year and purchased merchandise as follows:

|         |                     |                   |          |                   |
|---------|---------------------|-------------------|----------|-------------------|
| Jan-1   | Beginning inventory | 80 units@         | Br. 60 = | Br. 4,800         |
| Feb. 16 | Purchase            | 400 units@        | 56 =     | 22,400            |
| Sep. 2  | Purchase            | 160 units @       | 50 =     | 8,000             |
| Nov. 26 | Purchase            | 320 units@        | 46 =     | 14,720            |
| Dec. 4  | Purchase            | <u>240 units@</u> | 40 =     | <u>9,600</u>      |
|         | Total               | <u>1200 units</u> |          | Br. <u>59,520</u> |

### *Example*

From the above illustration, the ending inventory consists of 300 units, 100 from each of the last purchases. So, the items on hand are specifically known from which purchases they are:

### A. Specific Identification Method

Cost of ending inventories under specific identification method

$$\text{Br. } 40 \times 100 = \text{Br. } 4,000$$

$$\text{Br. } 46 \times 100 = 4,600$$

$$\text{Br. } 50 \times 100 = 5,000$$

$$\underline{\underline{300 \text{ units Br. } 13,600}}$$

$$\text{Cost of Ending inventory cost} = \text{Br. } \underline{\underline{13,600}}$$

$$\begin{aligned} \text{The cost of merchandise sold} &= \text{Cost of goods available for sale} - \text{Ending inventory} \\ &= \text{Br. } 59,520 - \text{Br. } 13,600 \end{aligned}$$



$$= \text{Br. } 45,920$$

### B. FIFO Method

The cost of ending inventory under FIFO method

$$= \text{Br. } 40 \times 240 \dots\dots\dots \text{Br. } 9,600$$

$$= \text{Br. } 46 \times \underline{60} \dots\dots\dots \underline{2,760}$$

$$300 \text{ units } \dots\dots\dots \underline{\text{Br. } 12,360}$$

$$\text{Cost of Ending inventory } \text{Br. } 12,360$$

$$\text{Cost of merchandise sold} = \text{Br. } 59,520 - \text{Br. } 12,360$$

$$\underline{\text{Br. } 47,160}$$

### C. Weighted Average Method

To calculate the cost of ending inventory, we will calculate first the cost per unit of goods available for sale

$$\text{Average cost per unit} = \frac{\text{Cost of goods available for sale}}{\text{Total units available for sale}}$$

Then the weighted average unit cost is multiplied by units on hand at the end of the period to calculate the cost of ending inventory. Also, the same average unit cost is applied in the computation of cost of goods sold.

As an example, take the previous illustration

$$\text{Weighted average unit cost} = \frac{\text{Br. } 59,520}{1,200} = \text{Br. } 49.60$$

$$\text{Ending inventory cost} = \text{Br. } 49.60 \times 300$$

$$= \underline{\text{Br. } 14,880}$$

$$\text{Cost of merchandise sold} = \text{Br. } 59,520 - \text{Br. } 14,880$$

$$= \underline{\text{Br. } 44,640}$$

## Inventory Costing Methods under Perpetual Inventory System



Under perpetual inventory systems we will apply the inventory costing methods each time sale of merchandise is made.

***Illustration:***

The beginning inventory, purchases and sales of Nesru Company for the month of January were presented in the next page:

|        |           | <i>Units</i> | <i>Cost</i> |
|--------|-----------|--------------|-------------|
| Jan. 1 | Inventory | 15           | Br. 10.00   |
| 6      | Sale      | 5            |             |
| 10     | purchase  | 10           | Br. 12.00   |
| 20     | Sale      | 8            |             |
| 25     | purchase  | 8            | Br. 12.50   |
| 27     | Sale      | 10           |             |
| 30     | purchase  | 15           | Br. 14.00   |

The solution of inventory costing method under perpetual FIFO presented in the following page:

**First-in first-out Method**

| Date | Purchase |           |            | Cost of merchandise sold |           |            | Inventory Balance |           |            |
|------|----------|-----------|------------|--------------------------|-----------|------------|-------------------|-----------|------------|
|      | Qty      | Unit Cost | Total cost | Qty                      | Unit cost | Total cost | Qty               | Unit cost | Total cost |
|      |          |           |            |                          |           |            |                   |           |            |



|                                                             |    |           |           |    |           |            |    |           |            |
|-------------------------------------------------------------|----|-----------|-----------|----|-----------|------------|----|-----------|------------|
| Jan. 1                                                      |    |           |           |    |           |            | 15 | Br. 10.00 | Br. 150.00 |
| 6                                                           |    |           |           | 5  | Br. 10.00 | Br. 50.00  | 10 | 10.00     | 100.00     |
| <b>College of Business, Economics &amp; Social Sciences</b> |    |           |           |    |           |            |    |           |            |
| 10                                                          | 10 | Br. 12.00 | Br.120.00 |    |           |            | 10 | 10.00     | 100.00     |
|                                                             |    |           |           |    |           |            | 10 | 12.00     | 120.00     |
| 20                                                          |    |           |           | 8  | 10.00     | 80.00      | 2  | 10.00     | 20.00      |
|                                                             |    |           |           |    |           |            | 10 | 12.00     | 120.00     |
| 25                                                          | 8  | 12.50     | 100.00    |    |           |            | 2  | 10.00     | 20.00      |
|                                                             |    |           |           |    |           |            | 10 | 12.00     | 120.00     |
|                                                             |    |           |           |    |           |            | 8  | 12.50     | 100.00     |
| 27                                                          |    |           |           | 2  | 10.00     | 20.00      | 2  | 12.00     | 24.00      |
|                                                             |    |           |           | 8  | 12.00     | 96.00      | 8  | 12.50     | 100.00     |
| 30                                                          | 15 | 14.00     | 210.00    |    |           |            | 2  | 12.00     | 24.00      |
|                                                             |    |           |           |    |           |            | 8  | 12.50     | 100.00     |
|                                                             |    |           |           |    |           |            | 5  | 14.00     | 210.00     |
|                                                             |    |           |           | 23 |           | Br. 246.00 | 25 |           | Br. 334.00 |

The assignment of costs to goods sold and inventory using FIFO is the same for both the perpetual and periodic inventory systems, because each withdrawal of goods is from the oldest stock on hand. The oldest is the same whether we use periodic inventory system or perpetual inventory system.

So, the cost of merchandise sold and ending inventory under perpetual- FIFO method are Br. 246 and Br. 334 respectively.

Let us see them under periodic - FIFO method in the following page:

$$\begin{aligned}
 \text{Units on hand} &= \text{units available for sale} - \text{units sold} \\
 &= (15 + 10 + 8 + 15) - (5 + 8 + 10) \\
 &= 48 - 23 = 25
 \end{aligned}$$

$$\text{Cost of ending inventory} = \text{Br. } 14 \times 15 = \text{Br. } 210$$

$$\text{Br. } 12.50 \times 8 = 100$$

$$\text{Br. } 12 \times 2 = \underline{24}$$

$$\text{Br. } \underline{334}$$

$$\text{Cost of goods available for sale} = \text{Br. } 120 + \text{Br. } 100 + \text{Br. } 210 = \text{Br. } \underline{580}$$

$$\text{Cost of goods sold} = \text{Br. } 580 - \text{Br. } 334 = \underline{\text{Br. } 246}$$



So, the same results of cost of goods sold and ending inventory under both periodic inventory systems.

### Moving average cost method.

Under this method, the average unit cost is calculated each time purchased is made to be applied on the sales made after the purchases. The results may be different under periodic and perpetual inventory system.

Tabular presentation of inventory costing under perpetual Moving average system is presented in the following page:

### Moving Average cost method

| Date   | Purchase |           |            | Cost of merchandise sold |           |            | Inventory |                                 |            |
|--------|----------|-----------|------------|--------------------------|-----------|------------|-----------|---------------------------------|------------|
|        | Qty      | Unit cost | Total cost | Qty                      | Unit cost | Total cost | Qty       | Unit cost                       | Total cost |
| Jan. 1 |          |           |            |                          |           |            | 15        | Br. 10.00                       | Br. 150.00 |
| 6      |          |           |            | 5                        | Br. 10.00 | Br. 50.00  | 10        | 10.00                           | 100.00     |
| 10     | 10       | 12.00     | Br. 120.00 |                          |           |            | 20        | $11.00 = \frac{100+120}{10+10}$ | 220.00     |
| 20     |          |           |            | 8                        | 11.00     | 88.00      | 12        | 11.00                           | 132.00     |
| 25     | 8        | 12.00     | 100.00     |                          |           |            | 20        | $11.60 + \frac{132+100}{12+8}$  | 232.00     |
| 27     |          |           |            | 10                       | 11.60     | 116.00     | 10        | 11.60                           | 116.00     |
| 30     | 15       | 14.00     | 210.00     |                          |           |            | 15        | $13.04 = \frac{116+210}{10+15}$ | 326.00     |
|        |          |           |            | 23                       |           | Br254.00   | 25        | Br. 13.04                       | Br 326.00  |

### Comparison of Inventory Costing Methods



## Income Statement Effects

In periods of rising prices, FIFO reports the highest net income and average cost falls in the lowest. The reverse is true when prices are falling. When prices are constant, all cost flow methods will yield the same results.

## Statement of Financial Position Effect

FIFO produces the best statement of financial position valuation since the inventory costs are closer to their current or net realizable value, costs.

## Lecture Synopsis:

1. The different inventory costing methods are
  - Specific identification method: for goods that can be identified easily
  - FIFO method: when the nature of the goods tie with time. Eg: expiration
  - Average cost (weighted average cost and Moving average cost ) method
2. Inventory costing method can be applied under both periodic and perpetual inventory method
3. FIFO Method yield the same result under both periodic and perpetual inventory system whereas, average cost method yield different value.

## Wrap-up discussion questions:

- a. Does the terms FIFO and Average cost refers to techniques employed in determining quantities of various merchandise on hand?
- b. In period of steadily rising price, which inventory method will give the highest:
  - Highest inventory cost
  - Lowest inventory cost
  - Highest net income, and
  - Lowest net income

## Next day's assignment



Study the following topic:

Lower of Cost or Net realizable Value (LCNRV) Method

### **Next Week's Assignment:**

Practical exercise combining inventory system with inventory costing method

## **Session 5**

### **1.6 Additional Valuation Problems for Inventories**

#### **Learning objective:**

At the end of this session, students are expected to understand:

The valuation of inventory at other than cost which includes:

- Lower of cost or net realizable value
- Gross profit method of inventory valuation
- Retail method of inventory valuation

#### **Reading assignment discussion:**

What is LCNRV method?

#### **Reading text**

##### **1.6.1 Lower-of-Cost-or-Net Realizable Value (LCNRV)**

Inventories are recorded at their cost. However, if inventory declines in value below its original cost, a major departure from the historical cost principle occurs. Whatever the reason for a decline—obsolescence, price-level changes, or damaged goods—a company should write down the inventory to net realizable value to report this loss. **A company abandons the historical cost principle when the future utility (revenue-producing ability) of the asset drops below its original cost.**

#### **Net Realizable Value**



Recall that **cost** is the acquisition price of inventory computed using one of the historical cost-based methods—specific identification, average-cost, or FIFO. The term **net realizable value (NRV)** refers to the net amount that a company expects to realize from the sale of inventory. Specifically, net realizable value is the estimated selling price in the normal course of business less estimated costs to complete and estimated costs to make a sale ( disposal ).

**To illustrate**, assume that General Corporation has unfinished inventory with a cost of Br. 950, a sales value of Br.1,000, estimated cost of completion of Br.50, and estimated selling costs of Br.200. General’s net realizable value is computed as follows.

|                                          |                |
|------------------------------------------|----------------|
| Inventory value—unfinished.....          | Br.1,000       |
| Less: Estimated cost of completion ..... | Br. 50         |
| Estimated cost to sell .....             | <u>200 250</u> |
| Net realizable value.....                | <u>Br. 750</u> |

Companies apply LCNRV to the items in inventory after they have used one of the inventory costing methods (specific identification, FIFO, or average-cost) to determine cost.

### Lecture Synopsis:

✓ LCNRV method

- Meaning of LCNRV is where companies choose either cost of net realizable value, whichever is low, to assign cost to their inventory at the end of the accounting period for reporting purpose.
- The use of LCNRV method can be made under:
  - Individual item in inventory
  - Inventory group ( Major categories of inventories )
  - Inventory as a whole ( the entire inventory )

### Warp-up discussion question:

How LCNRV method is different from cost flow assumptions?

### Next day assignment:

Study the following topics



- Retail estimation method
- Gross profit estimation method

## Session 6

### 1.6.2 Inventory Estimation

#### Learning Objective:

At the end of this session, students are expected to:

- Acquaint themselves with various methods of estimating cost of Inventory including  
Gross profit method  
Retail method

#### Reading text

#### Estimating Inventory Cost

##### I. Gross Profit Method

The **gross profit method** estimates the cost of ending inventory by applying a gross profit rate to net sales. This method is relatively simple, but effective. Accountants, auditors, and managers frequently use the gross profit method to test the reasonableness of the ending inventory amount. It will detect large errors.

To use this method, a company needs to know its net sales, cost of goods available for sale, and gross profit rate. The company then can estimate its gross profit for the period. The formula for using the gross profit method is:

|                |                  |                  |          |                   |
|----------------|------------------|------------------|----------|-------------------|
|                |                  | <b>Estimated</b> |          | <b>Estimated</b>  |
| <b>Step 1:</b> | <b>Net Sales</b> | <b>- Gross</b>   | <b>=</b> | <b>Cost of</b>    |
|                |                  | <b>Profit</b>    |          | <b>Goods Sold</b> |



**Cost of Goods      Estimated      Estimated**

**Step 2: Available for - CGS =Cost of EI**

To illustrate, assume that ABC Company wishes to prepare an income statement for the month of January. Its records show net sales of Br. 200,000, beginning inventory Br.40,000, and cost of goods purchased Br. 120,000. In the preceding year, the company realized a 30% gross profit rate. It expects to earn the same rate this year. Given these facts and assumptions, ABC can compute the estimated cost of the ending inventory at January 31 under the gross profit method as shown in the following analysis.

**Step 1:**

|                                                        |                         |
|--------------------------------------------------------|-------------------------|
| Net sales .....                                        | Br.200,000              |
| Less: Estimated gross profit (30% X Br. 200,000) ..... | <u>60,000</u>           |
| <b>Estimated cost of goods sold .....</b>              | <b><u>\$140,000</u></b> |

**Step 2:**

|                                                 |                          |
|-------------------------------------------------|--------------------------|
| Beginning inventory .....                       | Br. 40,000               |
| Cost of goods purchased .....                   | <u>120,000</u>           |
| Cost of goods available for sale .....          | 160,000                  |
| Less: Estimated cost of goods sold .....        | <u>140,000</u>           |
| <b>Estimated cost of ending inventory .....</b> | <b>Br. <u>20,000</u></b> |

## **II. Retail Inventory Method**

A retail store such as Shewa Hypermarket, or Bambese Supermarket has thousands of different types of merchandise at low unit costs. In such cases, it is difficult and time-consuming to apply unit costs to inventory quantities. An alternative is to use the **retail inventory method** to estimate the cost of inventory. Most retail companies can establish a relationship between cost and sales price. The company then applies the cost-to-retail percentage to the ending inventory at retail prices to determine inventory at cost.

Under the retail inventory method, a company's records must show both the cost and retail value of the goods available for sale. The following illustration presents the formulas for using the retail inventory method.

**Step 1:** State beginning inventory and net purchase both at cost and at retail price

**Step 2:** Compute ending inventory at retail price as follows:



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$$\begin{array}{rcl} \text{Goods *} & & \text{Ending} \\ \text{Available for} & - & \text{Net Sales} = & \text{Inventory} \\ \text{Sale at Retail} & & & \text{at Retail} \end{array}$$

\*Goods available for sale = Beg. Inventory + Net purchase - net sale  
at retail price at retail

**Step 3:** Compute cost – to – retail ratio as follows:

$$\begin{array}{rcl} \text{Goods} & & \text{Goods Cost-to-} \\ \text{Available for /} & \text{Available for} & = & \text{Retail} \\ \text{Sale at Cost} & \text{Sale at Retail} & & \text{Ratio} \end{array}$$

**Step 4:** Compute the estimated cost of ending inventory as follows

$$\begin{array}{rcl} \text{Ending} & & \text{Cost-to-} & & \text{Estimated} \\ \text{Inventor} & \times & \text{Retail} & = & \text{Cost of} \\ \text{at Retail} & & \text{Ratio} & & \text{Ending Inventory} \end{array}$$

### Illustration

Assume that Safeway supermarket has marked 10 units purchased at Br.7 to sell for Br. 10 per unit. Thus, the cost-to-retail ratio is 70% (Br.70 / Br.100). If four units remain unsold, their retail value is Br. 40 (4XBr.10), and their cost is Br.28 (Br.40 X 70%). This amount agrees with the total cost of goods on hand on a per unit basis (4 X Br.7). Illustration shows application of the retail method for Safeway Supermarket. Note that it is not necessary to take a physical inventory to determine the estimated cost of goods on hand at any given time.

|                          | At Cost           | At Retail     |
|--------------------------|-------------------|---------------|
| Beginning inventory      | Br. 14,000        | Br. 21,500    |
| Goods purchased          | <u>61,000</u>     | <u>78,500</u> |
| Goods available for sale | Br. <u>75,000</u> | 100,000       |
| Net sales                | <u>70,000</u>     |               |

**Step (1) It is already given**

**Step (2) Ending inventory at retail = Beg. At retail + Net purchase at retail - Net sale**

$$\begin{aligned} &= 21,500 + 78,500 - 70,000 \\ &= \text{Br. } \underline{30,000} \end{aligned}$$

**Step (3) Cost-to-retail ratio** **Br. 75,000 / Br.100,000 = 75%**



*Step (3) Estimated cost of ending inventory = Br.30,000 X 75% = Br.22,500*

## 1.7 Financial Statement Presentation and Analysis

### Presentation

Inventory is classified in the statement of financial position as a current asset. In an income statement, cost of goods sold is subtracted from sales. There also should be disclosure of (1) the major inventory classifications, (2) the basis of accounting (cost, or lower-of-cost-or-net realizable value), and (3) the cost method (specific identification, FIFO, or average-cost).

### Analysis

The amount of inventory carried by a company has significant economic consequences. And inventory management is a double-edged sword that requires constant attention. On the one hand, management wants to have a great variety and quantity on hand so that customers have a wide selection and items are always in stock. But, such a policy may incur high carrying costs (e.g., investment, storage, insurance, obsolescence, and damage). On the other hand, low inventory levels lead to stock-outs and lost sales.

### Lecture synopsis

Under this session the special valuation of inventory were discussed in detail

The two special valuation of inventory discussed are:

- **Retail method:** a method of inventory costing by companies that holds a large number of inventories with low value.
- **Gross profit method:** a method of inventory by using gross profit percentage where inventory is lost due to accident.
- Inventory is reported in the Statement of Financial Position as part of Current asset i.e. assets that are converted in to cash within the accounting period or one year whichever is longer.

### Wrap-up discussion question



- a. An enterprise using the retail method of inventory costing determines the merchandise inventory at retail is Br. 300,000. If the ratio of cost of retail price is 65%, what is the estimated cost of inventory?
- b. What are some of the reasons that may cause management to use the gross profit and retail inventory method of estimating inventory?

### Next day's assignment

#### Study the following topics:

- Meaning of Property, Plant and Equipment (PPE)
- Acquisition cost of PPE
- Meaning of Depreciation of PPE
- Factors to determine depreciation of PPE

### Next week's assignment

The records of Safe way supermarket is provided in the following page for the quarter completed on March 31:

|                            | <i>At cost</i> | <i>At retail</i> |
|----------------------------|----------------|------------------|
| Jan. 1 beginning inventory | Br. 160,450    | Br. 264,900      |
| Purchases                  | 1,100,140      | 1,828,200        |
| Purchases retunes          | 17,600         | 34,100           |
| Sales                      | —              | 1,570,200        |
| Sales returns              | —              | 15,600           |
| Transportation in          | 13,000         | —                |

**Required:** calculate the estimated cost of ending inventory as of March 31

- a. By retail method
- b. By gross profit method if the gross profit rate is 30%



## **Chapter 2: Accounting for Property, Plant and Equipment (PPE), Intangible Assets, and Natural Resources**

(14 hours)

### **Session 7**



## **Topic:Accounting for Property, Plant and Equipment (PPE) and Recording treatment.**

### **Learning objective**

At the end of this session, students are expected to:

- Explain what PPE means
- Determine the acquisition cost of PPE
- Measurement after recognition
  - Depreciation of PPE
  - Cost subsequent to acquisitions of PPE

### **Reading assignment Discussion:**

- a. Explain the meaning of PPE?
- b. Discuss the major characteristics of PPE?
- c. Explain the meaning of PPE?

### **Reading text**

#### **2.1 Introduction to Nature and meaning of PPE**

Property, plant and equipment are tangible items that:

- (a) Are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and
- (b) Are expected to be used during more than one period.

Property, plant, and equipment therefore includes land, building structures (offices, factories, warehouses), and equipment (machinery, furniture, tools).

#### **The major characteristics of property, plant, and equipment are as follows.**

##### **1. They are acquired for use in operations and not for resale.**

Only assets used in normal business operations are classified as property, plant, and equipment. For example, an idle building is more appropriately classified separately as an investment.

##### **2. They are long-term in nature and usually depreciated (except land )**



Property, plant, and equipment yield services over a number of years. Companies allocate the cost of the investment in these assets to future periods through periodic depreciation charges.

The exception is land, which is depreciated only if a material decrease in value occurs, such as a loss in fertility of agricultural land because of poor crop rotation, drought, or soil erosion.

### 3. They possess physical substance.

Property, plant, and equipment are tangible assets characterized by physical existence or substance. This differentiates them from intangible assets, such as patents or goodwill. Unlike raw material, however, property, plant, and equipment do not physically become part of a product held for resale.

## 2.2 Acquisition of Property, Plant, and Equipment

Most companies use historical cost as the basis for valuing property, plant, and equipment.

**Historical cost** measures the *cash or cash equivalent price of obtaining* the asset and *bringing it to the location and condition necessary for its intended use*. Companies recognize property, plant, and equipment when the cost of the asset can be **measured reliably** and it is probable that the company will **obtain future economic benefits**.

In general, companies report the following costs as part of property, plant, and equipment. In general, companies report the following costs as part of property, plant, and equipment.

1. Purchase price, including import duties and non-refundable purchase taxes, less trade discounts and rebates.
2. Costs attributable to bringing the asset to the location and condition necessary for it to be used in a manner intended by the company.

*Companies value property, plant, and equipment in subsequent periods using either the cost method or fair value (revaluation) method.*

Companies can apply the cost or fair value method to all the items of property, plant, and equipment or to a single class(s) of property, plant, and equipment. For example, a company may value land (one class of asset) after acquisition using the fair value method and at the same time value buildings and equipment (other classes of assets) at cost.

### i. Cost of Land



Land costs typically include (1) the purchase price; (2) closing costs, such as title to the land, attorney's fees, and recording fees; (3) costs incurred in getting the land in condition for its intended use, such as grading, filling, draining, and clearing; (4) assumption of any liens, mortgages, or encumbrances on the property; and (5) any additional land improvements that have an indefinite life.

*Removal of old buildings—clearing, grading, and filling—is a land cost because this activity is necessary to get the land in condition for its intended purpose.*

## ii. Land improvements

**Land improvements** are structural additions made to land. Company's records separately any **improvements with limited lives**, such as private driveways, walks, fences, and parking lots, to the **Land Improvements** account. These costs are depreciated over their estimated lives. A land improvement costs that do have an infinite period of life benefit are added to the cost of land.

## iii. Cost of Buildings

The cost of buildings should include all expenditures related directly to their acquisition or construction. These costs include (1) materials, labor, and overhead costs incurred during construction, and (2) professional fees and building permits. Generally, companies contract others to construct their buildings. Companies consider all costs incurred, from excavation to completion, as part of the building costs. But how should companies account for an old building that is on the site of a newly proposed building? Is the cost of removal of the old building a cost of the land or a cost of the new building? Recall that **if a company purchases land with an old building on it, then the cost of demolition less its residual value is a cost of getting the land ready for its intended use and relates to the land rather than to the new building.**

## iv. Cost of Equipment

The term "equipment" in accounting includes delivery equipment, office equipment, machinery, furniture and fixtures, furnishings, factory equipment, and similar fixed assets. The cost of such assets includes *the purchase price, freight and handling charges incurred, insurance on the equipment while in transit, cost of special foundations if required, assembling and installation*



*costs, and costs of conducting trial runs.* Any proceeds from selling any items produced while bringing the equipment to the location and condition for its intended use (such as samples produced when testing equipment) should reduce the cost of the equipment. Costs thus include all expenditures incurred in acquiring the equipment and preparing it for use.

## **v. Self-Constructed Assets**

Occasionally, companies construct their own assets. Determining the cost of such machinery and other fixed assets can be a problem. Without a purchase price or contract price, the company must allocate costs and expenses to arrive at the cost of the **self-constructed asset**. Materials and direct labor used in construction pose no problem. A company can trace these costs directly to work and material orders related to the fixed assets constructed.

## **2.3 Nature and meaning of depreciation of PPE**

*Depreciation* is the systematic allocation of the depreciable amount of an asset over its useful life. Depreciable amount is the cost of an asset, or other amount substituted for cost, less its residual value.

Depreciation is the accounting process of allocating the cost of tangible assets to expense in a systematic and rational manner to those periods expected to benefit from the use of the asset.

## **Factors Involved in the Depreciation Process**

In the process of computing depreciation for different type of assets, the following factors should be taken in to account.

### **1. Depreciable Base for the PPE**

The base established for depreciation is a function of two factors: the original cost and residual value. If an asset has a cost of Br.10, 000 and a residual value of Br.1, 000, its **depreciation base** is Br.9, 000. Computation the depreciable base is presented in the following page:

|                           |                  |
|---------------------------|------------------|
| Original cost .....       | Br.10, 000       |
| Less: Residual value..... | <u>1,000</u>     |
| Depreciation base.....    | Br. <u>9,000</u> |

### **2. Estimation of Service Lives**



The service life of an asset often differs from its physical life. A piece of machinery may be physically capable of producing a given product for many years beyond its service life. But, a company may not use the equipment for all that time because the cost of producing the product in later years may be too high. Companies retire assets for two reasons: **physical factors** (such as casualty or expiration of physical life) and **economic factors** (obsolescence).

### 3. Methods of Depreciation

Companies may use a number of depreciation methods, as follows.

1. Activity method (units of use or production). Depreciation based on activities
2. Straight-line method. Equal depreciation throughout the life of the PPE
3. Diminishing (accelerated)-charge methods: High depreciation at initial life of PPE
  - (a) Sum-of-the-years'-digits.
  - (b) Declining-balance method.

### Lecture synopsis

1. Definition of PPE: Tangible assets used in the operation of the business for longer period of time
2. Acquisition cost of PPE includes: All necessary and reasonable expenditure to acquire and make the PPE ready for use
  - Determination of the acquisition cost of PPE includes computing the:
    - Cost of land
    - Cost of land improvement
    - Cost of building
    - Cost of equipment
    - Cost of self-constructed PPE
3. Meaning of Depreciation in short
  - Periodic cost expiration
  - A decline in the usefulness of PPE
- Factor to determine while depreciating PPE includes identifying the:
  - Acquisition cost



- Residual value
- Useful economic life
- Method of computation

**Wrap-up discussion question:**

- Briefly describe the major factor that affect the computation of depreciation?
- Which of the given expenditures incurred in connection with the acquisition of Equipment is not a proper charge to the asset account?
  - Transportation charge
  - Cost of test runs to ready the machine for operation
  - Taxes and tariffs
  - Cost of vandalism

**Next day's assignment:**

**Study the following**

- The different method of computing depreciation

**Session 8**

**2.3.1 Method of computing depreciation**

**Learning objective:**

After the end of this session, students are expected to:

- Compute depreciation for PPE using various depreciation
- Record depreciation expense in the accounting records
- Identifying the accounting treatment of cost subsequent to acquisition of PPE

**Reading Assignment discussion**

- Explain the most common methods of computing depreciation for PPE



- b. Discuss the cost treatment subsequent to acquisitions of PPE?

## Reading text

### Method of computing depreciation

The depreciable amount of an asset shall be allocated on a systematic basis over its useful life. Depreciation methods differ primarily in the amount of cost allocated to each period. A list of depreciation amounts for each year of an asset's useful life is called *depreciation schedule*.

The most common methods of computation depreciation for property, plant and equipments are:

- The units of production (Activity) method
- The straight line method
- The double-declining balance method, and
- The sum-of- years-digits method

To illustrate these depreciation methods, assume that Medroc Mines recently purchased an additional crane for digging purposes. The pertinent data concerning this purchase is presented as follows.

Cost of crane .....Br. 500,000  
Estimated useful life .....5 years  
Estimated residual value .....Br. 50,000  
Productive life in hours .....30,000 hours

#### a. Activity Method

The **activity method** (also called the **variable-charge** or **units-of-production approach**) assumes that depreciation is **a function of use or productivity, instead of the passage of time**. A company considers the life of the asset in terms of either the **output** it provides (units it produces) or an **input** measure such as the number of hours it works.

$$\frac{(\text{Cost} - \text{Residual Value}) \times \text{Hours this Year}}{\text{Total Estimated Hours}} = \text{Depreciation Charge of the year}$$

$$\frac{(\text{Br. } 500,000 - \text{Br. } 50,000) \times 4,000 \text{ hr}}{30,000 \text{ hour}} = \text{Br. } 60,000$$

#### b. Straight-Line Method



The **straight-line method** considers depreciation as a **function of time rather than a function of usage**. Companies widely use this method because of its simplicity. The straight-line procedure is often the most conceptually appropriate, too.

$$\frac{\text{Cost} - \text{Residual Value}}{\text{Estimated Service Life}} = \text{Depreciation Charge per time schedule}$$

$$\frac{\text{Br. } 500,000 - \text{Br. } 50,000}{5} = \text{Br. } 90,000$$

5

### c. Sum-of-the-Years'-Digits.

The **sum-of-the-years'-digits method** results in a decreasing depreciation charge based on a decreasing fraction of depreciable cost (original cost less residual value). Each fraction uses the sum of the years as a denominator ( $5 + 4 + 3 + 2 + 1 = 15$ ). The numerator is the number of years of estimated life remaining as of the beginning of the year. In this method, the numerator decreases year by year, and the denominator remains constant ( $5/15$ ,  $4/15$ ,  $3/15$ ,  $2/15$ , and  $1/15$ ). At the end of the asset's useful life, the balance remaining should equal the residual value. The schedule of depreciation under sum-of-years digit method is presented in the following page:

#### Sum of Years Digits Method schedule

| Year | Depreciation base | Remaining life in years | Depreciation fraction | Depreciation Expense | Book value end of year |
|------|-------------------|-------------------------|-----------------------|----------------------|------------------------|
| 1    | Br. 450,000       | 5                       | 5/15                  | Br. 150,000          | Br. 350,000            |
| 2    | 450,000           | 4                       | 4/15                  | 120,000              | 230,000                |
| 3    | 450,000           | 3                       | 3/15                  | 90,000               | 140,000                |
| 4    | 450,000           | 2                       | 2/15                  | 60,000               | 80,000                 |
| 5    | 450,000           | 1                       | 1/15                  | 30,000               | 50,000                 |

Use  $\frac{n(n+1)}{2}$  to compute the denominator

2

### d. Declining-Balance Method.

The **declining-balance method** (often referred to as the **reducing-balance method**) utilizes a depreciation rate (expressed as a percentage) that is some multiple of the straight-line method.



For example, the double-declining rate for a 10-year asset is 20 percent (double the straight-line rate, which is 1/10 or 10 percent).

Companies apply the constant rate to the declining book value each year. Unlike other methods, the declining-balance method **does not deduct the residual value** in computing the depreciation base. The declining-balance rate is multiplied by the book value of the asset at the beginning of each period. Since the depreciation charge reduces the book value of the asset each period, applying the constant-declining balance rate to a successively lower book value results in lower depreciation charges each year. This process continues until the book value of the asset equals its estimated residual value. At that time, the company discontinues depreciation.

Companies use various multiples in practice. For example, the **double-declining balance method** depreciates assets at twice (200 percent) the straight-line rate. The depreciation schedule under the double declining balance method is presented in the following page:

#### Double Decline Balance method Schedule

| Year | Book value of Asset First of year | Rate on Declining Balance | Depreciation Expense | Balance Accumulated Depreciation | Book Value, End of Year |
|------|-----------------------------------|---------------------------|----------------------|----------------------------------|-------------------------|
| 1    | Br. 500,000                       | 40%                       | Br.200,000           | Br. 200,000                      | Br. 300,000             |
| 2    | 300,000                           | 40%                       | 120,000              | 320,000                          | 180,000                 |
| 3    | 180,000                           | 40%                       | 72,000               | 392,000                          | 108,000                 |
| 4    | 108,000                           | 40%                       | 43,200               | 435,200                          | 64,000                  |
| 5    | 64,800                            | 40%                       | 14,800               | 450,000                          | 50,000                  |

Based on twice the straight-line rate of 20% ( $\text{Br. } 90,000 / \text{Br. } 450,000 = 20\%$ ;  $20\% \times 2 = 40\%$ ).

Limited to Br. 14,800 because book value should not be less than residual value

### 2.3.2 Component Depreciation

Companies are required to use **component depreciation**. IFRS requires that each part of an item of property, plant, and equipment that is significant to the total cost of the asset must be



depreciated separately. Companies therefore have to exercise judgment to determine the proper allocations to the components. As an example, when a company like **Adama steel factory** purchases a building, it must determine how the various building components (e.g., the foundation, structure, roof, heating and cooling system, and elevators) should be segregated and depreciated.

To illustrate the accounting for component depreciation, assume that Ethiopian Airlines purchases an airplane for Br.100,000,000 on January 1, 2016. The airplane has a useful life of 20 years and a residual value of Br. 0. Ethiopian Air Lines uses the straight-line method of depreciation for all its airplanes. Ethiopian Airlines identifies the following components, amounts, and useful lives,

| <u>Components</u> | <u>Component Amount</u> | <u>Component Useful Life</u> |
|-------------------|-------------------------|------------------------------|
| Airframe          | Br.60,000,000           | 20 years                     |
| Engine components | 32,000,000              | 8 years                      |
| Other components  | 8,000,000               | 5 years                      |

The computation of depreciation expense for **Ethiopian Airlines** for 2016

| <u>Components</u> | <u>Component Amount</u> | <u>Useful Life</u> | <u>= Component Depreciation</u> |
|-------------------|-------------------------|--------------------|---------------------------------|
| Airframe          | Br. 60,000,000          | 20                 | Br. 3,000,000                   |
| Engine components | 32,000,000              | 8                  | 4,000,000                       |
| Other components  | <u>8,000,000</u>        | 5                  | <u>1,600,000</u>                |
| <b>Total</b>      | <u>Br.100,000,000</u>   |                    | Br. <u>8,600,000</u>            |

As indicated, Ethiopian Airlines records depreciation expense of Br.8,600,000 in 2016, as follows.

|                                          |           |
|------------------------------------------|-----------|
| Depreciation Expense.....                | 8,600,000 |
| Accumulated Depreciation—Equipment ..... | 8,600,000 |

On the statement of financial position at the end of 2016, Ethiopian Airlines reports the airplane as a single amount. The presentation is shown as follows:



**Ethiopian Airlines**  
**Statement of Financial Position**  
**As of December 31, 2016**

**Property, plant and Equipment**

|                                               |                  |                |
|-----------------------------------------------|------------------|----------------|
| Airplane .....                                | Br. 100,000,000  |                |
| Less: Accumulated depreciation—airplane ..... | <u>8,600,000</u> | Br. 91,400,000 |

A significant part of an item of property, plant and equipment may have a useful life and a depreciation method that are the same as the useful life and the depreciation method of another significant part of that same item. Such parts may be grouped in determining the depreciation charge.

### **2.3.3 Depreciation of Partial years**

So far, the illustrations of the depreciation methods have assumed that the plant assets were purchased at the beginning or end of the accounting period. However, business does not often buy assets exactly at the beginning or end of the accounting period. In most cases, they acquire the assets when they are needed and sell or discard them when they are no longer useful or needed. The time of year is normally not a factor in the decision. Thus, it is often necessary to calculate depreciation for partial years.

#### **Illustration**

XYZ Company purchased a new machine on October 1, 2012, at a cost of Br.120,000. The company estimated that the machine will have a salvage value of Br.12,000. The machine is expected to be used for 10,000 working hours during its 5-year life.

#### **Instructions**

Compute the depreciation expense under the following methods for the year indicated.

- (a) Straight-line for 2012.
- (b) Units-of-activity for 2012, assuming machine usage was 1,700 hours.
- (c) Declining-balance using double the straight-line rate for 2012 and 2013.
- (d) Sum-of-years digit method for 2012 and 2013.



## Solution

### (a) Straight-line for 2012.

$$\begin{aligned}\text{Depreciation expense per year} &= \frac{\text{cost-estimated salvage value}}{\text{Estimated life}} \\ &= \frac{\text{Br. } 120,000 - \text{Br. } 12,000}{5 \text{ years}} \\ &= \text{Br. } \underline{21,600}\end{aligned}$$

Depreciation for 2012 covers from October 1 till December 31 three month depreciation

$$\text{Depreciation of 2012} = \text{Br. } 21,600 \times 3/12 = \text{Br. } 5,400$$

### (b) Units-of-activity for 2012, assuming machine usage was 1,700 hours.

$$\begin{aligned}\text{Depreciation rate per hour} &= \frac{\text{cost- estimated salvage value}}{\text{Estimated working hours}} \\ &= \frac{\text{Br. } 120,000 - \$12,000}{10,000 \text{ hour}} \\ &= \text{Br. } 10.80/\text{hour} \\ \text{Depreciation of 2012} &= 1,700 \text{ hours} \times \text{Br. } 10.80/\text{hour} \\ &= \text{Br. } \underline{18,360}\end{aligned}$$

### (c) Declining-balance using double the straight-line rate for 2012 and 2013.

$$\text{Depreciation rate per year} = 100\% / \text{Est. life} \times 2$$

$$\text{Depreciation rate per year} = 100\% / 5 \times 2 = 40\%$$

$$\text{Depreciation of 2012} = \text{Br. } 120,000 \times 40\% \times 3/12 = \text{Br. } \underline{12,000}$$

$$\text{Book value} = \text{cost} - \text{Accumulated depreciation}$$

$$= \text{Br. } 120,000 - \text{Br. } 12,000$$

$$= \text{Br. } 108,000$$

$$\text{Depreciation of 2013} = \text{Br. } 108,000 \times 40\%$$



$$= \text{Br. } \underline{43,200}$$

**(d) Sum-of-years digit method for 2012 and 2013.**

Depreciation rate = 5/15, 4/15, 3/15, 2/15, 1/15

Each depreciation rate should apply to 12 month before applying the next rate and the depreciation rate is applied on the depreciable base:

$$\text{Depreciable base} = \text{cost} - \text{estimated salvage value} = \text{Br. } 120,000 - \text{Br. } 12,000 = \text{Br. } 108,000$$

$$\text{Depreciation of 2012} = \text{Br. } 108,000 \times 5/15 \times 3/12$$

$$= \text{Br. } 9,000$$

$$\text{Depreciation of 2013} = (\text{Br. } 108,000 \times 5/15 \times 9/12) + (\text{Br. } 108,000 \times 4/15 \times 3/12)$$

$$= \text{Br. } 27,000 + \text{Br. } 7,200$$

$$= \text{Br. } \underline{29,200}$$

**Lecture Synopsis:**

- Depreciation is the systematic and rational cost allocation process of Property, Plant and Equipment
- Common depreciation computation methods includes:
  - Straight line method: equal cost allocation throughout the life of the asset
  - Double declining balance method: diminishing cost allocation
  - The sum-of-digits method: diminishing cost allocation
  - Units of production method: allocation of cost based on activity of the asset
  - Component depreciation method: each part of the property depreciate independently
  - Depreciation of partial years: focuses on cost allocation for asset acquired during the accounting period.

**Wrap-up discussion questions**

- Describe the major justification of using each of the common depreciation methods.



## Next day's assignment

### Study the following:

- Comparison of depreciation method
- Revision of depreciation rate
- Cost subsequent to acquisition of PPE

### Next week's assignment:

#### 2.3.4 Comparison of Depreciation Methods

The straight-line depreciation provides a uniform or equal depreciation charges to expense throughout the service life of the asset.

The production method of depreciation provides for periodic charges to depreciation expense that may vary considerably, depending up on the amount of usage of the asset. The production method does not generate a regular pattern because of the random fluctuation of the depreciation from year to year.

The major limitation of the production method is that it is not appropriate in situation in which depreciation is a fluctuation of time instead of activity. Another problem in using the production method is that an estimate of unit of output or service hours received is often difficult to determine.

Both the declining balance and the sum of the years digit methods are referred to as accelerated depreciation methods, because they provides (report) relatively higher depreciation expense in the earlier uses of the life of the asset and a gradually declining periodic expense thereafter.

The main justification for this approach is that more depreciation should be charged in earlier years because the asset suffers its greatest loss of service in those years.

Accelerated depreciation method also recognizes that changing technologies make some equipment lose their capacity to yield service rapidly. Thus, it is appropriate to allocate more to depreciation in the early years.



Another argument in favor of an accelerated method is that repair (maintenance) expense is likely to be greater in later years than in early years. Thus, the reduced amount of depreciation reported in later years of the asset's life are offset to some extent by increase repair (maintenance) expense.

In general companies use different methods of depreciation for good reason the straight-line method can be advantageous for financial reporting because it can produce the highest net income, and the accelerated depreciation method can be beneficial for tax purposes because it can result in lower income taxes.

## 2.3.5 Revision of Depreciation Rate

For the following reasons a depreciation value of PPE can be changed from period to period.

### a. Revising periodic depreciation

Depreciation is one example of the use of estimation in the accounting process. Management should periodically review annual depreciation expense. If wear and tear or obsolescence indicate that annual depreciation estimates are inadequate or excessive, the company should change the amount of depreciation expense.

When a change in an estimate is required, the company makes the change in **current and future years. It does not change depreciation in prior periods.** The rationale is that continual restatement of prior periods would adversely affect confidence in financial statements.

To determine the new annual depreciation expense, the company first computes the asset's depreciable cost at the time of the revision. It then allocates the revised depreciable cost to the remaining useful life.

To illustrate, assume that Teddy Electronics decides on January 1, 2017, to extend the useful life of the truck one year (a total life of six years) and increase its residual value to Br. 2,200. The company has used the straight-line method to depreciate the asset to date. Depreciation per year was Br. 2,400  $[(\text{Br. } 13,000 - \text{Br. } 1,000) / 5]$ . Accumulated depreciation after three years (2014–2016) is Br. 7,200  $(\text{Br. } 2,400 \times 3)$ , and book value is Br. 5,800  $(\text{Br. } 13,000 - \text{Br. } 7,200)$ . The new annual depreciation is Br. 1,200, as shown in the following page:

|                      |              |
|----------------------|--------------|
| Book value, 1/1/2017 | Br. 5,800    |
| Less: Residual value | <u>2,200</u> |



|                                          |                            |
|------------------------------------------|----------------------------|
| Depreciable cost                         | Br. 3,600                  |
| Remaining useful life                    | <u>3 years</u> (2017–2019) |
| Revised annual depreciation (Br.3,600/3) | Br. <u>1,200</u>           |

Teddy Electronics makes no entry for the change in estimate. On December 31, 2017, during the preparation of adjusting entries, it records depreciation expense of Br.1,200. Companies must describe in the financial statements significant changes in estimates.

### Exercise

Habesha Corporation purchased a piece of equipment for Br. 36,000. It estimated a 6-year life and Br. 6,000 residual value. Thus, straight-line depreciation was Br. 5,000 per year [(Br. 36,000 /Br 6,000) X 6]. At the end of year three (before the depreciation adjustment), it estimated the new total life to be 10 years and the new residual value to be Br. 2,000.

**Required:** - Compute the revised depreciation?

#### b. Revaluation of Plant Assets

IFRS allows companies to revalue plant assets to fair value at the reporting date. Companies that choose to use the revaluation framework must follow revaluation procedures. If revaluation is used, it must be applied to all assets in a class of assets. Assets that are experiencing rapid price changes must be revalued on an annual basis. Otherwise, less frequent revaluation is acceptable. To illustrate asset revaluation accounting, assume that Yonas Company applies revaluation to equipment with a book (carrying) value of Br. 1,000,000, a useful life of 5 years, and no residual value. Yonas Co. makes the following journal entries in year 1, assuming straight-line depreciation.

|                                                                |         |
|----------------------------------------------------------------|---------|
| Depreciation Expense                                           | 200,000 |
| Accumulated Depreciation—Equipment                             | 200,000 |
| (To record depreciation expense in year 1=Br. 1,000,000/5year) |         |

After this entry, Yonas's equipment has a carrying amount of Br. 800,000 (Br. 1,000,000 – Br.200,000). At the end of year 1, independent appraisers determine that the asset has a fair value of Br. 850,000. To report the equipment at fair value, or Br. 850,000, Yonas Co. eliminates the Accumulated Depreciation— Equipment account, reduces Equipment to its fair value of Br.850,000, and records Revaluation Surplus of Br. 50,000. The entry to record the revaluation is as follows.

|                                    |         |
|------------------------------------|---------|
| Accumulated Depreciation—Equipment | 200,000 |
|------------------------------------|---------|



|                     |         |
|---------------------|---------|
| Equipment           | 150,000 |
| Revaluation Surplus | 50,000  |

(To record adjusting the equipment to fair value)

Thus, Yonas Co. follows a two-step process. First, Yonas records depreciation based on the cost basis of Br. 1,000,000. As a result, it reports depreciation expense of Br. 200,000 on the Statement of Profit or Loss. Second, it records the revaluation. It does this by eliminating any accumulated depreciation, adjusting the recorded value of the equipment to fair value, and debiting or crediting the revaluation surplus account. In this example, the revaluation surplus is Br. 50,000, which is the difference between the fair value of Br. 850,000 and the book value of Br.800,000. Revaluation surplus is an example of an item reported as “Other Comprehensive Income (OCI)Yonas Co. now reports the following information in its Statement of Financial Position at the end of year 1:

|                                         |                    |
|-----------------------------------------|--------------------|
| Equipment (Br. 1,000,000 – Br. 150,000) | Br. 850,000        |
| Accumulated depreciation—equipment      | <u>0</u>           |
|                                         | <u>Br. 850,000</u> |
| Revaluation surplus (equity)            | Br. <u>50,000</u>  |

As indicated, Br. 850,000 is the new basis of the Equipment. Yonas Co. reports depreciation expense of Br. 200,000 in the income statement and Br. 50,000 in other comprehensive income. Assuming no change in the total useful life, depreciation in year 2 will be Br.212, 500 (Br. 850,000 / 4).

- Further assuming that the current fair value of the Equipment is Br. 1,200,000; the revaluation of the PPE is journalize as follows:

|                               |         |
|-------------------------------|---------|
| Equipment .....               | 200,000 |
| Accumulated Depreciation..... | 200,000 |
| Revaluation surplus.....      | 400,000 |

(the recorded value of the Equipment has to increased by Br. 200,000 (Br.1,200,000- Br.1,000,000) and the revaluation surplus will be Br.400,000 (Br.1,200,000-Br. 800,000)

- What if the Current fair value of the Equipment is Br. 700,000

|                                |         |
|--------------------------------|---------|
| Accumulated Depreciation ..... | 200,000 |
| Revaluation surplus.....       | 100,000 |



Equipment.....300,000

(the recorded value of the Equipment has to decreased by Br. 300,000 (Br.1,000,000-Br.700,000) and the revaluation surplus will be debited as a loss by Br.100,000 (Br.800,000-Br. 700,000))

### Note

In both case illustrated above and the previous page, the annual depreciation will be changed i.e. increased or decreased.

## 2.4. Expenditures During Useful Life of PPE

In determining how costs should be allocated subsequent to acquisition, companies follow the same criteria used to determine the initial cost of property, plant, and equipment. That is, they recognize costs subsequent to acquisition as an asset when the costs can be measured reliably and it is probable that the company will obtain future economic benefits. Evidence of future economic benefit would include increases in (1) useful life, (2) quantity of product produced, and (3) quality of product produced.

## Capital and Revenue Expenditure

### Capital Expenditure

Capital expenditure are expenditures that improve the operating efficiency (or capacity) or costs incurred to achieve greater future benefits.

### 2.4.1. Capital expenditure includes

#### A. Additions

**Additions** should present no major accounting problems. By definition, **companies capitalize any addition to plant assets because a new asset is created**. For example, the addition of a wing to a hospital, or of an air conditioning system to an office, increases the service potential of that facility. Companies should capitalize such expenditures and match them against the revenues that will result in future periods.

For example assume that Nati Shopping Mall added one block costing Br. 4,000,000 on the existing building which has a recorded historical cost of Br. 12,000,000. The cost of the “addition” will be recorded as follows:



Building ..... 4,000,000  
Cash.....4,000,000

(to record the cost of addition)

After this journal entry, the recorded value of the Building will be Br. 16,000,000 (Br. 12,000,000+Br. 4,000,000)

## B. Improvements and Replacements

Companies substitute one asset for another through **improvements** and **replacements**.

What is the difference between an improvement and a replacement? An **improvement (betterment)** is the substitution of a **better asset** for the one currently used (say, a concrete floor for a wooden floor). A **replacement**, on the other hand, is the substitution of a **similar asset** (a wooden floor for a wooden floor).

If the expenditure increases the future service potential of the asset, a company should capitalize it. The company should simply remove the cost of the old asset and related depreciation and recognize a loss, if any. It should then add the cost of the new substituted asset.

To illustrate, ABC Company decides to replace the pipes in its plumbing system.

A plumber suggests that the company use plastic tubing in place of the cast iron pipes and copper tubing. The old pipe and tubing have a book value of Br. 15,000 (cost of Br. 150,000 less accumulated depreciation of Br. 135,000), and a residual value of Br. 1,000. The plastic tubing system costs Br. 125,000. If Instinct pays Br. 124,000 for the new tubing after exchanging the old tubing, it makes the following entry.

|                                    |         |         |
|------------------------------------|---------|---------|
| Equipment (plumbing system)        | 125,000 |         |
| Accumulated Depreciation—Equipment | 135,000 |         |
| Loss on Disposal of Equipment      | 14,000  |         |
| Equipment (plumbing system)        |         | 150,000 |
| Cash (Br. 125,000 – Br. 1,000)     |         | 124,000 |

## C. Major Repairs

Remove cost and accumulated depreciation of old asset, recognizing any gain or loss. Capitalize cost of major repair. Major repairs are recorded by debiting the accumulated depreciation account, under the assumption that some of the depreciation previously recorded has now been



eliminated. The effect of this reduction in the accumulated depreciation account is to increase the book value of the asset by the cost of the major repair. As a result, the new book value of the asset should be depreciated over the new estimated useful life.

For example, assume the ABC car rental business incurred Br. 500,000 to repair the Motor section of one of its field car. The book value of the car was Br. 2,000,000 (Br. 3,500,000 original cost less Br. 1,500,000 accumulated depreciation). The cost of this major repair will be recorded as shown in the following page:

|                                   |             |
|-----------------------------------|-------------|
| Accumulated depreciation-Car..... | Br. 500,000 |
| Cash.....                         | 500,000     |

(to record major repair of a PPE)

### 2.4.2. Revenue Expenditure

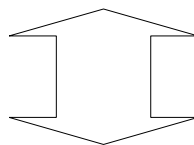
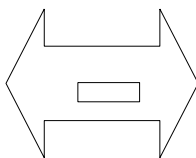
Revenue expenditures are expenditure incurred in order to maintain the normal operating efficiency of the asset. Among the more usual kinds of revenue expenditures for plant asset are the repairs, maintenance, lubrication, Cleaning and inspection necessary to keep an asset in good working condition.

***Revenue expenditure includes:***

#### **A. Rearrangement and Reorganization**

As indicated earlier, a company may incur rearrangement or reorganization costs for some of its assets. The question is whether the costs incurred in this rearrangement or reorganization are capitalized or expensed. IFRS indicates that the recognition of costs ceases once the asset is in the location and condition necessary to begin operations as management intended. As a result, the costs of reorganizing or rearranging existing property, plant, and equipment are not capitalized but are expensed as incurred.

Assume that the machinery of Brother food complex was arranged its Machine as follows





The cost of renting a crane to move the machinery amounting Br. 8,000 is recorded as follows:

Rearrangement expense..... 8,000  
Cash .....8,000

## B. Ordinary Repairs

A company makes ordinary repairs to maintain plant assets in operating condition. It charges ordinary repairs to an expense account in the period incurred on the basis that it is the primary period benefited. Maintenance charges that occur regularly include replacing minor parts, lubricating and adjusting equipment, repainting, and cleaning. A company treats these as ordinary operating expenses. Such repairs benefits only the current period and therefore must be against the revenue in the current fiscal period.

For example, assume that ABC car rental business undertake a regular quarterly service to one of its car by incurring Br. 700 cost. This cost will be recorded as follows:

Repair and maintenance expense..... 700  
Cash ..... 700

(to record ordinary repair expense)

## Lectures synopsis:

1. Comparison of depreciation methods makes us to see the effect of different depreciation method on the financial statement
2. Revision of depreciation rates could happen during the life of the asset for different reason
  - Factors to be considered in revising asset relater estimation includes
    - Revised useful life
    - Revised residual value
    - Remaining book value
3. Revaluation of Plant Assets: changing the recorded historical cost of the asset to Current Fair Value
4. Expenditures During Useful Life of PPE are two types
  - Capital expenditures are:



- Non-routine and substantial expenditure
- Capitalized: meaning added to the cost or book value of the PPE
- Includes
  - Addition
  - Improvement or Replacement
  - Major repairs
- Revenue expenditures are
  - Routine and mandatory
  - Charged to expense account and includes Ordinary repair costs

### **Warp-up discussion questions:**

- a) What accounting treatment is normally given to depreciation, revaluation and expenditure during useful life of PPE in accounting process?

### **Next day assignment:**

Study the following:

- Disposal of PPE

## **2.5 Disposition of Property, Plant, and Equipment (PPE)**

### **Learning objective:**

At the end of this session, students are expected to:

- Understand the concept of disposing of PPE
- Examine the different ways of disposing of PPE
- Record the transactions involving disposition of PPE
- Different accounting for financial reporting from accounting for income tax with respect of exchange of PPE

### **Reading assignment discussion:**

- a) Explain the accounting procedures for discarding of PPE



b) Distinguish the three disposal ways of PPE

### Reading text

Companies dispose of plant assets that are no longer useful to them. Whatever the disposal method, the company must determine the book value of the plant asset at the disposal date to determine the gain or loss. Recall that the book value is the difference between the cost of the plant asset and the accumulated depreciation to date. If the disposal occurs at any time during the year, the company must record depreciation for the fraction of the year to the date of disposal. The company then eliminates the book value by reducing (debiting) Accumulated Depreciation for the total depreciation associated with that asset to the date of disposal and reducing (crediting) the asset account for the cost of the asset. If the residual value is zero, the book value of a fully depreciated asset is zero until the asset is disposed off. If such an assets is discarded, no gain or loss will result. A PPE may be disposed by:

- (1)**Sale:-** PPE is sold to another party.
- (2)**Retirement:** - PPE is scrapped or discarded.
- (3)**Exchange** - Existing PPE is traded for new PPE.

### 2.5.1. Sale of Property, Plant and Equipment's

Companies record depreciation for the period of time between the date of the last depreciation entry and the date of sale. To illustrate, assume that Dallol Company recorded depreciation on a Machine costing Br. 18,000 for nine years at the rate of Br. 1,200 per year. If it sells the machine in the middle of the tenth year for Br. 7,000, Dallol records depreciation to the date of sale as:

|                                            |     |
|--------------------------------------------|-----|
| Depreciation Expense (Br. 1,200 X0.5)..... | 600 |
| Accumulated Depreciation—Machinery.....    | 600 |

The entry for the sale of the asset then is:

|                                                                    |        |
|--------------------------------------------------------------------|--------|
| Cash .....                                                         | 7,000  |
| Accumulated Depreciation—Machinery [(Br. 1,200 X 9) + Br. 600] ... | 11,400 |
| Machinery .....                                                    | 18,000 |
| Gain on Disposal of Machinery .....                                | 400    |

The book value of the machinery at the time of the sale is Br. 6,600 (Br. 18,000 – Br. 11,400).



Because the machinery sold for Br. 7,000, the amount of the gain on the sale is Br. 400 (Br. 7,000 - Br. 6,600).

Now, let us assume that the Machine is sold for Br. 5,500 cash and the journal entry will involve a \$1,100 loss (Br. 6,600-Br. 5,500) as shown in the following page:

|                                   |            |
|-----------------------------------|------------|
| Cash.....                         | Br. 5,500  |
| Loss on Disposal of Machinery.... | Br. 1,100  |
| Accumulated depreciation.....     | Br. 11,400 |
| Machinery.....                    | Br. 18,000 |

Now, let us further assume that the Machinery is sold for Br. 6,600 exactly the book value; in this case neither gain nor loss will be recognized by the Company. The journal entry is:

|                               |            |
|-------------------------------|------------|
| Cash .....                    | Br. 6,600  |
| Accumulated depreciation..... | Br. 11,400 |
| Machinery .....               | Br. 18,000 |

### 2.5.2. Retirement of property, plants and equipment

To illustrate the retirement of plant assets, assume that Hobart Enterprises retires its computer printers, which cost Br. 32,000. The accumulated depreciation on these printers is Br. 32,000. The equipment, therefore, is fully depreciated (zero book value). The entry to record this retirement is as follows.

|                                         |        |
|-----------------------------------------|--------|
| Accumulated Depreciation—Equipment..... | 32,000 |
| Equipment .....                         | 32,000 |

(To record retirement of fully depreciated equipment)

If a company retires a plant asset before it is fully depreciated, and no cash is received for scrap or residual value, a loss on disposal occurs. For example, assume that Sunset Company discards delivery equipment that cost Br. 18,000 and has accumulated depreciation of Br. 14,000. The entry is as follows.

|                                          |        |
|------------------------------------------|--------|
| Accumulated Depreciation—Equipment ..... | 14,000 |
| Loss on Disposal of Plant Assets .....   | 4,000  |



Equipment .....18,000

(To record retirement of delivery equipment at a loss)

### 2.5.3. Exchanges of Non-Monetary Assets (PPE)

Ordinarily, companies account for the exchange of **non-monetary assets** on the basis of **the fair value of the asset given up or the fair value of the asset received, whichever is clearly more evident**. Companies record a gain or loss on the exchange of plant assets. The rationale for recognizing a gain or loss is that most exchanges have **commercial substance**. An exchange has commercial substance if the future cash flows change as a result of the exchange and if the two parties' economic positions change.

The determination of the commercial substance of a transaction requires significant judgment. In determining whether future cash flows change, it is necessary to do one of two things.

(1) Determine whether the risk, timing, and amount of cash flows arising for the asset received differ from the cash flows associated with the outbound asset. Or,

(2) Evaluate whether cash flows are affected with the exchange versus without the exchange.

Also, note that if companies cannot determine fair values of the assets exchanged, they should use recorded book values in accounting for the exchange.

| Type of Exchange                              | Accounting Guidance                                 |
|-----------------------------------------------|-----------------------------------------------------|
| ➤ <i>Exchange has commercial substance.</i>   | - <i>Recognize gains and losses immediately.</i>    |
| ➤ <i>Exchange lacks commercial substance.</i> | - <i>Defer gains; recognize losses immediately.</i> |

To illustrate, Ramos Co. exchanges some of its equipment for land held by Brodhead Inc. It is likely that the timing and amount of the cash flows arising from the land will differ significantly from the cash flows arising from the equipment. As a result, both Ramos and Brodhead are in different economic positions. Therefore, **the exchange has commercial substance**, and the companies recognize a gain or loss in the exchange. Because most exchanges have commercial substance (even when similar assets are exchanged), we illustrate only this type of situation, for both a loss and a gain.

### Loss Treatment



To illustrate an exchange that results in a loss, assume that Highland Company exchanged a set of used trucks plus cash for a new semi-truck. The used trucks have a combined book value of Br.42,000 (cost Br. 64,000 less Br.22,000 accumulated depreciation). Highland's purchasing agent, experienced in the second-hand market, indicates that the used trucks have a fair value of Br.26,000. In addition to the trucks, Highland must pay Br. 17,000 for the semi-truck. Roland computes the cost of the semi-truck as follows.

|                           |                   |
|---------------------------|-------------------|
| Fair value of used trucks | Br. 26,000        |
| Cash paid                 | <u>17,000</u>     |
| Cost of semi-truck        | Br. <u>43,000</u> |

Roland incurs a loss on disposal of plant assets of Br. 16,000 on this exchange. The reason is that the book value of the used trucks is greater than the fair value of these trucks. The computation is as follows.

|                                                          |                   |
|----------------------------------------------------------|-------------------|
| Book value of used trucks (Br.64,000 – Br. 22,000) ..... | Br. 42,000        |
| Fair value of used trucks .....                          | <u>26,000</u>     |
| Loss on disposal of plant assets .....                   | Br. <u>16,000</u> |

In recording an exchange at a loss, three steps are required: (1) eliminate the book value of the asset given up, (2) record the cost of the asset acquired, and (3) recognize the loss on disposal of plant assets. Roland Company thus records the exchange on the loss as follows.

|                                          |        |
|------------------------------------------|--------|
| Equipment (new) .....                    | 43,000 |
| Accumulated Depreciation—Equipment ..... | 22,000 |
| Loss on Disposal of Plant Assets .....   | 16,000 |
| Equipment (old) .....                    | 64,000 |
| Cash .....                               | 17,000 |

(To record exchange of used trucks for semi-truck)

## Gain Treatment

To illustrate a gain situation, assume that NOC Mart decides to exchange its old delivery equipment plus cash of Br. 3,000 for new delivery equipment. The book value of the old delivery equipment is Br. 12,000 (cost Br. 40,000 less accumulated depreciation Br. 28,000). The fair value of the old delivery equipment is Br. 19,000.

The cost of the new asset is the fair value of the old asset exchanged plus any cash paid (or other consideration given up). The cost of the new delivery equipment is Br. 22,000, computed as



shown in the following page:

|                                            |                   |
|--------------------------------------------|-------------------|
| Fair value of old delivery equipment ..... | Br. 19,000        |
| Cash paid .....                            | <u>3,000</u>      |
| Cost of new delivery equipment .....       | Br. <u>22,000</u> |

A gain results when the fair value of the old delivery equipment is greater than its book value.

For Mark Express, there is a gain of Br. 7,000 on disposal of plant assets, computed as follows.

|                                                                      |                  |
|----------------------------------------------------------------------|------------------|
| Fair value of old delivery equipment .....                           | Br. 19,000       |
| Book value of old delivery equipment (Br. 40,000 – Br. 28,000) ..... | <u>12,000</u>    |
| Gain on disposal of plant assets .....                               | Br. <u>7,000</u> |

Mark Express Delivery records the exchange as follows.

|                                                |        |
|------------------------------------------------|--------|
| Equipment (new) .....                          | 22,000 |
| Accumulated Depreciation—Equipment (old) ..... | 28,000 |
| Equipment (old).....                           | 40,000 |
| Gain on Disposal of Plant Assets.....          | 7,000  |
| Cash .....                                     | 3,000  |

*(To record exchange of old delivery equipment for new delivery equipment)*

In recording an exchange at a gain, the following three steps are involved:

- (1) Eliminate the book value of the asset given up,
- (2) Record the cost of the asset acquired, and
- (3) Recognize the gain on disposal of plant assets. Accounting for exchanges of plant assets becomes more complex if the transaction does not have commercial substance. *This issue is discussed in more advanced accounting classes.*

## Lecture Synopsis

- Meaning of Disposal: Removal of PPE from use
- Reasons for disposal are:
  - Physical damage
  - Uselessness
  - Inadequacy
  - Obsolescence



- Disposal process of PPE includes:
  - Selling
  - Exchanging
  - Retirement (Discarding)

### Wrap-up discussion question:

- a) Explain the entries required if a partially depreciated plant asset is discarded (retired).
- b) Explain the entries required in selling PPE for cash
- c) Explain the entries required when two PPE are exchanged

### Next day's assignment:

Study the following

- Natural resources
- Intangible Assets

### Next week's assignment:

1. BGI Corporation purchased a piece of equipment for Br. 50,000. It estimated a 6-year life and Br. 2,000 residual value. At the end of year four (before the depreciation adjustment), it estimated the new total life to be 8 years and the new residual value to be Br. 4,000.

**Required:** Compute the revised depreciation.

2. Suppose a machine costing Br. 35,000 had no estimated residual value and an original estimated useful life of **ten** years, has been depreciated for 7 years. At the very beginning of the 8<sup>th</sup> year, the machine was given a major overhaul costing Br. 3,000. This expenditure extended the useful life of the machine 3 years beyond the original estimate.

**Required:-** Show the journal entries to record the Major repair and the depreciation expense after the repair.

3. Super Tech Internet cafe trades its used computer for a new model at MIMI Business center. The exchange has commercial substance. The used Computer has a book value of Br. 8,000 (original cost Br. 12,000 less Br. 4,000 accumulated depreciation) and a fair



value of Br. 6,000. The new model lists for Br. 16,000. MIMI gives Super Tech a trade-in allowance of Br. 9,000 for the used Computer.

**Required:**

- a. Determine the cost of the new model Computer
- b. Journalize the exchange transaction

**Session 11**

**2.6 Intangible assets and Natural resource**

**Learning objectives:**

At the end of this session, students are expected to:

- Describe the concept of intangible assets
- Understand how depletion are computed

**Reading assignment discussion:**

- a) Distinguish between amortization and depletion
- b) What are some of the items that can be considered as intangible assets?
- c) What is natural resource?

**Reading text**

**2.6.1 Nature of Intangible Assets**

**Intangible assets** are rights, privileges, and competitive advantages that result from the ownership of long-lived assets that do not possess physical substance. Evidence of intangibles may exist in the form of contracts or licenses. Intangibles may arise from the following sources:

1. Government grants, such as patents, copyrights, licenses, trademarks, and trade names.
2. Acquisition of another business, in which the purchase price includes a payment for *goodwill*.
3. Private monopolistic arrangements arising from contractual agreements, such as franchises and leases.

There are many different types of intangibles, often classified into the following six major categories.



**1. Marketing-related intangible assets.** A trademark or trade name is a word, phrase, or symbol that distinguishes or identifies a particular company or product.

**2. Customer-related intangible assets:** - Customer-related intangible assets result from interactions with outside parties. Examples include customer lists, order or production backlogs, and both contractual and non-contractual customer relationships. Hiwot service center acquires the customer list of a large newspaper for Br. 60,000 on January 1, 2015. This customer database includes name, contact details, order history, and demographic information. Hiwot service center expects to benefit from the information evenly over a three-year period. In this case, the customer list is a limited-life intangible that Hiwot service center should amortize on a straight-line basis.

**3. Artistic-related intangible assets:** - Artistic-related intangible assets involve ownership rights to plays, literary works, musical works, pictures, photographs, and video and audiovisual material. Copyrights protect these ownership rights. A copyright is a government-granted right that all authors, painters, musicians, sculptors, and other artists have in their creations and expressions.

**4. Contract-related intangible assets:** - Contract-related intangible assets represent the value of rights that arise from contractual arrangements. Examples are franchise and licensing agreements, construction permits, broadcast rights, and service or supply contracts.

**5. Technology-related intangible assets:** - Technology-related intangible assets relate to innovations or technological advances. Examples are patented technology and trade secrets granted by a governmental body.

**6. Goodwill.:** - Goodwill is measured as the excess of the cost of the purchase over the fair value of the identifiable net assets (assets less liabilities) purchased. For example, if Portofino paid Br.2,000,000 to purchase Aquinas's identifiable net assets (with a fair value of Br. 1,500,000), Portofino records goodwill of Br. 500,000.

## Accounting for Amortization of Intangible Assets

Companies record intangible assets at cost. Intangible assets are categorized as having either a limited life or an indefinite life. If an intangible asset has a **limited life**, the company allocates its



cost over the asset's useful life using a process similar to depreciation.

The process of allocating the cost of intangibles is referred to as **amortization**. The cost of intangible assets with **indefinite lives should not be amortized**. To record amortization of an intangible asset, a company increases (debits) Amortization Expense and decreases (credits) the specific intangible asset. (Unlike depreciation, no contra account, such as Accumulated Amortization, is usually used.)

### Illustration

Intangible assets are typically amortized on a straight-line basis. For example, the legal life of a patent is 20 years in many countries. Companies **amortize the cost of a patent over its 20-year life or its useful life, whichever is shorter**. To illustrate the computation of patent amortization, assume that National Labs purchases a patent at a cost of Br. 720,000. If National estimates the useful life of the patent to be eight years, the annual amortization expense is Br. 90,000 (Br.720,000/ 8). National records the annual amortization as follows.

|                                    |        |
|------------------------------------|--------|
| Dec. 31 Amortization Expense ..... | 90,000 |
| Patents .....                      | 90,000 |
| (To record patent amortization)    |        |

### 2.6.2 Nature of natural resource

**Natural resources**, often called wasting assets, include petroleum, minerals, and timberlands. Natural resources can be further subdivided into two categories:

- (1) Biological assets such as timberlands, and
- (2) Mineral resources such as oil, gas, and mineral mining.

The accounting and reporting requirements for biological assets such as timberlands use a **fair value approach**. Here, we focus on **mineral resources**, which have two main features:

- (1) The complete removal (consumption) of the asset, and
- (2) Replacement of the asset only by an act of nature.

Unlike plant and equipment, mineral resources are consumed physically over the period of use and do not maintain their physical characteristics. Still, the accounting problems associated with these resources are similar to those encountered with property, plant, and equipment. The questions to be answered are:



1. How do companies establish the cost basis for write-off?
2. What pattern of allocation should companies employ?

## Accounting for Depletion of Natural Resource

Recall that the accounting profession uses the term **depletion** for the process of allocating the cost of mineral resources. The following illustration is used to show the accounting process of depleting natural resource.

### Illustration

To illustrate, assume that Lane Coal Company invests Br. 50 million in a mine estimated to have 10 million tons of coal and no residual value. In the first year, Lane extracts and sells 800,000 tons of coal. Using the formulas above, Lane computes the depletion expense as follows.

$\text{Br. } 50,000,000 / 10,000,000 = \text{Br. } 5/\text{ton}$  depletion cost per ton

$\text{Br. } 5 \times 800,000 = \text{Br. } 4,000,000$  annual depletion expense

Lane records depletion expense for the first year of operation as follows.

|                                                |           |
|------------------------------------------------|-----------|
| Dec. 31 Depletion Expense .....                | 4,000,000 |
| Accumulated Depletion .....                    | 4,000,000 |
| (To record depletion expense on coal deposits) |           |

### Lecture synopsis:

- Intangible assets: Assets without physical existence but with value because of the right they provide to companies for long period of time. It includes:
  - Patents
  - Copyright
  - Good will
  - Franchise
  - Trademark
  - Trade name etc...
- Accounting treatment: recorded at their cost of acquisition or development
  - a. Acquisition cost
    - Purchase cost and additional expenditure
  - b. Amortization



Periodic decline in the usefulness of intangible assets

- Factors to determine Amortization of intangible assets
  - Acquisition cost
  - Life of the asset can be:
    - Useful/ economic life or
    - Legal life
  - Amortization method for these asset is usually straight line method

1. Natural resources

- Meaning
  - Resources supplied by nature and physically removed from the ground.
    - Mineral deposits
    - Ore deposits
    - Oil resources
    - Timber land
    - ets...
- i) acquisition cost
  - purchase right cost
  - exploration cost
  - development cost
- ii) depletion
  - the cost of the resource extracted from the ground

Factor to be considered while depleting natural resource

- acquisition cost
- capacity
- residual value
- depletion method

**Wrap up discussion question**

- a. What are the main accounting concepts towards the accounting treatment of intangible assets?
- b. What are the major characteristics of natural resources?



### **Next day assignment:**

Study the following

- Current liabilities
  - The nature of liabilities
  - Classification of Liabilities
  - Types of current Liabilities
  - Presentation of current Liabilities in the Statement of financial position

### **Next week's assignment**

1. On July 1, 2014, Ticino Inc. invested Br. 720,000 in a mine estimated to have 800,000 tons of ore of uniform grade. During the last 6 months of 2014, 120,000 tons of ore were mined and sold.

#### ***Instructions***

- (a) Prepare the journal entry to record depletion expense.
- (b) Assume that the 120,000 tons of ore were mined, but only 90,000 units were sold. How are the costs applicable to the 30,000 unsold units reported?

2. The following are selected 2014 transactions of Yosuke Corporation.

Jan. 1 Purchased a small company and recorded goodwill of Br. 150,000. Its useful life is indefinite.

May 1 Purchased for Br. 84,000 a patent with an estimated useful life of 5 years and a legal life of 20 years.

#### ***Instructions***

Prepare necessary adjusting entries at December 31 to record amortization required by the events above.

## **Chapter 3: Current Liabilities**

**(4 hours)**

**Session 12**



## Topics: The basics of accounting for current liabilities

### Learning Objective

At the end of this session, students are expected to:

- Explain a current liability, and identify the major types of current liabilities
- Describe the accounting for notes payable.
- Explain the accounting for other current liabilities.
- Understand the financial statement presentation of current liabilities

### Reading text

## 3.1 Introduction to the Nature of Liabilities

The IASB, as part of its Conceptual Framework, defines a **liability** as a present obligation of a company arising from past events, the settlement of which is expected to result in an outflow from the company of resources, embodying economic benefits. In other words, a liability has three essential characteristics:

1. It is a present obligation.
2. It arises from past events.
3. It results in an outflow of resources (cash, goods, services).

## 3.2 Classification of Liabilities

Because liabilities involve future disbursements of assets or services, one of their most important features is the date on which they are payable. A company must satisfy currently maturing obligations in the ordinary course of business to continue operating.

Liabilities with a more distant due date do not, as a rule, represent a claim on the company's current resources. They are therefore in a slightly different category. This feature gives rise to the basic division of liabilities into (1) current liabilities and (2) non-current liabilities. The following part of these session focuses on the current liabilities.

### Illustration

*Identify whether obligations are current liabilities.* Cardinal Company has the following obligations at December 31:

- (a) A note payable for Br.100,000 due in 2 years,



- (b) A 10-year mortgage payable of Br. 300,000 payable in ten Br. 30,000 annual payments,
- (c) Interest payable of Br. 12,000 on the mortgage, and
- (d) Accounts payable of Br. 60,000. For each obligation, indicate whether it should be classified as a current liability. (Assume an operating cycle of less than one year.)

**Current liabilities** generally are obligations that the company is to pay within the coming year or its operating cycle, whichever is longer. Within the current liabilities section, companies usually list notes payable first, followed by accounts payable.

Most companies pay current liabilities within one year by using current assets rather than by creating other liabilities. Companies must carefully monitor the relationship of current liabilities to current assets. This relationship is critical in evaluating a company's short-term debt paying ability. A company that has more current liabilities than current assets may not be able to meet its current obligations when they become due.

### 3.3 Types of current liabilities

A **current liability** is reported if one of two conditions exists:

1. The liability is expected to be settled within its normal operating cycle; or
2. The liability is expected to be settled within 12 months after the reporting date.

Here are some typical current liabilities:

- |                                                   |                                            |
|---------------------------------------------------|--------------------------------------------|
| 1. Accounts payable.                              | 6. Customer advances and deposits.         |
| 2. Notes payable.                                 | 7. Unearned revenues.                      |
| 3. Current maturities of long-term debt.          | 8. Sales and value-added taxes refinanced. |
| 4. Short-term obligations expected to be payable. | 9. Income taxes payable                    |
| 5. Dividends payable.                             | 10. Employee-related liabilities.          |

#### 3.3.1. Accounts Payable

Accounts payable or **trade accounts payable**, are balances owed to others for goods, supplies, or services purchased on open account. Accounts payable arise because of the time lag between the receipt of services or acquisition of title to assets and the payment for them. The terms of the sale, (e.g., 2/10, n/30 or 1/10, E.O.M.), usually state this period of extended credit, commonly 30 to 60 days.



Most companies record liabilities for purchases of goods upon receipt of the goods. If title has passed to the purchaser before receipt of the goods, the company should record the transaction at the time of title passage. A company must pay special attention to transactions occurring near the end of one accounting period and at the beginning of the next. It needs to ascertain that the record of goods received (the inventory) agrees with the liability (accounts payable), and that it records both in the proper period.

To illustrate the difference between the gross and net methods, assume the following transactions.

| <u>Gross Method</u>                                             |        | <u>Net Method</u>       |       |
|-----------------------------------------------------------------|--------|-------------------------|-------|
| <b>1. Purchase cost Br.10,000, terms 2/10, net 30</b>           |        |                         |       |
| Purchases                                                       | 10,000 | Purchases               | 9,800 |
| Accounts Payable                                                | 10,000 | Accounts Payable        | 9,800 |
| <b>2. Invoices of Br. 4,000 are paid within discount period</b> |        |                         |       |
| Accounts Payable                                                | 4,000  | Accounts Payable        | 3,920 |
| Purchase Discounts                                              | 80     | Cash                    | 3,920 |
| Cash                                                            | 3,920  |                         |       |
| <b>3. Invoices of Br. 6,000 are paid after discount period</b>  |        |                         |       |
| Accounts Payable                                                | 6,000  | Accounts Payable        | 5,880 |
| Cash                                                            | 6,000  | Purchase Discounts Lost | 120   |
|                                                                 |        | Cash                    | 6,000 |

### 3.3.2. Notes Payable

Companies record obligations in the form of written notes as **notes payable**. Notes payable are often used instead of accounts payable because they give the lender formal proof of the obligation in case legal remedies are needed to collect the debt. Companies frequently issue notes payable to meet short-term financing needs. Notes payable usually require the borrower to pay interest.

Notes are issued for varying periods of time. Those due for payment within one year of the statement of financial position date are usually classified as current liabilities.



**To illustrate** the accounting for notes payable, assume that a Addis microfinance agrees to lend Br.100,000 on September 1, 2012. if Yanet stationary trading signs a Br. 100,000, 12%, four-month note maturing on January 1. When a company issues an interest bearing note, the amount of assets it receives upon issuance of the note generally equals the note's face value.

Yanet stationary trading therefore will receive Br. 100,000 cash and will make the following journal entry.

➤ Sept. 1 Cash 100,000  
Notes Payable 100,000  
(To record issuance of 12%, 4-month note to Addis micro-finance)

Interest accrues over the life of the note, and the company must periodically record that accrual. If Yanet stationary trading prepares financial statements annually, it makes an adjusting entry at December 31 to recognize interest expense and interest payable of Br. 4,000 (Br. 100,000X12% X 4/12).

Yanet stationary trading makes an adjusting entry as follows:

➤ Dec. 31 Interest Expense 4,000  
Interest Payable 4,000  
(To accrue interest for 4 months on Addis micro-finance note)

In the December 31 financial statements, the current liabilities section of the Statement of cash flow will show notes payable Br. 100,000 and interest payable Br. 4,000.

In addition, the company will report interest expense of Br. 4,000 under “Other income and expense” in the income statement.

If Yanet stationary trading prepared financial statements monthly, the adjusting entry at the end of each month would have been Br. 1,000 (Br. 100,000X 12% X1/12).

At maturity (January 1, 2015), Yanet stationary trading must pay the face value of the note (Br. 100,000) plus Br. 4,000 interest (Br. 100,000 X 12% X 4/12). It records payment of the note and accrued interest as follows.

Jan. 1 Notes Payable 100,000  
Interest Payable 4,000  
Cash 104,000

(To record payment of Hong Kong National Bank interest-bearing note and accrued interest at maturity)



## Lecture Synopsis:

- The nature of Liabilities: an obligation payable within one accounting period or one year whichever is long
- Classification of Liabilities
- Types of current liabilities
  - o Account payable: a liability bind by oral agreement
  - o Notes payable: an obligation evidenced by a written promise

## Next day assignment

Study the following

- Accounting for
  - o Sales tax (Turn Over Tax-TOT) payable
  - o Value Added Tax (VAT) payable
  - o Unearned Revenues
  - o Current Maturities of Long-Term Debt
  - o Dividends Payable
  - o Presentation of Current Liabilities

## Next week assignment

### Exercise

1. If cash is borrowed on a Br. 50,000, 6-month, 12% note on September 1, how much interest expense would be incurred by December 31?
2. Becky Company borrows Br. 60,000 on July 1 from the bank by signing a Br. 60,000, 10%, one-year note payable.
  - (a) Prepare the journal entry to record the proceeds of the note.
  - (b) Prepare the journal entry to record accrued interest at December 31, assuming adjusting entries are made only at the end of the year

## Session 13

### 3.3.3 Current Liabilities other than A/P and N/P

#### Learning objective:



At the end of this session, students are expected to:

- Understand the accounting treatment of current liabilities other than A/P and N/P
- Look for the Financial statement presentation of current liabilities

### Reading assignment questions

- a. Discuss the other types of current liabilities?
- b. How do current liabilities presented in the Statement of Financial Position?

### Reading text

#### A. Sales Taxes (Turn Over Tax -TOT)) Payable

As a consumer, you know that many of the products you purchase at retail stores are subject to sales taxes. Many governments also are now collecting sales taxes on purchases made on the Internet as well. Sales taxes are expressed as a percentage of the sales price. The selling company collects the tax from the customer when the sale occurs. Periodically (usually monthly), the retailer remits the collections to the government's department of revenue.

Under most government sales tax laws, the selling company must enter separately on the cash register the amount of the sale and the amount of the sales tax collected. The company then uses the cash register readings to credit Sales Revenue and Sales Taxes Payable. For example, if the March 25 cash register reading for GerjiStationary shows sales of Br. 10,000 and sales taxes of Br. 200 (sales tax rate of 2%), the journal entry is:

|                     |        |
|---------------------|--------|
| Mar. 25 Cash        | 10,200 |
| Sales Revenue       | 10,000 |
| Sales Taxes Payable | 200    |

(To record daily sales and sales taxes)

### Exercise

Meaza Auto Supply does not segregate sales and sales taxes at the time of sale. The register total for March 16 is Br. 13,440. All sales are subject to a 2% sales tax. Compute sales taxes payable, and make the entry to record sales taxes payable and sales.

#### B. Value-Added Taxes Payable



Value-added taxes (VAT) are used by tax authorities more than sales taxes (over 130 countries require that companies collect a value-added tax). As indicted earlier, a **value addedtax** is a consumption tax. This tax is placed on a product or service whenever value is added at a stage of production and at final sale. A VAT is a cost to the end user, normally a private individual, similar to a sales tax(TOT).

### Illustration

1. Addis Company grows wheat and sells it to Shewa Baking for Br. 10,000. Addis Company makes the following entry to record the sale, assuming the VAT is 15 percent.

|                                |        |
|--------------------------------|--------|
| Cash.....                      | 11,500 |
| Sales Revenue.....             | 10,000 |
| Value-Added Taxes Payable..... | 1,500  |

Addis Company then remits the Br. 1,500 to the tax authority.

2. Shewa Baking makes loaves of bread from this wheat and sells it to All Mart Supermarket for Br. 20,000. Shewa Baking makes the following entry to record the sale, assuming the VAT is 15 percent.

|                                |        |
|--------------------------------|--------|
| Cash.....                      | 23,000 |
| Sales Revenue .....            | 20,000 |
| Value-Added Taxes Payable..... | 3000   |

ShewaBaking then remits Br. 1,500 to the government, not Br. 3,000. The reason: ShewaBaking has already paid Br. 1,500 to Addis Company. At this point, the tax authority is only entitled to Br. 1,500. Shewa Baking receives a credit for the VAT paid to Addis Company, which reduces the VAT payable.

3. Chuchu Supermarket sells the loaves of bread to consumers for Br. 2,400. Chuchu Supermarket makes the following entry to record the sale, assuming the VAT is 15 percent.

|                           |       |
|---------------------------|-------|
| Cash                      | 2,760 |
| Sales Revenue             | 2,400 |
| Value-Added Taxes Payable | 360   |

### C. Unearned Revenues



How do companies account for unearned revenues that are received before goods are delivered or services are provided?

1. When a company receives the advance payment, it debits Cash and credits a current liability account identifying the source of the unearned revenue.
2. When the company recognizes revenue, it debits an unearned revenue account and credits a revenue account.

To illustrate, assume that Buna Football club sells 10,000 season soccer tickets at Br. 50 each for its five-game home schedule. Logo University records the sales of season tickets as follows.

|                                           |         |         |
|-------------------------------------------|---------|---------|
| August 6 Cash                             | 500,000 |         |
| Unearned Sales Revenue                    |         | 500,000 |
| (To record sale of 10,000 season tickets) |         |         |

After each game, Buna club makes the following entry.

|                                    |         |         |
|------------------------------------|---------|---------|
| September 7 Unearned Sales Revenue | 100,000 |         |
| Sales Revenue                      |         | 100,000 |
| (To record soccer ticket revenue)  |         |         |

The account Unearned Sales Revenue represents unearned revenue. Buna club reports it as a current liability in the statement of financial position because the school has a performance obligation. As ticket holders attend games, Buna recognizes revenue and reclassifies the amount from Unearned Sales Revenue to Sales Revenue.

## **D. Current Maturities of Long-Term Debt**

Companies often have a portion of long-term debt that comes due in the current year. That amount is considered a current liability. As an example, assume that Nohi Construction issues a five-year interest-bearing Br. 25,000 note on January 1, 2013. This note specifies that each January 1, starting January 1, 2014, Nohi should pay Br. 5,000 of the note. When the company prepares financial statements on December 31, 2013, it should report Br. 5,000 as a current liability and Br. 20,000 as a non-current liability. (The Br. 5,000 amount is the portion of the



note that is due to be paid within the next 12 months.) Companies often identify current maturities of long-term debt on the statement of financial position as long-term debt due within one year.

It is not necessary to prepare an adjusting entry to recognize the current maturity of long-term debt. At the statement of financial position date, all obligations due within one year are classified as current and all other obligations as non-current liabilities.

### **E. Dividends Payable**

A cash dividend payable is an amount owed by a corporation to its shareholders as a result of board of directors' authorization (or in other cases, vote of shareholders). At the date of declaration, the corporation assumes a liability that places the shareholders in the position of creditors in the amount of dividends declared. Because companies always pay cash dividends within one year of declaration (generally within three months), they classify them as current liabilities.

#### **Illustration**

1. When a dividend is declared

|                  |        |
|------------------|--------|
| Cash dividend    | 10,000 |
| Dividend payable | 10,000 |

2. When the dividend is paid

|                  |        |
|------------------|--------|
| Dividend payable | 10,000 |
| Cash             | 10,000 |

Until the cash dividend is paid to the shareholder, it will be reported as part of the Current Liability in the "Statement of Financial Position".

### **F. Employee-Related Liabilities will be discussed in chapter 4**

#### **Presentation of Current Liabilities**

In practice, current liabilities are usually recorded and reported in financial statements at their full maturity value. Because of the short time periods involved, frequently less than one year, the difference between the present value of a current liability and the maturity value is usually not



large. The profession accepts as immaterial any slight overstatement of liabilities that results from carrying current liabilities at maturity value.

The current liabilities accounts are commonly presented after non-current liabilities in the statement of financial position. Within the current liabilities section, companies may list the accounts in order of maturity, in descending order of amount, or in order of liquidation preference.

### Illustration

| <b>Glory Trading plc</b>                       |                          |
|------------------------------------------------|--------------------------|
| <b>Statement of Financial Position</b>         |                          |
| <b>December 31, 2017</b>                       |                          |
| <b>(in millions)</b>                           |                          |
| <b>Stockholders' Equity and Liabilities</b>    |                          |
| <b>Current liabilities</b>                     |                          |
| Short-term borrowings (notes payable)          | Br. 4,083                |
| Accounts payable                               | 2,993                    |
| Accrued expenses                               | 3,351                    |
| Accrued wages, salaries, and employee benefits | 797                      |
| Customer advances                              | 1,217                    |
| Dividends payable                              | 262                      |
| Other current liabilities                      | 888                      |
| Long-term debt due within one year             | <u>5,701</u>             |
| <b>Total current liabilities</b>               | <b>Br. <u>19,292</u></b> |

### Lecture synopsis:

1. Sales tax( Turn-Over Tax) payable
  - Sales tax included in the selling price
  - Sales tax levied separately from the sales revenue
2. Value Added Tax (VAT) payable
  - Actually paid by the final consumer of goods and services
3. Unearned Revenues



- Cash received in advance
- 4. Current Maturities of Long-Term Debt
- 5. Dividends Payable
- 6. Presentation of Current Liabilities: as part of liability it is presented in the statement of financial position

### **Next day's assignment**

### **Study the following**

- Payroll and payroll taxes
  - Overview of Ethiopian employment
  - Employee earning deduction
  - Types of leaves and termination benefit
  - Component of payroll sheet
  - Payroll related journal entries

### **Next Week's assignment**

1. On October 1, 2016, Reed Travel Company borrowed Br. 40, 000 cash and signed a one-year note payable, due on September 30, 2017. The going rate of interest for this level of risk was 10 percent. The accounting period ends on December 31.

**Required:** Compute the face amount of the note

2. FasilKenema sells 4,000 season football tickets at Br. 180 each for its 10- game home schedule. Give the entry to record (a) the sale of the season tickets and (b) the revenue recognized for playing the first home game.
3. You and several classmates are studying for the next accounting examination. They ask you to answer the following questions:
  - A. If cash is borrowed on a Br. 70,000, 9-month, 9% note on August 1, how much interest expense would be incurred by December 31?
  - B. The cash register total including sales taxes is Br. 42,000, and the sales tax rate is 5%. What is the sales taxes payable?
  - C. If Br. 42,000 is collected in advance on December 1 for 6-month magazine subscriptions, what amount of subscription revenue is recognized by December 31?



▪

## **Chapter 4 Accounting for Ethiopian Payroll system (5 hours)**

### **Session 14**

#### **Topic: Introduction to the basic accounting for payroll**

#### **Learning objective:**

At the end of this session, dear students are expected to:

- Understand the meaning of employment income tax
- Understand the importance of payroll accounting
- Define payroll related terms



## Reading assignment discussion:

- a) What term is frequently used to refer to the total amount paid to employees for a certain period?
- b) Distinguish between salaries and wages.

## Reading text

### 4.1 Introduction to the basic accounting for payroll

Individuals may receive various types of income such as wages or salary from employment, rent from letting houses or buildings, interest from lending/saving money, and profit from their trading activities or business.

These individuals are required to pay income tax. They are ordered to do so by income tax proclamations, regulation and directives. The law specifies how and when these individuals have to pay the required tax. This article deals especially with the aspect of the law which applies to individuals who earn income from employment. According to the law, individuals who obtain income from their employment are required to pay tax. In line with internationally recognized best practice, employee's income tax liabilities are calculated and paid directly by their employer. As a result the government relies on employers to compute and withhold the tax to be paid by employees. To discharge this responsibility properly, employers may need to know in advance what counts as income or shall be able to distinguish what kind of income is to be taxed or not. This article provides guidance to help employers in this respect.

However, for comprehensive understanding, students are strongly advised to refer to the proclamation No 979/2016, Regulation No. 78/2002, Directive No. 21/2009 and circular on severance tax.

#### 4.1.1. Importance of payroll accounting

Accounting for payroll is particularly important because:

- 1- Payroll often represents the largest expense that a company incurs.
- 2- Both federal and state governments require that detailed payroll records be kept and
- 3- Employees are sensitive to payroll errors or irregularities. To maintain good employee morale payroll must be paid on a timely and accurate basis.



### 4.1.2. Definition of payroll related terms

1. **Salary and Wages:** Salary and wages are usually used interchangeably. However, the term wages is more correctly used to refer to payments to unskilled-manual labor. It is usually paid based on the number of hours worked or the number of units produced. Therefore, wages are usually paid when a particular piece of work is completed or weekly. On the other hand, salaries refers to payments to employees who render managerial, administrative or similar services, and they are usually paid to skilled labor on a monthly or yearly basis.
2. **The Pay Period:** A pay period refers to the length of time covered by each payroll payment.
3. **The Pay Day:** The pay day- is the day on which wages or salaries are paid to employees. This is usually on the last day of the pay period.
4. **A Payroll Register (sheet):** is the list of employees of a business along with each employee's gross earnings; deductions and net pay (take home pay) for a particular pay period. The payroll register (sheet) is prepared based on attendance sheets, punched (clock) cards or time cards.
5. **Pay Check:** A business can pay payroll by writing a check for the amount of the net pay. A check is prepared in the name of each employee and handed to employees. Alternatively a check for the total net pay can be prepared for employees to be paid by cash at the organization.
6. **Gross Earnings:** are taxes collected from the earnings of employees by the employer organization as per the regulations of the government. These have to be submitted (paid) to the government because the employer organization is only acting as an agent of the government in collecting these taxes from employees.
7. **Payroll Deductions:** are deductions from the gross earnings of an employee such as employment income taxes (withholding taxes), labor union dues, fines, credit association pays etc.
8. **Net Pay:** Net Pay is the earning of an employee after all deductions have been deducted. This is the take home pay amount collected by an employee on the payday.

### Lecture synopsis



1. Meaning of employment income tax: a tax on employment income
2. Objective of this chapter
  - Prepare and record salary and wage payment on a payroll
  - Recording employee payroll taxes and submit these taxes to the government promptly
3. Importance of payroll includes the effect on the following party
  - to the company: as an operating expense
  - to the employee: as a major source of income and
  - to the government in general: source of tax revenue
4. Payroll related terms includes:
  - Salaries and wages
  - The pay period
  - A payroll register (sheet)
  - Pay check
  - Gross earnings
  - Payroll deduction
  - Net pay
5. Overview of Ethiopian pension law in that:
  - 7% pension from employee side
  - 11% pension from employer side

### **Warp-up discussion:**

- a. An employee with a basic salary of Br. 5,200 has been working for ABC Company from September 1 till October 12. Determine the pension contribution of this employee.

### **Next day assignment**

- Study the following :
  - o Computation of Employee overtime earning
  - o Computation of employment tax
  - o Computation of employee termination benefits

### **Session 15**



## 4.2 Overview of Ethiopian Employment income and taxing system

### Learning Objective:

At the end of this session, students are expected to:

- Calculate gross salary, payroll deductions and net pay.

### Reading assignment discussion:

- a) What are the elements of gross earning of an employee?
- b) What are payroll related deductions?
- c) How do you compute net pay of employee?

### Reading text

#### 4.2.1 Employment Income

Individuals may receive various types of income such as wages or salary from employment, rent from letting houses or buildings, interest from lending/saving money, and profit from their trading activities or business. Among these incomes the employment income includes but not limited to:

Salary, wage, an allowance, bonus commission, gratuity, or other remuneration received by an employee in respect of a past, current, or future employment;

- The value of fringe benefit received by an employee in respect of a past, current, or future employment,
- An amount received by an employee on termination of employment, whether paid voluntarily, under an agreement, or as a result of legal proceedings, including any compensation for redundancy or loss of employment, or a golden handshake payment.

The government relies on employers to compute and withhold the tax to be paid by employees. To discharge this responsibility properly, employers may need to know in advance what counts as income or shall be able to distinguish what kind of income is to be taxed or not.

#### 4.2.2 Specific element of Gross Earning of employee

##### A. Basic Salary

Basic Salary is a flat monthly salary of an employee for carrying out the normal work of employment and subject to change when the employee is promoted.



## B. Overtime work earning

Overtime work is the work performed by an employee beyond the regular working hours. Overtime earnings are the amount paid to an employee for overtime work performed. Article 33 of proclamation No. 64/1975 discussed the following about how overtime work should be paid:

A worker shall be entitled to the paid at a rate of

- i. one and one-quarter ( $1 \frac{1}{4}$ ) times his ordinary hourly rate for overtime work performed before 10:00 P.M in the evening.
- ii. One and one half ( $1 \frac{1}{2}$ ) times his ordinary hourly rate for overtime work performed between 10:00 P.M and six (6:00 A.M) in the morning.
- iii. Two times the ordinary hourly rate for overtime work performed on weekly rest days
- iv. two and one half ( $2 \frac{1}{2}$ ) times the ordinary hourly rate for overtime work performed on a public holiday.

All in all, the gross earnings of an employee may include the basic salary, allowance and overtime earnings.

## C. Allowances

Allowances are money paid monthly to an employee for special reasons, like:

- *Position allowance*- a monthly paid to an employee of earning a particular office responsibility.
- *Housing allowance*- a monthly allowance given to cover housing costs of the individual employee when the employment contract requires the employer to provide housing but the employer fails to do so.
- *Hardship allowance*- a sum of money given to an employee to compensate for an inconvenient circumstance caused by the employer. For instance, unexpected transfer to a different and distant work area or location.



- *Desert allowance*- a monthly allowance given to an employee because of assignment to a relatively hot region.

*Transportation (fuel) allowance*:- a monthly allowance to an employee to cover cost of transportation up to her workplace if the employer has committed itself to provide transportation service. ***Employment income tax shall not include exempted income for tax and retirement benefit purpose.***

### 4.2.3 Employment Income Deduction

Deductions are subtractions made from the earnings of employees required by the government or permitted by the employee himself.

#### a. Employment Income Tax:

Every citizen is required to pay employee tax to the government in almost all countries. In Ethiopia also, income tax is charged on the gross earnings of the employee at the rates indicated under schedule A of the Proclamation N. 979/2015- Income tax proclamation.

The tax rates under Employment Income tax are presented in the following page:

#### Schedule “A”

| Employment Income<br>(per month) |         | Income<br>Tax rate     | Deduction    |
|----------------------------------|---------|------------------------|--------------|
| Over Birr                        | To Birr |                        |              |
| 0                                | 600     | Exempt (Free from Tax) | No deduction |
| 601                              | 1,650   | 10%                    | 60           |
| 1, 651                           | 3,200   | 15%                    | 142.50       |
| 3,201                            | 5,250   | 20%                    | 302.50       |



|             |        |     |       |
|-------------|--------|-----|-------|
|             |        |     |       |
| 5,251       | 7,800  | 25% | 565   |
| 7,801       | 10,900 | 30% | 955   |
| Over 10,900 |        | 35% | 1,500 |

### **b. Overview of Ethiopian Pension law**

Permanent employees of both governmental and private organization in Ethiopia are expected to pay or contribute 7% of their basic salary to the governments' pension trust fund. An employee will be considered as a permanent employee if he/she engaged in their employment for more than 45 days from day of employment.

This amount is withheld by the employer from each employee on every payroll and later be paid to the respective government body. The employer is also expected to contribute towards this same fund 11% of the basic salary of every permanent government employee.

Therefore, the total contribution to the pension fund of the Ethiopian government and private employee is equal to 18% of the basic salary of all of its permanent employees. That is, 7% comes from the employees and 11% comes from the employer.

This enables a permanent employee of private and government organization to be entitled to the pension pay when retiring provided the employee satisfies the minimum requirements to enjoy the benefits.

### **c. Other Deductions**



Apart from the above two kinds of deductions, employees may individually authorize additional deductions such as deductions to pay life insurance premiums, to repay loan from the employer, to pay for donation to charitable organization, contributions to "Idir" etc.

#### **4.2.4. Income Exempt from Tax (tax free earning)**

As per the income tax Proclamation, Regulation and Directives of Ethiopia, the following categories of payments in cash or benefits in kind shall be excluded from computation of income taxable under employment income tax.

- (a) Amounts paid by employers to cover the actual cost of medical treatment of employees;
- (b) Allowances in lieu of means of transportation granted to employees under contract of employment;
- (c) Hardship allowance;
- (d) Amounts paid to employees in reimbursement of traveling expenses incurred on duty;
- (e) amounts of travelling expense paid to employees recruited from elsewhere than the place of employment on joining and completion of employment or in case of foreigners traveling expenses from or to their country, provided that such payments are made pursuant to specific provisions of the contract;
- (f) Allowances paid to members and secretaries of boards of public enterprises and public bodies as well as to members and secretaries of study groups set up by the Federal or Regional Government;
- (g) Income of persons employed for domestic duties;
- (h) The Tax Authority is empowered to determine the amount of payments specified under (b), (d) and (e) of the above element and based on that

#### **Net Pay**

Net pay represents the excess of gross earnings over total deductions of an employee.

#### **Lecture**

- Employment Income: all sorts of income in cash and in kind
- Specific element of Gross Earning of employee includes:
  - Basic Salary
  - Overtime work earning and Allowances



- Employment Income Deduction includes
  - Employment Income Tax:
  - Pension contribution and
  - Other Deductions
- Income Exempt from Tax are clearly set by the income taxproclamation regulation and directives
- Net Pay : Gross earning less total deduction

### Examples

1. Assume that Mr. Abebe is an employee of ABC Co. with a basic salary of Br. 6,400. The regular working hours per week is 40 hours. Mr. Abebeis entitle to get a position allowance and transportation allowance of Br. 1,500 and Br. 600 respectively. Beside this he has been working for additional 15 hours; of which, 5 hours on weekly rest day, 6 hours on public holiday and the remaining after 10:00 pm. Assuming that Mr. Abebe is a permanent employee:

#### Required:

- a. Compute the gross earning of Mr. Abebe for the month of May
- b. Compute the total payroll deduction of Mr. Abebe for the month of May

### Solution

Gross earning= Basic salary + Allowances + overtime earning

Overtime earning?

1<sup>st</sup> determine regular pay per hour i.e

$$\text{Regular pay per hour} = \frac{\text{Monthly basic salary}}{\text{Monthly working hours}} = \frac{\text{Br. 6,400}}{40\text{hours} \times 4} = \text{Br. 40/hour}$$

Over time earning = Regular pay per hour X OT duration rate X OT hour worked

OT duration rate 5hour week end 2 times, 6 hour public holiday 2.5 times and after 10:00pm 1.5times. Therefore,

$$\begin{aligned} \text{Overtime earning} &= \text{Br. 40/hour} \times 2\text{times} \times 5\text{hours} \\ &+ \\ &= \text{Br. 40/hour} \times 2.5\text{times} \times 6\text{hours} \\ &+ \\ &= \text{Br. 40/hour} \times 1.5 \text{ times} \times 4 \text{ hours} \end{aligned}$$

Overtime earning = Br. 1,240

Gross earning= Basic salary + Allowances + overtime earning



$$\begin{aligned} &= \text{Br. } 6,400 + (\text{Br. } 1,500 + 600) + \text{Br. } 1,240 \\ &= \underline{\text{Br. } 9,740} \end{aligned}$$

Total payroll deduction = Payroll Tax + Pension + Other(if any)

i. Payroll tax

$$\begin{aligned} \text{Taxable Income} &= \text{Gross Earning} - \text{Exempted earning} \\ &= \text{Gross Earning} - \text{Transportation Allowance} \\ &= \text{Br. } 9,740 - \text{Br. } 600 \\ &= \text{Br. } 9,140 \end{aligned}$$

$$\begin{aligned} \text{Therefore, Tax} &= (\text{Br. } 9,140 \times 30\%) - \text{Br. } 955 \\ &= \text{Br. } 1,787 \end{aligned}$$

$$\begin{aligned} \text{ii. Pension} &= \text{Basic salary} \times 7\% \dots \text{Employee} \\ &= \text{Basic salary} \times 11\% \dots \text{Employer} \end{aligned}$$

$$\text{Pension} = \text{Br. } 6,400 \times 7\% = \text{Br. } 448 \text{ Employee}$$

$$\text{Pension} = \text{Br. } 6,400 \times 11\% = \text{Br. } 704 \text{ Employer}$$

$$\begin{aligned} \text{Total payroll deduction} &= \text{Tax} + \text{Pension} \\ &= \text{Br. } 1,787 + \text{Br. } 448 \\ &= \underline{\text{Br. } 2,235} \end{aligned}$$

$$\begin{aligned} \text{Net Pay} &= \text{Gross earning} - \text{Total payroll deduction} \\ &= \text{Br. } 9,740 - \text{Br. } 2,235 \\ &= \underline{\text{Br. } 7,505} \end{aligned}$$

Note:

|                            |                   |
|----------------------------|-------------------|
| Payroll expense.....       | Br. 9,740         |
| Pension contribution.....  | <u>Br. 704</u>    |
| Total Salary expense ..... | <u>Br. 10,444</u> |

***The following two questions are covered in the following session***

- c. Prepare a payroll register and fill the information computed
- d. Journalize the necessary payroll related transaction

**Warp-up discussion question:**



- a. What will be the overtime earning of an employee whose basic salary is Br. 6,400 and a monthly working hour of 176 hour?
- b. What sorter of income is free from tax?

**Next day's assignment:**

- Study the component of Payroll register
- What are payroll related Journal entries
- What are the different type of leaves and termination benefits

**Session 16**

**4.3 Accounting systems for payroll and payroll tax presentation**

**Learning objective:**

Dear students after the end of this session you are expected to;

- Prepare payroll register
- Record journal entries related to payroll taxes
- Compute types of leaves and termination benefits

**Reading assignment discussion:**

- a) Discuss elements of payroll register?
- b) What are the different types of employee leaves and termination benefit?

**Reading text:**

**4.3.1 Possible components of a payroll register**

1. Employee Tax Identification Number (TIN)

Number assigned to employees for identification purpose when a relatively large number of employees are involved in a payroll register.

- |                      |                    |
|----------------------|--------------------|
| 2. Name of Employees | - Allowances       |
| 3. Earnings          | - Overtime Earning |
| - Basic Salary       | 4. Deduction       |



## College of Business, Economics & Social Sciences

- Employment Income Tax
  - Pension Contribution
  - Other Deductions
- 5. Net Pay
  - 6. SIGNITURE OF EMPLOYEE

Using the solved illustration from the previous session the computed information's are presented in the following page payroll register:

### ABC Company Payroll Register For the month of May

| TIN No. | Name of Employee | Earnings     |            |           | Gross Earning | Deductions |                |              | Total Deduc. | Net Pay | Sign |
|---------|------------------|--------------|------------|-----------|---------------|------------|----------------|--------------|--------------|---------|------|
|         |                  | Basic salary | Allo-wance | Over Time |               | Income Tax | Pension Contr. | Other Deduc. |              |         |      |
| 001     | Mr. Abebe        | 6,400        | 2,100      | 1,240     | 9,740         | 1,787      | 448            | -            | 2,235        | 7,505   | —    |
|         |                  |              |            |           |               |            |                |              |              |         |      |
|         |                  |              |            |           |               |            |                |              |              |         |      |
|         |                  |              |            |           |               |            |                |              |              |         |      |
| Total   |                  |              |            |           | 9,740         |            |                |              |              |         |      |

Prepared by \_\_\_\_\_ Checked by \_\_\_\_\_ Approved by \_\_\_\_\_

**Payroll expense .....Br. 9,740**

**Pension contribution... Br. 704**

**Total salary expense... Br.10,444**

### 4.3.2 Payroll Related Journal Entries

The payroll process will be completed after the journal entries presented in the following table are made and posted in the appropriate ledger (account).

- ✓ to record payment of salary and withholding of tax, pension and contribution



|                                                                   |       |
|-------------------------------------------------------------------|-------|
| Payroll expense.....                                              | 9,740 |
| Pension contribution (11%).....                                   | 704   |
| Cash (Net pay).....                                               | 7,505 |
| Payroll tax payable.....                                          | 1,787 |
| Pension Payable (7% + 11%).....                                   | 1,125 |
| ✓ to record payment of withheld tax to the tax authority          |       |
| Payroll tax payable.....                                          | 1,787 |
| Cash .....                                                        | 1,787 |
| ✓ to record payment of withheld pension to the pension trust fund |       |
| Pension payable (7% + 11%).....                                   | 1,125 |
| Cash .....                                                        | 1,125 |

### 4.3.3 Compensation and other funding taxation

When companies cut jobs or reduce their workforce, they may offer-

- 1) *Compensation*
- 2) *Severance*
- 3) *Annual leave*
- 4) *Bonus and other funding to laid-off workers.*

The employers shall take notice that these funding for laid-off workers is taxable. The base of calculation for the tax to be withheld is the amount of compensation divided by the final salary paid at the time of layoff.

This enables the employer to figure the specific period of time covered by the compensation. Then the employer calculates the tax to be paid on a monthly basis and multiplies it by the specific period of time covered by the compensation to figure the total tax to be levied on the total compensation.

**Example 1**, suppose the compensation offered to the employee is 30,000 birr and the final regular salary paid when compensation is granted is 2500 birr then the specific period of time covered by compensation is going to be 12 months i.e.  $30000 / 2500 = 12$ . Hence, the tax to be



levied on or withheld from the monthly salary is 448 birr whereas the tax for the period covered by the compensation is 5376 birr i.e. 448 multiplied by 12.

**Example 2**, suppose the compensation offered to the employee is 30, 900 birr and the final regular salary paid when compensation is granted is 2500 birr then the specific period of time covered by compensation is going to be 12 month with a remainder of 900 birr. The employer is therefore required to withhold 93 birr on the remainder in addition to the tax amounting to 5376 birr.

## Lecture synopsis

- Possible components of a payroll register includes:
  - Employee Tax Identification Number (TIN)
  - Name of Employees
  - Earnings
  - Deduction
  - Net Pay
  - Signature of employee
- Payroll Related Journal Entries should be maintained after a payroll register is maintained
- Compensation and other funding taxation is made by taking the total amount and on monthly salary base

## Warp-up discussion question:

When is the withholding tax paid to the relevant government authority?

## Next day assignment:

Study accounting for companies in Ethiopia

## Next week assignment

ABC Company engaged in Selling Imported goods to local customers. The following information related to the operation for the month ended Ginbot 30 of the current Ethiopian calendar is presented below:

| TIN No | Employee name | Basic Salary | Transportation Allowance | Overtime worked (hr) | Duration of OT Work |
|--------|---------------|--------------|--------------------------|----------------------|---------------------|
|        |               |              |                          |                      |                     |



|            |             |           |       |    |                 |
|------------|-------------|-----------|-------|----|-----------------|
| 0029345682 | Amen Abebe  | Br. 3,400 | 1,000 | 10 | Weekly Rest Day |
| 0029345683 | YonasMeles  | 6,720     | -     | 8  | Before 10:00 pm |
| 0029345684 | Joel Zola   | 9,600     | 2,000 | 12 | Public holiday  |
| 0029345685 | HassenJemal | 6,400     | -     | 14 | After 10:00 pm  |

### Additional Information:

- The normal work hours per week are 40
- There were no absentees during the month.
- All employee are permanent except YonasMeles
- Hassen agreed to contribute Br. 1,000 per month as a saving in the credit association of the agency.
- Joel Zola is a Kenyan citizen

### Required

- Compute the earning, deduction and net pay of each employee
- Prepare a payroll register
- Journalize the necessary payroll transactions

## Chapter 5: Partnerships: Formation Operation and Liquidation (9 hours)

### Chapter objectives

Dear student, after completion of this chapter the student should be able to:

- Define and describe partnerships:
- Describe the advantage and disadvantage of partnership:



- Explain the procedures for recording formation of partnerships:
- Discuss about income division:
- Describe about the admission and withdrawal of partners of a partnership; and
- Liquidation process of partnerships:

## **Session 22**

### **Topic: Definition, characteristics, advantages and disadvantages of partnerships:**

#### **Session learning objective**

Dear students, after completing this session you should be able to define and describe

- The meaning of partnership business type
- Characteristics of the business
- Advantage and disadvantage of the business
- Formation of partnership business

#### **Reading assignment questions**

- What is partnerships business?
- Why do people choose partnership form of business organization?

### **Reading text**

#### **5.1. Introduction to Partnerships and there characteristics**

##### **I. Meaning of Partnership Business**

**Definition:-** A partnership is an association of two or more persons to carry on as co-owners of a business for profit. Partnerships are sometimes used in small retail, service, or manufacturing companies. Also accountants, lawyers, and doctors find it desirable to form partnerships with other professionals in the field.



A partnership agreement is a contract whereby two or more **person who** intend to join together and to cooperate undertake to bring together contributions for the purpose of carrying out activities of an economic nature and of participating in the profits and losses arising out thereof, if any.

## II. Contributions Nature and amount

- ✓ Each partner shall make a contribution, which may be in money, debts, other property or skill.
- ✓ Property or the use of property may form a contribution.
- ✓ Unless otherwise agreed, contributions shall be equal and of the nature and extent required for carrying out the purposes of the partnership.

## III. Characteristics of Partnerships

The principal characteristics of partnerships are:

- **Association of individuals:-** A partnership also is an accounting entity. Thus, the personal assets, liabilities, and transactions of the partners are excluded from the accounting records of the partnership, just as they are in a proprietorship.
- **Mutual agency:-** means that each partner acts on behalf of the partnership when engaging in partnership business.
- **Limited life:-** A partnership may be ended voluntarily at any time through the acceptance of a new partner or the withdrawal of a partner. **Partnership dissolution**
- **Unlimited liability:-** Each partner is **personally and individually liable for all partnership liabilities**. Creditors' claims attach first to partnership assets.
- **Co-ownership of property:-** Partners jointly own partnership assets
- Difficulty in transferring partnership interest
- Non-taxable entity
- Few government regulations



## IV. Organizations with Partnership Characteristics

1. **Limited partnerships:-** In a limited partnership, one or more partners have unlimited liability and one or more partners have limited liability for the debts of the firm.(general partners and limited partner)
2. **Limited liability partnership:-***all partners have* limited liability. There are no general partners.
3. **Limited liability companies:-**A hybrid form of business organization with certain features like a corporation and others like a limited partnership is the limited liability company, or “LLC.”

## V. Advantages and disadvantages of partnership

### a. Advantages of Partnership business

A partnership form of business ownership has the following advantages:

1. Easy and inexpensive to form than a corporation. A partnership is easy to form. It only requires the consent of two or more parties. Two or more competent persons simply agree to be partners in some common business purpose.
2. Advantageous to raise a large amount of capital and managerial skill (talent) than a sole proprietorship. Because a partnership is formed by two or more persons, it is possible to raise a large amount of capital and managerial skill than a single owner.
3. Not subject to separate taxation as a case in a corporation because each partner reports his/her own share of partnership income and is individually taxed, and
4. Not required to observe on many restrictive laws unlike a corporation.

### C. Disadvantages of Partnership Business

Partnership has the following disadvantages:

1. Partners assume unlimited liability. The liability of the partners is not limited to what they have in the partnership, but it goes to the extent of their personal properties (assets).
2. Disadvantageous if each partner does not exercise his/her good judgment because one partner's act can bind a partnership into a contract.



3. Limited life. Partnerships are subject to possible termination due to many uncontrollable circumstances such as the death of a partner.
4. The transfer of ownership from one partner to another person is difficult unless the remaining partners approve of this.

## Lecture synopsis

- a. A partnership business is: a business which is established and operated by an association of two or more persons
- b. Characteristics of partnerships businesses includes:
  - Limited life
  - Unlimited liability of general partners
  - Co-ownership of partnerships property
  - Mutual agency of partners
  - Participation in income division
  - Partnerships are non-taxable entities
  - Organization through partnership agreement or partnership deeds
- c. Advantage and disadvantages of partnerships
  - Advantage
    - o Ease of formation and dissolution
    - o Payment of tax only once on the income generated
  - Disadvantage
    - o Unlimited liability
    - o Difficulty of raising larger capital

## Warp-up discussions

- Summarize the characteristics, advantages and disadvantages of partnerships

## Class Activities

- Indicate whether each of the following statements is *true or false*.

1. Partnerships have unlimited life. Corporations do not.
2. Partners jointly own partnership assets. A partner's claim on partnership assets does not attach to specific assets.



3. In a limited partnership, the general partners have unlimited liability.
4. The members of a limited liability company have limited liability, like shareholders of a corporation, and they are taxed like corporate shareholders.
5. Because of mutual agency, the act of any partner is binding on all other partners.

### **Next day's assignment**

Read about the accounting procedures for recording of owners' initial investment and income division of partners

## **Session 23**

### **5.2 Accounting for partnerships, recording owners' investment and income division**

#### **Session learning objectives**

Dear student after completion of this session, you are expected to:

- Properly explain the accounting procedures involved in the process of recording owners investment
- Division of income or loss of a partnership business organization

#### **Reading assignment discussions**

- a. What are the different ways of partner's contribution and how do we record it?
- b. How division of income or loss does made in a partnership business?

### **Reading text**

#### **5.2.1 The Partnership Agreement and Formation of the business**

The agreement of two or more individuals to form a partnership called the **partnership agreement** or **articles of co-partnership**. specify relationships among the partners, such as:

1. Names and capital contributions of partners.



2. Rights and duties of partners.
3. Basis for sharing net income or net loss.
4. Provision for withdrawals of assets.
5. Procedures for submitting disputes to arbitration.
6. Procedures for the withdrawal or addition of a partner.
7. Rights and duties of surviving partners in the event of a partner's death.

The basic accounting process for partnership includes recording of owners investment which is discussed in the following page:

## Recording the formation of partnership

Each partner's initial investment in a partnership is entered in the partnership records. The partnership should record these investments at the **fair value of the assets at the date of their transfer to the partnership. All partners must agree to the values assigned.**

### Illustration

Abebe and Kebede have the following assets prior to the formation of the partnership.

|                         | <u>Book value</u> | <u>Fair value</u> |          |           |
|-------------------------|-------------------|-------------------|----------|-----------|
|                         | Abebe             | Kebede            | Abebe    | Kebede    |
| Cash .....              | Br. 8,000         | Br. 9,000         | Br 8,000 | Br. 9,000 |
| Equipment .....         | 5,000             | -                 | 4,000    | -         |
| AccumDepn .....         | (2,000)           | -                 | -        | -         |
| Account Receivable..... | -                 | 4,000             | -        | 4,000     |
| Allowance for DA.....   | -                 | (700)             | -        | (1,000)   |
| Total .....             | 11,000            | 12,300            | 12,000   | 12,000    |



The partnership records the investments as follows.

❖ Investment of Abebe

|                                        |        |
|----------------------------------------|--------|
| Cash .....                             | 8,000  |
| Equipment .....                        | 4,000  |
| Abebe capital .....                    | 12,000 |
| <i>- to record investment by Abebe</i> |        |

❖ Investment of Kebede

|                                         |        |
|-----------------------------------------|--------|
| Cash .....                              | 9,000  |
| Account Receivable .....                | 4,000  |
| Allowance for Doubtful acct.....        | 1,000  |
| Kebede Capital .....                    | 12,000 |
| <i>- to record investment by Kebede</i> |        |

## 5.2.2 Dividing Net Income or Net Loss

### ✓ Profit sharing

- (1) The partners shall share all profits which, by their nature, are partnership profits.
- (2) Unless otherwise agreed, every partner may be distributed immediately after approval of require that the profits the management report.

### ✓ Manner of distributing profits and losses

- (1) Unless otherwise agreed, every partner shall have an equal share in the profits and losses, irrespective of his contribution.
- (2) If the agreement specifies either the share in the profits or the share in the losses, this provision shall apply equally to the share of profits and losses.

**The USA version regarding profit or loss division is as follows**

The Income of a partnership normally has three components:



- (1) return to the partners for the use of their capital – called interest allowance on partners' capital,
- (2) compensation for direct services the partners have rendered – called partners' salary allowance, and
- (3) other income for any special characteristics individual partners may bring to the partnership or risks they may take.

The breakdown of total income into its three components helps clarify how much each partner has contributed to the firm.

Partners equally share partnership net income or net loss unless the partnership contract indicates otherwise. Because of its wide acceptance, we will use the term income ratio to identify the basis for dividing net income and net loss. The partnership recognizes a partner's share of net income or net loss in the accounts through *closing entries*.

## Closing entries

The entries are:

1. Debit each revenue account for its balance, and credit Income Summary for total revenues.
2. Debit Income Summary for total expenses, and credit each expense account for its balance.
3. Debit Income Summary for its balance, and credit each partner's capital account for his or her share of net income. Or, credit Income Summary, and debit each partner's capital account for his or her share of net loss.
4. Debit each partner's capital account for the balance in that partner's drawing account, and credit each partner's drawing account for the same amount.

## Income Sharing Ratios

1. A fixed ratio, expressed as a proportion (6:4), a percentage (70% and 30%), or a fraction ( $\frac{2}{3}$  and  $\frac{1}{3}$ ).
2. A ratio based either on capital balances at the beginning of the year or on average capital balances during the year.



3. Salary allowance to partners and the remainder on a fixed ratio.
4. Interest allowance on partners' capital balances and the remainder on a fixed ratio.
5. Salaries to partners, interest on partners' capital, and the remainder on a fixed ratio.

## Illustration

### Salary allowance, Interest allowance, & Remainder on a Fixed Ratio

To illustrate, assume that King and Lee are co-partners in the Kingslee Company. The partnership agreement provides for:

(1) Salary allowances of \$8,400 to King and \$6,000 to Lee, (2) Interest allowances of 10% on capital balances at the beginning of the year, and (3) The remainder equally.

Capital balances on January 1 were King Br. 28,000, and Lee Br. 24,000. In 2012, partnership net income is Br. 22,000.

- The division of net income is presented in the following page.

#### Kingslee Company

#### Division of Net Income

For the year Ended December 31,2012

|                                                     |                             |           |              |
|-----------------------------------------------------|-----------------------------|-----------|--------------|
|                                                     | Net Income ..... Br. 22,000 |           |              |
|                                                     | Division of net Income      |           |              |
|                                                     | King                        | Lee       | Total        |
| Salary allowance                                    | Br. 8,400                   | Br. 6,000 | Br. 14,000   |
| Interest allowance on partners' capital             |                             |           |              |
| Sara King (Br. 28,00X10%).....                      | 2,800                       |           |              |
| Ray Lee (Br. 24,000X10%) .....                      |                             | 2,400     |              |
| <b>Total Interest allowance</b> .....               |                             |           | <u>5,200</u> |
| Total salaries and Interest                         | Br. 11,200                  | Br. 8,400 | Br. 19,600   |
| Remaining income, (Br. 22,000-Br. 19,600) Br. 2,400 |                             |           |              |
| Sara King (Br. 2,400X50%).....                      | Br. 1,200                   |           |              |



|                              |                   |                  |                   |
|------------------------------|-------------------|------------------|-------------------|
| Ray Lee(Br. 2,400X50%).....  | Br. 1,200         |                  |                   |
| Total remainder.....         |                   |                  | <u>2,400</u>      |
| Total division of net income | Br. <u>12,400</u> | Br. <u>9,600</u> | Br. <u>22,000</u> |

### Closing entry

Kingslee Company records the division of net income as follows.

|                                    |        |  |  |
|------------------------------------|--------|--|--|
| <b>Dec. 31</b> Income Summary..... | 22,000 |  |  |
|                                    |        |  |  |
| Sara King, Capital .....           | 12,400 |  |  |
| Ray Lee, Capital .....             | 9,600  |  |  |

*(To close net income to partners' capital)*

### Exercise

Steve Prince and Chelsy Bernard formed a partnership, dividing income as follows:

1. Annual salary allowance to Prince of Br. 42,000.
2. Interest allowance of 9% on each partner's capital balance on January 1.
3. Any remaining net income divided at 6:4 ratio.

Prince and Bernard had Br. 200,000 and Br. 150,000 in their January 1 capital balances, respectively. Net income for the year was Br. 240,000.

**Required: - How much net income should be distributed to Prince?**

### Financial statements for a partnership

The income statement of a sole proprietorship and that of a partnership are the same. At the end of the period a statement of partners' capital is prepared which summarizes the effect of transactions on the capital account balances of each partner. The statement of owners equity for Sara King and Ray Lee using assumed data and the income division shown above is illustrated in the following page:



**Kingslee Company**  
**Statement of partners' Capital**  
**For the year ended December 31, 2012**

|                                    | <u>Ray Lee</u>    | <u>Sara King</u>  |
|------------------------------------|-------------------|-------------------|
| Capital Bal. January 1, 2012       | Br. 28,000        | Br. 24,000        |
| Add: Additional investment         | <u>4,200</u>      | <u>4,500</u>      |
| Total                              | Br. 32,200        | Br. 28,500        |
| Net Income distribution            | <u>12,400</u>     | <u>9,600</u>      |
|                                    | Br. 44,600        | Br. 38,100        |
| Deduct: Withdrawal during the year | <u>5,000</u>      | <u>5,000</u>      |
| Capital Bal. Dec31, 2012           | Br. <u>39,600</u> | Br. <u>33,100</u> |

**Note:** - The Statement of Financial Position of a partnership is different from that of a sole proprietorship only in the owner's equity section. In the partnership business since two or more persons owns the business, there are two or more capital accounts whereas for a sole proprietorship there will always be one capital account.

### **Lecture synopsis**

Dear student under the session disused above the following points were covered

- The Partnership Agreement o sharing profit or loss
- Basic Partnership Accounting
- Recording the formation of partnership
- Dividing Net Income or Net Loss
  - Closing entries
  - INCOME sharing RATIOS
- Financial statements for a partnership similar to sole proprietorship except an additional statement is prepared to show income sharing among partners

### **Warp-up discussion questions:**



- What are the possible assets that can be contributed in order to become a partner?
- How is a profit or loss of a partnership distributed to partners?
- What is the effect of profit or loss on the capital balance of a partner respectively?

### **Next day's assignment**

Dear student, could you read on the common causes and accounting treatment of dissolution of a partnership

### **Session 24**

## **5.3 Accounting for Dissolution of partnerships**

### **Session learning objectives:**

After completion of this session,

- The student should be able to discuss and
- Describe about dissolution of a partnership through admission or withdrawal of one or more partners.

### **Reading assignment discussions:**

- What does dissolution of partnership means?
- Would you please describe the common cause for the dissolution of partnerships?

### **Reading text**

## **Dissolution of a partnership**

Dissolution of a partnership occurs whenever there is change in the original association of partners. When a partnership is dissolved, the partners lose their authority to continue the business as a going concern. This does not mean that the business operation necessarily is ended or interrupted, but it does mean – from a legal and accounting standpoint – that the separate entity stops to exist. A partnership is legally dissolved when a new partner is admitted or an existing partner withdraws.

### **A. Admitting a Partner**



A person may be admitted to a partnership by either of the following:

1. Purchasing an interest from one or more of the existing partners
2. Contributing assets to the partnership

### 1. Purchasing an Interest from Existing Partners

- When a new partner is admitted by *purchasing an interest from one or more of the* existing partners, the total assets and the total owners' equity of the partnership are not affected.
- The capital (equity) of the new partner is recorded by transferring capital (equity) from the existing partners. The transaction is between the new and existing partners acting as individuals.

### Illustration

To illustrate, assume that on June 1 Tamerat and Beyene each sell **one fifth** of their partnership equity of AB Company to Yonatan for Br. 10,000 in cash. On June 1, the partnership has net assets of Br. 100,000 and both existing partners have capital balances of Br. 50,000 each. This transaction is between Tamerat, Beyene, and Yonatan.

The only entry required by Company is to record the transfer of capital (equity) from Andrews and Bell to Carter, as shown in the following page:

### Solution

#### June 1

|                       |        |
|-----------------------|--------|
| Tamrat, Capital.....  | 10,000 |
| Beyene, Capital.....  | 10,000 |
| Yonatan, Capital..... | 20,000 |

---



After Yonatan is admitted to ABC, the total owners' equity is still Br.100,000. Yonatan has a one-fifth (20%) interest and a capital balance of Br. 20,000. Tamerat and Beyene each own two-fifths (40%) interest and have capital balances of Br. 40,000 each.

If Yonatan had paid Br. 15,000 to Tamerat and Beyene instead of Br. 10,000, the entry would still be the same. This is because the transaction is between Tamerat, Beyene, and Yonatan, rather than the partnership.

**Note** *Partners' capital accounts are debited for any ownership claims sold.*

## 2. Contributing Assets to a Partnership

When a new partner is admitted by *contributing assets to the partnership*, the total assets and the total owners' equity of the partnership are increased. The capital (equity) of the new partner is recorded as the amount of assets contributed to the partnership by the new partner.

The total assets and the total owners' equity of the partnership are increased. This is because the transaction is between the new partner and the partnership. **Admission by investment, the transaction increases both the net assets and total capital of the partnership.**

### Illustration

To illustrate, assume that instead of purchasing a one-fifth ownership in AB Company directly from Tamerat and Beyene, Yonatan contributes Br. 20,000 cash to ABC Company for ownership equity of Br. 20,000. The entry to record this transaction is as follows:

|                       |        |
|-----------------------|--------|
| Cash.....             | 20,000 |
| Yonatan, Capital..... | 20,000 |

After the admission of Yonatan, the net assets and total owners' equity of ABC Company increase to Br. 120,000, of which Yonatan has a Br. 20,000 interest. In contrast, in the prior example, the net assets and total owners' equity of ABC did not change from Br. 100,000.

### Revaluation of Assets

Before a new partner is admitted, the balances of a partnership's asset accounts should be stated at current values. If necessary, the accounts should be adjusted. Any net adjustment (increase or



decrease) in asset values is divided among the capital accounts of the existing partners similar to the division of income.

### Illustration

To illustrate, assume that in the preceding example the balance of the merchandise inventory account is Br. 14,000 and the current replacement value is Br. 17,000. If Tamerat and Beyene share net income equally, the revaluation is recorded as follows:

Merchandise Inventory.....3,000  
    Tamerat, Capital.....1,500  
    Beyene, Capital.....1,500

### Illustration II

Belay invested Br. 45,000 in the Lema&Kebede partnership for ownership equity of Br.45,000. Prior to the investment, land was revalued to a market value of Br. 260,000 from a book value of Br. 200,000. Lema and Kebede share net income in a 1:2 ratio.

- a. Provide the journal entry for the revaluation of land.
- b. Provide the journal entry to admit Belay.

a. Land ..... 60,000  
    Lema, Capital . . . . . 20,000  
    Kebede, Capital. . . . . 40,000  
    (Br. 60,000 x 1/3Lema and Br. 60,000x 2/3Kebede)  
b. Cash ..... 45,000  
    Belay,Capital . . . . . 45,000

#### i. Bonus to Old Partners

A bonus to old partners results when the new partner's investment in the firm is greater than the capital credit on the date of admittance. The bonus results in an increase in the capital balances of the old partners. The partnership allocates the bonus to them on the basis of their income ratios before the admission of the new partner.



*To illustrate*, assume that the Bart–Cohen partnership, owned by Sam Bart and Tom Cohen, has total capital of Br. 120,000. Lea Eden acquires a 25% ownership (capital) interest in the partnership by making cash investment of Br. 80,000. The procedure for determining Eden's capital credit and the bonus to the old partners is as follows

**1. Determine the total capital of the new partnership: Add the new partner's investment to the total capital of the old partnership.** In this case, the total capital of the new firm is Br.200,000, computed as follows.

|                                             |                    |
|---------------------------------------------|--------------------|
| Total capital of existing partnership ..... | Br. 120,000        |
| Investment by new partner, Eden .....       | <u>80,000</u>      |
| Total capital of new partnership .....      | Br. <u>200,000</u> |

**2. Determine the new partner's capital credit: Multiply the total capital of the new partnership by the new partner's ownership interest.** Eden's capital credit is Br. 50,000 (Br.200,000 X 25%).

**3. Determine the amount of bonus: Subtract the new partner's capital credit from the new partner's investment.** The bonus in this case is Br. 30,000 (Br. 80,000 – Br. 50,000).

**4. Allocate the bonus to the old partners on the basis of their income ratios:**

Assuming the ratios are Bart 60%, and Cohen 40%, the allocation is: Bart Br. 18,000 (Br. 30,000 X 60%) and Cohen Br. 12,000 (Br. 30,000 X 40%).

The entry to record the admission of Eden is:

|                          |        |
|--------------------------|--------|
| Cash .....               | 80,000 |
| Sam Bart, Capital .....  | 18,000 |
| Tom Cohen, Capital ..... | 12,000 |
| Lea Eden, Capital .....  | 50,000 |

(To record admission of Eden and bonus to old partners)

## ii. Bonus to New Partner



A bonus to a new partner results in a decrease in the capital balances of the old partners. The amount of the decrease for each partner is based on the income ratios before the admission of the new partner.

To illustrate, assume that Lea Eden invests Br. 20,000 in cash for a 25% ownership interest in the Bart–Cohen partnership. The computations for Eden’s capital credit and the bonus are as follows, using the four procedures described in the preceding section.

1. Total capital of Bart–Cohen partnership .....Br. 120,000
- Investment by new partner, Eden .....20,000
- Total capital of new partnership .....Br. 140,000
2. **Eden’s capital credit (25% X Br. 140,000) .....Br. 35,000**
3. **Bonus to Eden (Br. 35,000 – Br. 20,000) .....Br. 15,000**
4. Allocation of bonus to old partners:  
  
Bart (Br. 15,000 X 60%) .....Br. 9,000  
  
Cohen (Br. 15,000 X 40%) .....6,000  
  
Br. 15,000

The partnership records the admission of Eden as follows.

Cash .....20,000

Sam Bart, Capital .....9,000

Tom Cohen, Capital .....6,000

Lea Eden, Capital .....35,000

(To record Eden’s admission and bonus)

### **Exercise 1**



Girma and Tadesse Wells share income on a 6 : 4 basis. They have capital balances of Br. 100,000 and Br. 70,000, respectively, when Martha is admitted to the partnership.

### Instructions

Prepare the journal entry to record the admission of Martha under each of the following assumptions.

- (a) Investment of Br. 90,000 cash for a 30% ownership interest with bonuses to the existing partners.
- (b) Investment of Br. 50,000 cash for a 30% ownership interest with a bonus to the new partner

### Exercise 2

Lowman Company has a capital balance of Br. 45,000 after adjusting assets to fair market value. Comet contributes Br. 26,000 to receive a 30% interest in a new partnership with Lowman. Determine the amount and recipient of the partner bonus.

#### D. Withdrawal of a Partner

A partner may retire or withdraw from a partnership. In such cases, the withdrawing partner's interest is normally sold to the:

1. Existing partners (payment by the existing partner) or an outsider with the consent of the remaining partners
2. Partnership (payment from partnership asset)

#### 1. Payment from Partners' Personal Assets

Withdrawal by payment from partners' personal assets is a personal transaction between the partners. It is the direct opposite of admitting a new partner who purchases a partner's interest.

Partnership assets are not involved in any way, and total capital does not change. The effect on the partnership is limited to changes in the partners' capital balances.



*To illustrate*, assume that partners Muday, Mekdi, and Hiwot have capital balances of Br. 25,000, Br.15,000, and Br. 10,000, respectively. Muday and Mekdi agree to buy out Hiwot's interest. Each of them agrees to pay Hiwot Br. 8,000 in exchange for one half of Hiwot's total interest of Br.10,000. The entry to record the withdrawal is presented as follows:

Hiwot, Capital .....10,000

Muday, Capital .....5,000

Mekdi, Capital .....5,000

- (To record purchase of Odom's interest)

## 2. Payment from partnership assets

Withdrawal by payment from partnership assets is a transaction that involves the partnership (Co.). Both partnership net assets and total capital decrease as a result.

Classified in to three

1. Withdrawal at book value ( no bonus)
2. Withdrawal at more than book value ( bonus to the withdrawing partner)
3. Withdrawal at less than book value ( bonus to the existing partners)

On the following pages of this module this three methods are covered.

Using partnership assets to pay for a withdrawing partner's interest is the reverse of admitting a partner through the investment of assets in the partnership.

In accounting for a withdrawal by payment from partnership assets, the partnership should not record asset revaluations. Instead, it should consider any *difference between the amount paid and the withdrawing partner's capital balance* as a bonus to the retiring partner or to the remaining partners.

In accounting for a withdrawal by payment from partnership assets, the partnership should not record asset revaluations. Instead, it should consider any difference between the amount paid and



the withdrawing partner's capital balance as a **bonus** to the retiring partner or to the remaining partners.

### **i. Bonus to Retiring Partner**

A partnership may pay a bonus to a retiring partner when:

1. The fair value of partnership assets is more than their book value,
2. There is unrecorded goodwill resulting from the partnership's superior earnings record, or
3. The remaining partners are eager to remove the partner from the firm.

**The partnership deducts the bonus from the remaining partners' capital balances on the basis of their income ratios at the time of the withdrawal.**

*To illustrate*, assume that the following capital balances exist in the RST partnership:

Roman Br. 50,000, Senayt, Br. 30,000, and Tiresit, Br. 20,000. The partners share income in the ratio of 3 : 2 : 1, respectively. Tiresit retires from the partnership and receives a cash payment of Br. 25,000 from the firm. The procedure for determining the bonus to the retiring partner and the allocation of the bonus to the remaining partners is as follows.

**1. Determine the amount of the bonus:** Subtract the retiring partner's capital balance from the cash paid by the partnership. The bonus in this case is Br. 5,000 (Br. 25,000 – Br. 20,000).

**2. Allocate the bonus to the remaining partners on the basis of their income ratios:**

The ratios of Roman and Senayt are 3 : 2. Thus, the allocation of the Br. 5,000 bonus is: Roman Br. 3,000 (Br. 5,000  $\times$  3/5) and Senayt Br. 2,000 (Br. 5,000  $\times$  2/5).

The partnership records the withdrawal of Tiresit as follows.

|                        |        |
|------------------------|--------|
| Tiresit, Capital ..... | 20,000 |
| Roman, Capital .....   | 3,000  |
| Senayt, Capital .....  | 2,000  |
| Cash .....             | 25,000 |

(To record withdrawal of and bonus to Tiresit)

The remaining partners, Roman and Senayt, will recover the bonus given to Tiresit as the partnership sells or uses the undervalued assets.

### **ii. Bonus to Remaining Partners**

The retiring partner may give a bonus to the remaining partners when:

1. Recorded assets are overvalued,



2. The partnership has a poor earnings record, or
3. The partner is eager to leave the partnership.

In such cases, the cash paid to the retiring partner will be less than the retiring partner's capital balance. **The partnership allocates (credits) the bonus to the capital accounts of the remaining partners on the basis of their income ratios.**

To illustrate, assume instead that the partnership pays Tiresit only Br. 16,000 for her Br. 20,000 equity when she withdraws from the partnership. In that case:

1. The bonus to remaining partners is Br. 4,000 (Br. 20,000 – Br. 16,000).
2. The allocation of the \$4,000 bonus is: Roman Br. 2,400 (Br. 4,000 x 3/5) and Senayt Br. 1,600 (Br. 4,000 x 2/5).

Under these circumstances, the entry to record the withdrawal is:

|                        |        |
|------------------------|--------|
| Tiresit, Capital ..... | 20,000 |
| Roman, Capital .....   | 2,400  |
| Senayt, Capital .....  | 1,600  |
| Cash .....             | 16,000 |

(To record withdrawal of Tiresit and bonus to remaining partners)

Note that if Senayt had withdrawn from the partnership, Roman and Tiresit would divide any bonus on the basis of their income ratio, which is 3: 1 or 75% and 25%.

### c. Death of Partner

When a partner dies, the partnership accounts should be closed as of the date of death. The net income for the current period should then be determined and divided among the partners' capital accounts.

- The asset accounts should also be adjusted to current values and the amount of any adjustment divided among the capital accounts of the partners.

- After the income is divided and any assets revalued, an entry is recorded to close the deceased partner's capital account.

- The entry debits the deceased partner's capital account for its balance and credits a liability account, which is payable to the deceased's estate.

- The remaining partner or partners may then decide to continue the business or liquidate it.



To facilitate payment from partnership assets, some partnerships obtain life insurance policies on each partner, with the partnership named as the beneficiary. The partnership then uses the proceeds from the insurance policy on the deceased partner to settle with the estate.

## **Lecture synopsis**

Dissolution means any change in the personal ownership structure of a partnership. The most common reasons leading partnerships for dissolution include:

- Admission of a new partner  
A partner can be admitted by contributing assets to the partnership or purchasing an ownership interest from already existing partners.
- Withdrawal of a partner
- Death of a partner

The effect and treatment of withdrawal of partners can take place either by changing the partnership total asset or not.

## **Warp-up discussion questions**

What does dissolution means?

What are the common causes for dissolution?

When does a bonus arise for new and old partners?

How is a net gain or loss on asset revaluation treated?

## **Next day's assignment**

Read on the definition and procedures of realization and liquidation of partnership

## **Session 25**

### **5.4 Accounting for Liquidation of Partnerships**

#### **Session learning objective**

After completion of this session students should be able to discuss and describe about the process and activities involved in the process of liquidation of partnerships.



## Reading text:

### Liquidation of a partnership

When a partnership goes out of business, it sells the assets, pays the creditors, and distributes the remaining cash or other assets to the partners. This winding-up process is called the liquidation of the partnership. Although *liquidating refers to the payment of liabilities*, it includes the entire winding-up process. When a partnership is liquidated, the business will not continue.

➤ ***A partnership may be liquidated if:***

- A. The objective sought in forming the partnership has been achieved.
- B. The time period for which the partnership was formed expires (ends)
- C. Newly enacted laws have made the partnerships activities illegal,
- D. The partnership becomes bankrupt.

The partnership agreement should indicate the procedures to be followed in case of liquidation. Usually, the books (records) are adjusted and closed, with the income or loss distributed to the partners and the assets are sold.

The sale of the assets at the time of liquidation of a partnership is known as ***realization***.

As the assets of the business are sold, any gain or loss should be distributed to the partners according to the income and loss sharing ratio.

As cash is realized, it must be applied first to outside creditors. Finally, the remaining cash is distributed to the partners in accordance with the balance of their capital accounts.

### The steps in the liquidation process

**Step 1.** Sell the partnership assets. This step is called **realization**.

**Step 2.** Distribute any gains or losses from realization to the partners based on their income-sharing ratio.

**Step 3.** Pay the claims of creditors using the cash from step 1 realization.

**Step 4.** Distribute the remaining cash to the partners based on the balances in their capital accounts.

### Illustration



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*To illustrate*, assume that Farley, Green, and Hall decide to liquidate their partnership. On April 9, after discontinuing business operations of the partnership and closing the accounts, the following trial balance is prepared:

### Farley, Green, and Hall

#### Post-Closing Trial Balance

April 9, 2010

|                           | Debit         | Credit        |
|---------------------------|---------------|---------------|
|                           | Balances      | Balances      |
| Cash.....                 | 11,000        |               |
| Noncash Assets.....       | 64,000        |               |
| Liabilities.....          |               | 9,000         |
| Jean Farley, Capital..... |               | 22,000        |
| Brad Green, Capital.....  |               | 22,000        |
| Alice Hall, Capital.....  |               | <u>22,000</u> |
|                           | <u>75,000</u> | <u>75,000</u> |



### Case 1: - Gain on Realization

Assume that Farley, Green, and Hall sell all noncash assets for Br. 72,000. Thus, a gain of Br.8,000 (Br. 72,000 - Br. 64,000) is realized. The partnership is liquidated during April as shown in the following page:

#### Farley, Green, and Hall

#### Statement of Partnership Liquidation

For Period April 10–30, 2010

|                                     | Capital           |                |              |                |                |                |
|-------------------------------------|-------------------|----------------|--------------|----------------|----------------|----------------|
|                                     | Non cash          | Liability      |              | Farley         | Green          | Hall           |
|                                     | Cash              | Assets         |              | 50%            | 30%            | 20%            |
| Balance before realization          | Br. 11,000        | 64,000         | 9,000        | 22,000         | 22,000         | 22,000         |
| Sale of assets and division of gain | <u>72,000</u>     | <u>-64,000</u> |              | <u>4,000</u>   | <u>2,400</u>   | <u>1,600</u>   |
| Balance after realization           | 83,000            | 0              | 9,000        | 26,000         | 24,000         | 23,600         |
| Payment of liabilities              | <u>-9,000</u>     | <u>-9,000</u>  | -            | -              | -              | -              |
| Bal. after payment of liability     | 74,000            | 0 0            | 26,000       | 24,400         | 23,600         |                |
| Cash distributed to partners        | <u>Br. 74,000</u> |                |              | <u>-26,000</u> | <u>-24,400</u> | <u>-23,600</u> |
| Final balance                       | <u>Br. 0</u>      | <u>Br. 0</u>   | <u>Br. 0</u> | <u>Br. 0</u>   | <u>Br. 0</u>   | <u>Br. 0</u>   |

The entries to record the steps in the liquidating process are as follows:

#### Sale of assets (Step 1):

Cash.....72,000  
     Noncash Assets.....64,000



Gain on Realization..... 8,000

### Division of gain (Step 2):

Gain on Realization.....8,000

Jean Farley, Capital.....4,000

Brad Green, Capital.....2,600

Alice Hall, Capital.....1,400

### Payment of liabilities (Step 3):

Liability .....9,000

cash.....9,000

### Distribution of cash among partners (step 4):

Jean Farley, Capital.....12,000

Brad Green, Capital.....16,000

Alice Hall, Capital.....18,000

Cash.....46,000

### Case 2: Loss on Realization No Capital Deficiencies

Assume that Farley, Green, and Hall sell all noncash assets for Br. 44,000. Thus, a loss of Br.20,000 (Br. 64,000 – Br. 44,000) is realized. The liquidation of the partnership is as follows:

Step 1. Sale of assets: Br. 44,000 is realized from the sale of all the noncash assets.

Step 2. Division of loss: The loss of Br. 20,000 is distributed to Farley, Green, and Hall in the income-sharing ratio of 5:3:2. Thus, the partner capital accounts are debited as follows:



- Farley Br. 10,000 (Br. 20,000 X 50%)
- Green Br. 6,000 (Br. 20,000 X 30%)
- Hall Br. 4,000 (Br. 20,000 X 20%)

Step 3. Payment of liabilities: Creditors are paid Br. 9,000.

Step 4. Distribution of cash to partners: The remaining cash of Br. 46,000 is distributed to the partners according to their capital balances as follows:

- Farley..... Br. 12,000
- Green..... 16,000
- Hall .....18,000

The steps in liquidating the partnership are summarized in the statement of partnership liquidation

**Step 3.** Payment of liabilities: Creditors are paid Br. 9,000.

**Step 4.** Distribution of cash to partners: The remaining cash of Br. 46,000 is distributed to the partners according to their capital balances as follows:

- Farley..... Br. 12,000
- Green..... 16,000
- Hall .....18,000

The steps in liquidating the partnership are summarized in the statement of partnership liquidation as presented in the following page:



**Farley, Green, and Hall**  
**Statement of Partnership Liquidation**  
**For Period April 10–30, 2010**

|                                     | Capital           |                |                 |                |                |              |
|-------------------------------------|-------------------|----------------|-----------------|----------------|----------------|--------------|
|                                     | Non cash          | Liability      | Farley          | Green          | Hall           |              |
|                                     | Cash              | Assets         | 50%             | 30%            | 20%            |              |
| Balance before realization          | Br. 11,000        | 64,000         | 9,000           | 22,000         | 22,000         | 22,000       |
| Sale of assets and division of gain | <u>44,000</u>     | <u>-64,000</u> | <u>(10,000)</u> | <u>(6,000)</u> | <u>(4,000)</u> |              |
| Balance after realization           | 55,000            | 0              | 9,000           | 12,000         | 16,000         | 18,000       |
| Payment of liabilities              | <u>-9,000</u>     |                | <u>-9,000</u>   | <u>-</u>       | <u>-</u>       | <u>-</u>     |
| Bal. after payment of liability     | 46,000            | 0              | 0               | 12,000         | 16,000         | 18,000       |
| Cash distributed to partners        | <u>Br. 46,000</u> |                | <u>-12,000</u>  | <u>-16,000</u> | <u>-18,600</u> |              |
| Final balance                       | <u>Br. 0</u>      | <u>Br. 0</u>   | <u>Br. 0</u>    | <u>Br. 0</u>   | <u>Br. 0</u>   | <u>Br. 0</u> |

The entries to record the steps in the liquidating process are as follows:

**Sale of assets (Step 1):**

Cash.....44,000

Loss on Realization.....20,000

Noncash Assets.....64,000

(to record sale of non-current asset and a loss realized in the process)



**Division of loss (Step 2):**

Jean Farley, Capital..... 10,000  
Brad Green, Capital..... 6,000  
Alice Hall, Capital..... 4,000  
Loss on Realization..... 20,000

(to record distribution of loss among partners)

**Payment of liabilities (Step 3):**

Liability .....9,000  
cash.....9,000

(to record payment to creditor)

Distribution of cash among partners (step 4):

Jean Farley, Capital.....12,000  
Brad Green, Capital.....16,000  
Alice Hall, Capital.....18,000  
Cash.....46,000

(to record distribution of remaining cash among partners)

**Case 3: Loss on Realization with Deficiency in one partner capital**

Let us assume that in the given partnership business the capital balance of Green is Br. 34,000 and the capital balance of Farley is Br. 10,000. Assume that the non-cash asset is sold for Br.40,000 and as a result a loss of Br. 24,000 (Br. 64,000-Br. 40,000). The entries to record the division of loss among the partners and the liquidation to this point are shown in the following page:



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Cash.....40,000  
Loss on sale of Asset.....24,000  
Non cash assets.....64,000  
(To record the sale of non-cash asset)

### Division of loss (Step 2):

Jean Farley, Capital..... 12,000  
Brad Green, Capital..... 7,200  
Alice Hall, Capital..... 4,800  
Loss on Realization..... 24,000  
(To distribute loss on realization)

### Payment of liabilities (Step 3):

Liability .....9,000  
Cash.....9,000

At this stage of the liquidation the capital accounts of the partners have the following balances

Jean Farley, Capital = 10,000 - 12,000 = Br. -2,000

Brad Green, Capital = 34,000 – 7,200 = Br. 26,800

Alice Hall, Capital = 22,000 – 4,800 = Br. 17,200

Only Br. 42,000 cash is available for distribution to Green and Hall while the combined balance of their capital accounts is Br. 44,000. Therefore, additional Br. 2,000 (44,000-42,000) is needed, which is the amount owed by Farley to the partnership.

Therefore, either Farley will have to pay this amount first and the cash will be distributed to Green and Hall, or Green and Hall will have to share the Br. 2,000 loss in their income and loss-



sharing ratio of 3:2. Let's assume, the loss was distributed since Farley couldn't pay the amount immediately. Therefore the following page presents the journal entry required:

***Journal Entries***

Brad Green, Capital(3/5).....1,,200

Alice Hall, Capital(2/5)..... 800

Jean Farley, Capital.....2,000

***(To charge Jean Farley, Capital deficiency to Green and Hall)***

Brad Green, Capital.....25,600

Alice Hall, Capital.....16,400

Cash.....42,000

***(To record the final cash distribution to partners)***

Further assume that, if deficient partner brings only partly i.e Br. 1,000 taking the previous example, and the other part will be shared by the remaining partners as if loss:

Jean Farley, Capital = 10,000 - 12,000 = Br. -2,000

Brad Green, Capital = 34,000 – 7,200 = Br. 26,800

Alice Hall, Capital = 22,000 – 4,800 = Br. 17,200

Cash..... 1,000

Jean Farley, capital.....1,000

***(to record coverage of partial capital deficiency)***

Brad Green, Capital(3/5 x Br. 1,000).....600

Alice Hall, Capital(2/5 x Br. 1,000)... 400

Jean Farley, Capital.....1,000

***(To record write-off of capital deficiency)***

Brad Green, Capital..... 26,200



Alice Hall, Capital.....16,800  
Cash.....41,000

*(To record the final cash distribution to partners)*

### Lecture synopsis

- Partnerships are referred as liquidated, when they sell out all their assets, pay their liabilities distribute the remaining cash to partners and go out of business.
- This process of selling of assets is called realization
- In realization of asset the non cash assets might be realized in cash, which is greater than their book value, in this circumstance, a gain on realization is recognized.
- A gain on realization of assets is added proportionately to partner's capital
- If non-cash assets are realized with lower amount than their book value a loss on realization of non-cash assets is recognized. A loss in realization is proportionately deducted from the capital account of each partners
- If the loss deducted from one or more partners account is greater than his/her capital accounted deficiency is said to arise and this deficiency is claim of the partnership against the partner.
- The partner can either contribute the deficiency fully or partially in cash or other partners with forced to absorb it.

### Warp-up discussion questions

- Could you briefly explain the main causes leading to liquidation?
- If a partner sustaining capital deficiency is unable to bring its deficiency personally what do you think the solution would be?

### Next day's assignment

- ✓ Please try exercise and problems at the end of the chapter of the textbook and come with difficulties.
- ✓ Please read about public enterprises, their characteristics and privatization in Ethiopia

## Chapter 6 Accounting for companies in Ethiopia (12 hours)



## Session 17

### 6.1 Accounting for Private Limited Companies (plc) in Ethiopia

#### Learning Objective

Dear student at the end of this session you are expected to:

- Understand the nature of plc company
- Describe the Formation of plc

#### Reading Assignment Questions

- What are the different types of companies in Ethiopia
- How do plc company formed?

#### Reading Text

##### 6.1.1 Introduction to Private Limited Company in Ethiopia

#### *Definitions and Nature of plc*

- (1) A private limited company is a company whose members are liable only to the extent of their contributions.
- (2) A private limited company shall not have less than two or more than fifty members and is always commercial in form.
- (3) The company shall not issue transferable securities in any form.

#### *Reduction of the number of members below the legal minimum*

Where the number of members is reduced below two, or where the organs of the company cease to exist, the court may, on the application of a member or a creditor, order the dissolution of the company and make such provisional orders as are necessary unless the company makes arrangements to comply with the law within a reasonable time.

#### *Capital.*

- (1) The capital of a private limited liability company shall not be less than 15,000 Ethiopian Birr.
- (2) The amount of a share shall not be less than 10 Ethiopian Birr.
- (3) All shares shall be of equal value and a member may hold more than one share.

#### *Prohibited transactions*



A private limited company shall not undertake banking, insurance or any business of a similar nature.

### ***Designation***

- (1) A private limited company may have a firm-name which may indicate the nature of its business.
- (2) The firm-name shall be followed by the words "Private Limited Company."

### ***Particulars required on company papers.***

The firm.name "Private Limited Company." and the amount of the capital of the company shall appeal' on all company documents, invoices, publications and other papers.

## **6.1.2 Formation of private Limited Company (plc)**

The company is instituted when the deed, in the form of a memorandum of association, setting up the company is signed by all the members or by persons acting on their behalf and is authenticated.

### **Terms of the memorandum of association**

The memorandum of association shall show:

- (a) The names, nationality and addresses of the members;
- (b) The company name, head office, and branches if any;
- (c) The business purposes of the company;
- (d) The amount or the capital;
- (e) The value of contributions made by each member;
- (f) The valuation of contributions in kind;
- (g) A statement that the capital is fully paid;
- (h) The number of shares held by each member;
- (i) The procedure for distribution of profits;
- (j) The number of managers, their powers and the agents, if any;
- (k) The number of auditors, if any;
- (l) The period of time for which the company is established.



## **Articles of association**

- (1) The articles of association which govern the operation of the company shall be drawn up by the founders in accordance with the law.
- (2) Articles of association may follow the model supplied by the Ministry of Commerce and Industry with any necessary modifications.
- (3) Articles of association shall be deemed to form. Part of the memorandum of association and shall be attached thereto.

## **Contributions in kind**

- (1) Where a member makes a contribution in kind, the memorandum of association shall show the nature and the value of the contribution, the price accepted by the other members and the share in the capital allocated to the member.
- (2) The method of valuation shall be determined by the members.
- (3) Members shall be jointly and severally liable to third persons for the valuation fixed.
- (4) Where it is shown that a contribution has been overvalued, the contributing member shall make good the overvaluation in cash. Members shall be jointly and severally liable for such payment, notwithstanding that they were not aware of the overvaluation.

## **Publicity**

The company shall be made known to third parties in accordance of the following provisions

- (1) Any business organization other than a joint venture shall be made known to third parties.
- (2) Such publicity shall be made:
  - (a) By a notice published in a newspaper empowered' to published notices; and
  - (b) By the deposit of two copies of the documents provided: in Art. 221of the commercial code with the official in charge of the commercial register; and
  - (c) By registration in the commercial register.

## **Publication of notice**

A notice under (2) (a) above shall be published to a newspaper empowered to publish legal notices circulating at the place where the head office is situate.

## **Deposit of Documents**



(1) A deposit shall be made with the official in charge of the commercial register at the place where the head office is situated and the memorandum of association and the articles of association, if any, shall be deposited.

(2) The notice to be published and the application for registration in the commercial register shall contain the particulars specified in the term of memorandum of association.

### **Lecture synopsis:**

- *Meaning and Nature of plc: a limited liability partnership type of business*
- *Reduction of the number of members below the legal minimum Capital is not allowed.*
- *Prohibited transactions: anything other than legally allowed*
- *Particulars required on company papers: detail information about the new plc.*
- Formation of plc Company: should be as per the commercial code of Ethiopia
- Terms of the memorandum of association: includes a detail agreement made.
- Articles of association: governs the operation of the plc
- Contributions in kind: is valued based on agreed price
- Deposit of Documents : include a memorandum of association should be deposited
- Publication of notice: included where the head office settled
- Publicity: the establishment of such business should be publicized

### **Warp-up discussion questions:**

- a. What sorts of information is required to form a plc company in Ethiopian context?
- b. How contribution of members of the plc business does accounted in the books of account?

### **Next day assignment:**

#### **Study the following**

- How share company is formed in Ethiopia
- Classes of shares traded
- Issuing share process

### **Next week's assignment:**



- a. What is/are the legal requirements regarding the reserve requirement and dissolution of plc Company in Ethiopian context?
- b. How does a dividend of plc Company distributed among members?

## **6.2 Accounting for Share Company (Corporation)**

### **Learning objectives**

Dear student, after effective completion of this part of the chapter, you should be able to:

- Understand how share company is formed in Ethiopia
- Identify the basic characteristics of share company
- Describe and illustrate the classes of share and issuing of share
- Describe and illustrate accounting for dividend and earnings per share

### **Session 18**

#### **6.2.1 Formation of Corporation and Stock issuance**

##### **Session objectives:**

After the study of this session students should be able to :

- Describe how share company is formed in Ethiopia
- Describe the basic characteristics of corporation type of business

##### **Reading assignment discussion:**

- a. How is Share Company organized in Ethiopia?
- b. Why do you think companies choose corporation type of business organization than other forms?
- c. What are the benefit/drawbacks of corporate type of business?

##### **Reading text:**

#### **6.2.2 Introduction to corporate type of business**

Definition:- “A corporation is an artificial being, invisible, intangible, and existing only in contemplation of the law.” A corporation is an entity separate and distinct from its owners.

#### **Classification of Corporation**

Two common ways to classify corporations are by **purpose and by ownership**.



- ❖ A corporation may be organized for the purpose of making a profit, or it may be not for-profit.
- ❖ Classification by ownership differentiates publicly held and privately held corporations.
- ✓ A **publicly held corporation may have thousands of stockholders.**
- ✓ **Aprivately held corporation usually has only a few stockholders,** and does not offer its stock for sale to the general public.

## **I. General requirements in respect of formation**

(1) A share company shall not be formed until:

(a) The capital has been fully subscribed;

(b) one quarter at least of the par value of the shares has been paid up and deposited in a bank, in the name and to the account of the company.

(2) Sums deposited under (1) above shall not be paid over to the legal representatives of the company until registration in the commercial register has been effected.

(3) Where registration has not been effected within one year from deposit in a bank, the sums deposited shall be repaid -to the subscriber. Such repayment shall be effected by the founders who shall be jointly and severally liable. After one year such sums shall bear interest at the legal rate.

### ***Memorandum of association***

The formation of a company shall be by public memorandum which shall contain:

(1) The names, nationality and address of the members, the number of shares which they have subscribed, provided that a member may not subscribe less than one share;

(2) The name of the company;

(3) The head office, and the branches, if any;

(4) The business purposes of the company;

(5) The amount of capital subscribed and paid up;

(6) The par value, number, form and classes of shares;

(7) The value of contributions in kind, their object, the price at which they are accepted, the designation of the shareholder and the number of shares allocated to him by way of exchange;

(8) The manner of distributing profits;

(9) Any share in the profits allocated to the, founders and reasons for such share;



- (10) The number of directors and their powers and the agents of the company;
- (11) The auditors;
- (12) The period of time for which the company is to be established;
- (13) The manner in which the company will publish its reports.

### ***Articles of association***

- (1) The articles of association which govern the operation of the company shall be drawn up by the founders in accordance with the law
- (2) Articles of association may follow the model supplied by the Ministry of Commerce and Industry with any necessary modifications.
- (3) Articles of association shall be deemed to form part of the memorandum of association and shall be attached thereto.

## **6.2.2 Characteristics of corporation**

A number of characteristics distinguish corporations from proprietorships and partnerships.

- 1. **Separate legal existence:-**As an entity separate and distinct from its owners, the corporation acts under its own name rather than in the name of its stockholders.
- 2. **Limited liability of stockholders:-**The liability of stockholders is normally limited to their investment in the corporation.
- 3. **Transferable ownership rights:-**Shares of capital stock give ownership in a corporation. These shares are transferable units.
- 4. **Ability to acquire capital”-** It is relatively easy for a corporation to obtain capital through the issuance of stock.
- 5. **Continuous life:-**The life of a corporation is stated in its **charter**. The life may be perpetual, or it may be limited to a specific number of years. If it is limited, the company can extend the life through renewal of the charter. Since a corporation is a separate legal entity, its continuance as a going concern is not affected by the withdrawal, death, or incapacity of a stockholder, employee, or officer.
- 6. **Corporation management:-**Stockholders legally own the corporation. However, they manage the corporation indirectly through a board of directors they elect.



7. **Government regulations:**-A corporation is subject to numerous state and federal regulations. For example, state laws usually prescribe the requirements for issuing stock, the distributions of earnings permitted to stockholders, and the effects of retiring stock.
8. **Additional taxes:**-many argue that the government taxes corporate income **twice (double taxation)**—once at the corporate level, and again at the individual level.

### 6.2.3 Advantages and Disadvantage of corporate form of organization

#### I. Advantages of the corporate form of organization

A corporate entity has many advantages not available in other forms of organization. Among the advantages are the following:

- a) ***Continuous existence:*** A corporation has perpetual existence in that its continuous existence is not dissolved by the death or retirements of any of its members.
- b) ***No personal liability for owners:*** Since a corporation is a separate legal entity, the creditors of a corporation have a claim against the assets of the corporation, not the personal property of the owners.
- c) ***Separation of managements from ownership:*** the owners of a corporation (called stock holders or shareholders) own the corporation but they do not manage it on a daily basis. To administer the affairs of the corporation, president and other officers are hired for it. Thus, individual stockholder has no rights to participate in the management's activity of the corporation unless the stockholder has been hired as a corporate officer.
- d) ***Easily transferable ownership shares:*** ownership of a corporation is evidenced by transferable shares of stocks. These shares of stocks may be sold by one investor to another without dissolving or disrupting the business organization.

#### II. Disadvantages of corporate form of organization

Some of the disadvantages of the corporation are:

- a) **Double taxation:** corporate earnings are taxed two times. The earnings are taxed first as a corporate income taxes and again as personal income taxes if the corporation. Distributes its earnings to stockholders.



- b) **Difficulties to control:** since ownership is usually separated from managements, owners are unable to exercise active control over management actions.
- c) **Greater regulation:** since a corporation comes into existence according to the law of the state, the law may provide for considerable regulation of the corporation's activities. For example, the withdrawal of funds from a corporation is subjects to certain limits sets by law.

#### 6.2.4 Rights of Stockholders

The stockholders who are the owners of a corporate entity have the following basic rights:

- a) ***The rights to votes:*** the common stockholders have the right to elect the board of directors, and thereby to be represented in the management of the business.
- b) ***The rights to participate in the earnings of a corporation:*** Stockholders in corporations may not make withdrawal of company assets. However, the earnings of a profitable corporation may be distributed to stockholders in the form of cash dividend. The payment of a dividend always requires formal authorization by the board of directors.
- c) ***The rights to share in the distribution of assets upon liquid action:*** when a corporation ends its existence, the creditors of the corporation must first be paid in full; any remaining assets are dividend among stockholders in proportion to the number of shares owned.
- d) ***Pre-emptive rights:*** the current stockholders has the right to purchase the shares of the corporation on a prorated basis when new stocks are offered for sale. This preemptive rights is designed to provide each stockholder the opportunity to maintain a proportional ownership in the corporation.

#### Lecture Synopsis

- Corporations are separate legal entities/artificial persons organized by issuing/selling transferable units' ownership rights called shares.
- In Ethiopian Context the formation of a share company shall be by public memorandum
- Corporation have a separate legal existence
- Ownership of a corporation is expressed in terms of transferable units called share of stocks.



- Shareholders of a corporation have limited liability, only to the extent of their contributed capital.
- Corporations are governed by higher unit referred as board of director
- Income from corporation is taxed twice both at the corporate level as well as the individual/shareholder level.
- Stock holders of a corporation have different rights towards the operation of the corporation.

### **Warp-up questions:**

- Describe the nature of share company and the way they are organized
  - **Indicate whether each of the following statements is true or false.**
1. Similar to partners in a partnership, shareholders of a corporation have unlimited liability.
  2. It is relatively easy for a corporation to obtain capital through the issuance of shares.
  3. The separation of ownership and management is an advantage of the corporate form of business.

### **Reading assignment**

- Explain how investment by shareholder is recorded by corporation and the nature of capital stock accounted
- What are the major classes of share accounts

## **Session 19**

### **6.2.5 Classes of Shares and issuing of Share capital**

#### **Session learning objectives:**

Dear student, after effective completion of this session you should be able to

- identify the types of shares and its issuance process
- Sub- classes of preferred share and its accounting practice

### **Reading text**



## I. Authorization and issuance of stocks

The state officials approve the articles of incorporation, which specify the number of shares a corporation is authorized to issue. The total number of shares that may be issued is known as *the authorized shares*. When the corporation receives cash in exchange for stock certificates, which represents the number of shares issued, the shares become *issued shares*. Shares that are issued and held by the stockholders are called *outstanding shares*. Sometimes a corporation requires shares from its own shareholders. These shares are called *treasury stocks*, which reduce the number of outstanding shares.

## II. Types of Stocks/Shares USA

Many corporations issue several classes of capital stock, each providing investors with different rights and opportunities. The basic types of stock issued by every corporation are called *common stock*. Common stock possesses the traditional rights of ownership such as voting rights, participation residual dividends, and residual claim to assets in the event of liquidation. When any of these rights is modified, the term preferred stock is used. *Preferred stock* specifies different rights that distinguish it from common stock. Some of the distinctive features for preferred stocks are priority claims on dividends, cumulative dividend rights, priority as to assets in the event of liquidation of a corporation and no voting power.

Stocks according to their nature are classified into *par value* and *no-par stocks*. Par value stocks with a designated dollar amount per share as stated in the corporate charter and printed on the stock certificates. On the other hand, some states allow corporations to issue stocks without designating a par value. Such stocks are called *no-par stocks*. When no par stocks are issued by a corporation, the entire issuance price is viewed as a legal capital, which is subject to withdrawal. Sometimes some states authorize the issuance of no-par stock with a stated, or assigned, value per share that is established permanently by the corporate directors and is in the laws. Most corporations use a stated value for no par stock.

A corporation may choose not to issue immediately all the authorized shares even though it is customary to have a large number of authorized shares than presently needed. If more capital is



needed, the previously authorized shares will be readily available for issue. A corporation can apply to the state for permission to increase the number of authorized shares.

### **III. Form of share in Ethiopian Context**

- (1) Shares are either registered in the name of the shareholder or to bearer, as required by the shareholder.
- (2) Shares shall be registered in the name of the shareholder where bearer shares are prohibited by law, the memorandum or articles of association.
- (3) Where bearer shares are not prohibited, any shareholder may notwithstanding any provision to the contrary convert his bearer shares into registered shares and vice versa.

### **Price at which shares are issued**

- (1) Shares may not be issued at a price lower than their par value.
- (2) Shares may be issued at a price greater than their par value where such issue is provided by the memorandum or article of association or decided by an extraordinary general meeting. The difference between the par value and the price at which shares are issued shall be known as a premium.

### **IV. Classes of shares in Ethiopian context**

- (1) The memorandum of association or an amendment thereto by a general meeting may provide for the setting up of several classes of shares with different rights.
- (2) All shares of the same class shall have the same par value and the same rights.
- (3) No change in the rights conferred to a class of share may be made unless a meeting of the class of shareholders has agreed under the same conditions as the general meeting having recommended the change. Beside the major classes of share “Common Stock” a corporation in Ethiopia can also issue a “Preferred share”.

### **Preference shares in Ethiopia**

- (1) A share company may create preference shares either in the memorandum of association or by resolution of an extraordinary general meeting. Such shares enjoy a preference over other shares, such as a preferred right of subscription in the event of future issues, or rights of priority over profits or assets or both.



- (2) The issue of shares with a preference as to voting rights is prohibited.
- (3) Notwithstanding the provisions of (3) above, the memorandum of association may provide that shareholders who have been given right of priority over profits and distribution of capital upon dissolution of the company may vote only on matters which concern extraordinary meetings.
- (4) The number of shares having restricted voting right under (3) above may not exceed half the amount of capital.

## Sub-classes of preferred stocks USA Context

### a. Participating and non-participating preferred stock

A participating preferred stock receives a minimum dividend but also receives higher dividend when the company pays substantial dividends on common shares. The preferred stockholders' right may be to receive dividend only a stated amounts. Such stock is said to be nonparticipating.

To illustrated, assume the following information

- Common stock issued.....8,000
- Preferred stock issued ..... 4,000
- Dividend per share of preferred stock ..... Br. 10

The corporation reported net income of Br. 120,000 for the fourth year and the BOD declared all of the net income as dividend. If the preferred stock issued by the corporation is participating, the preferred stockholders will receive, Br. 60,000 i.e. Br. 40,000 of the fixed dividend plus extra half of their dividend per share for their participation in the corporation amounting Br. 20,000, and the common stockholders will receive the remaining Br. 60,000.

### b. Cumulative VsNon cumulative preferred stock

**i. Cumulative** preferred stock has a right to receive regular dividends that were not declared (paid) in prior years. Cumulative preferred stock dividends that have not been paid in prior years are said to be in arrears. Any preferred dividends in arrears must be paid before any common stock dividends are paid. In addition, any dividends in arrears are normally disclosed in notes to the financial statements.



**ii. Noncumulative preferred stock does not have this right.**

**To illustrate,** assume that a corporation has issued the following preferred and common stock: 1,000 shares of Br. 4 cumulative preferred stock Br. 50 par, 4,000 shares of common stock, Br. 15 par. The corporation was organized on January 1, 2008, and paid no dividends in 2008 and 2009. In 2010, the corporation paid dividends of Br. 22,000. The Br. 22,000 of dividends paid in 2010 is distributed between the preferred and common stockholders as follows.

Amount distributed .....Br. 22,000

Preferred dividend (1,000 shares):

2008 dividend in arrears .....Br. 4,000

2009 dividend in arrears ..... 4,000

2010 dividend ..... 4,00012,000

Common dividend (4,000 shares) .....Br.10,000

Dividends per share:

Preferred stock (Br. 12,000/1,000 shares) .....Br. 12.00

Common stock (Br. 10,000/4,000 shares) ..... 2.50

**c. Convertible and non convertible preferred stock**

Sometimes a corporation issues a type of preferred share, where, the shares will be converted in to Common share after sometime in the future i.e. convertible preferred share. If the shares lack such option the type of share issued is considered as non-convertible preferred share. At the time of conversion the preferred share will be debited and common share will be credited for the par value.

**d. Callable ( redeemable ) and non callable ( non- redeemable preferred stock**

The selling arrangement of some preferred shares includes an agreement where the issuer will redeem the value of the share. Whereas, some preferred share under this arrangement lack the



chance of being redeemed by the corporation, which is known as non-redeemable preferred stock.

## Lecture synopsis

The summaries of the above lecture notes are

- Authorization and issuance of stocks in general
- Types of Stocks/Shares issued in USA context which includes common stock and preferred stock
- Form of share Ethiopian Context as per the commercial code  
*Price at which shares are issued in Ethiopia*
- Classes of shares in Ethiopian context including common stock and preferred stock  
Preference shares in Ethiopia special treatment
- Sub-classes of preferred stocks USA Context among the different classification the session focuses on the classification based on:
  - Participating and non-participating preferred stock based on their right to get additional benefit from their participation
  - Cumulative VsNon cumulative preferred stock- based on the right to claim for past unpaid dividends
  - Convertible and non- convertible : based on the chance of being converted in the common stock
  - Redeemable and non-redeemable : based on the arrangement of converted in to cash by the issuer corporation

## Illustration

Sandpiper Company has 20,000 shares of 1% cumulative preferred stock of Br. 100 par and 100,000 shares of Br. 50 par common stock. The following amounts were distributed as dividends:

Year 1 Br. 10,000



Year 2      45,000

Year 3      80,000

### **Required**

Determine the dividends per share for preferred and common stock for each year.

### **Warp-up discussion Question:**

- a. What is the difference between USA and Ethiopian practice of types of share and the issuance process?
- b. What is the advantage of participating and cumulative preferred stock over the other type of stock?

### **Next day assignment**

Please read on:

- The different form of issuance of shares

## **Session 20**

### **6.2.6 Corporate Capital in Corporation**

Equity is identified by various names: **stockholders' equity**, **shareholders' equity**, or **corporate capital**. The equity section of a corporation's statement of financial position consists of two parts: (1) share capital and (2) retained earnings (earned capital).

The distinction between share capital and retained earnings is important from both a legal and a financial point of view. Legally, corporations can make distributions of earnings (declare dividends) out of retained earnings in most countries. However, they often cannot declare dividends out of share capital. Management, shareholders, and others often look to retained earnings for the continued existence and growth of the corporation.

### **Share capital**

**Share capital:-** is cash and other assets paid in to the corporation by shareholders in exchange for ordinary shares. As noted earlier, when a corporation has only one class of shares, they are



ordinary shares.

## Retained earnings

**Retained earnings:-**is net income that a corporation retains for future use. Net income is recorded in Retained Earnings by a closing entry that debits Income Summary and credits Retained Earnings.

### 6.2.7 Accounting for Share Transactions

The issuance of corporate shares can takes place in any of the following methods.

#### a. Par value stock issued for cash

A corporation can issue ordinary shares **directly** to investors. Or, it can issue the shares **indirectly** through an investment banking firm that specializes in bringing securities to the attention of prospective investors. Direct issue is typical in closely held companies. Indirect issue is customary for a publicly held corporation.

A separate account is used for recording the amount of each class of stock issued to investors in a corporation.

- For example, assume that a corporation is authorized to issue 10,000 shares of Br. 100 par preferred stock and 100,000 shares of Br. 20 par common stock.
- The corporation issued 5,000 shares of preferred stock and 50,000 shares of common stock at par for cash.

The corporation's entry to record the stock issue is as follows:

|                      |           |
|----------------------|-----------|
| Cash.....            | 1,500,000 |
| Preferred Stock..... | 500,000   |
| Common Stock.....    | 1,000,000 |

Stock is often issued by a corporation at a price other than its par. If stock is issued (sold) for a price that is more than its par, the stock has been sold at a **premium**. **For example, if common**



**stock with a par of Br. 50 is sold for Br. 60 per share**, the stock has sold at a premium of Br.10.

If stock is issued (sold) for a price that is less than its par, the stock has been sold at a **discount**. **For example, if common stock with a par of Br. 50 is sold for Br. 45 per share**, the stock has sold at a discount of Br. 5.

### **b. Premium on Stock**

When stock is issued at a premium, Cash is debited for the amount received. Common Stock or Preferred Stock is credited for the par amount. The excess of the amount paid over par is part of the paid-in capital. An account entitled *Paid-In Capital in Excess of Par is credited for this amount*.

To illustrate, assume that Dallol Corporation issues 2,000 shares of Br. 50 par preferred stock for cash at Br.55. The entry to record this transaction is presented in the following page:

|                                                        |         |
|--------------------------------------------------------|---------|
| Cash.....                                              | 120,000 |
| Preferred Stock.....                                   | 100,000 |
| Paid-In Capital in Excess of Par— Preferred Stock..... | 20,000  |
| Issued Br. 50 par preferred stock at Br. 55.           |         |

### **c. Par value stock issued on a subscription basis**

During the start-up of a corporation, prospective investors may sign a contract to purchase a specified number of shares on credits with payments due at one or more specified future dates. One reason for this procedure is to attract small investors. Another reason is to appeal to investors who prefer not to invest cash until the corporation is ready to start business operations. A corporation may also sell its capital stock on credit after incorporation.

When stock is subscribed, the company debits stock subscription receivable for the subscription price, credits capital stock subscribed for the par value of the subscribed shares, and credits paid in capital in excess of the subscription price over par value. Later, as cash is collected, the entry is a debit to cash and a credit to stock subscription receivable. When the entire subscription price is collected, the stock certificates are issued for the subscribers. The issuance of stock is recorded



by debiting capital stock subscribed and crediting capital stock. The following illustration demonstrates the accounting procedures for stock subscriptions.

Assume that 120,000 shares of Comet Corporation common stock, par Br. 10, are subscribed for at Br. 12 by Mr. Abdu. The total is payable in three installments. The following entries are processed by Comet Corporation.

|                                                               |           |           |
|---------------------------------------------------------------|-----------|-----------|
| Common stock subscription Receivable                          | 1,440,000 |           |
| Common stock subscribed                                       |           | 1,200,000 |
| Paid-in-capital in excess of par                              |           | 240,000   |
| <i>(To record receipt of subscription for 120,000 shares)</i> |           |           |
| Cash                                                          | 480,000   |           |
| Common stock subscription receivable                          |           | 480,000   |
| <i>(To record receipt of 1<sup>st</sup> payment)</i>          |           |           |
| Cash                                                          | 480,000   |           |
| Common stock subscription Receivable                          |           | 480,000   |
| <i>(To record receipt of final payment)</i>                   |           |           |
| Cash                                                          | 480,000   |           |
| Common stock subscription Receivable                          |           | 480,000   |
| <i>(To record receipt of final payment)</i>                   |           |           |
| Common stock subscribed                                       | 1,200,000 |           |
| Common stock                                                  |           | 1,200,000 |
| <i>(To record issuance of stock)</i>                          |           |           |

**d. Issuance of stock for non cash asset**



When stock is issued in exchange for assets other than cash, such as land, buildings, and equipment, the **assets** acquired are recorded at their **fair market value**. If this value cannot be determined, the **fair market price of the stock issued** is used.

To illustrate, assume that a corporation acquired land with a fair market value that cannot be determined. In exchange, the corporation issued 10,000 shares of its Br.10 par common. If the stock has a market price of Br.12 per share, the transaction is recorded as follows:

|                                       |         |
|---------------------------------------|---------|
| Land.....                             | 120,000 |
| Common Stock.....                     | 100,000 |
| Paid-In Capital in Excess of Par..... | 20,000  |

Issued Br. 10 par common stock, valued at Br. 12 per share, for land.

#### e. Issuance of No-Par Stock

In most states, no-par preferred and common stock may be issued. When no-par stock is issued, **Cash is debited** and **Common Stock is credited** for the proceeds. As no-par stock is issued over time, **this entry is the same even if the issuing price varies**.

#### Illustration

To illustrate, assume that on January 9 a corporation issues 10,000 shares of no-par common stock at Br. 40 a share. On June 27, the corporation issues an additional 1,000 shares at Br. 36. The entries to record these issuances of the no-par stock are as follows:

|                                                 |         |
|-------------------------------------------------|---------|
| Cash.....                                       | 400,000 |
| Common Stock.....                               | 400,000 |
| Issued 10,000 shares of no-par common at Br. 40 |         |
| Cash.....                                       | 36,000  |
| Common Stock.....                               | 36,000  |
| Issued 1,000 shares of no-par common at Br. 36  |         |

In some states, no-par stock may be assigned a *stated value per share*. The **stated value** is recorded like a par value. Any excess of the proceeds over the **stated value** is credited to ***Paid-***



*in Capital in Excess of Stated Value.*

## Illustration 2

To illustrate, assume that in the preceding example the no-par common stock is assigned a stated value of \$25. The issuance of the stock on January 9 and June 27 is recorded as follows:

|                                                |         |
|------------------------------------------------|---------|
| Cash.....                                      | 400,000 |
| Common Stock.....                              | 250,000 |
| Paid-In Capital in Excess of Stated Value..... | 150,000 |

Issued 10,000 shares of no-par common at Br.40; stated value, Br. 25.

|                                                |        |
|------------------------------------------------|--------|
| Cash.....                                      | 36,000 |
| Common Stock.....                              | 25,000 |
| Paid-In Capital in Excess of Stated Value..... | 11,000 |

Issued 1,000 shares of no-par common at Br. 36; stated value, Br. 25.

### f. Issuing Common Stock for Services

Corporations also may issue stock for services (compensation to attorneys or consultants)

To illustrate, assume that attorneys have helped Anbesa Corporation incorporate. They have billed the company Br. 5,000 for their services. They agree to accept 4,000 shares of Br. 1 par value common stock in payment of their bill. At the time of the exchange, there is no established market price for the stock. In this case, **the fair value of the consideration received, Br. 5,000,** is more clearly evident. Accordingly, Anbesa Company makes the following entry.

|                                                     |       |
|-----------------------------------------------------|-------|
| Organization Expense .....                          | 5,000 |
| Common Stock .....                                  | 4,000 |
| Paid-in Capital in Excess of Par—Common Stock ..... | 1,000 |

(To record issuance of 4,000 shares of \$1 par value stock to attorneys)



## Lecture synopsis

In this session of the module the following item was covered

- ✓ Corporate Capital is raised by the issuance of share
- ✓ Accounting for Share Transactions
  - Par value stock issued for cash
  - Par value stock issued on a subscription basis: on a credit base
  - Issuance of stock for Asset: as an exchange of asset
  - Issuance of No-Par Stock : at a stated price or agreed price
  - Issuing Common Stock for Services: share as na exchange of different service taken by the corporation

## Warp-up questions

- How is a stock issuance treated when it is sold for cash?
- When does a discount or premium on issuance of shares arise?

## Next day's assignment

Kelifa Corporation was organized on January 1, 2012. It is authorized to issue 20,000 shares of 6%, Br. 40 par value preferred stock, and 500,000 shares of no-par common stock with a stated value of Br. 2 per share. The following stock transactions were completed during the first year.

Jan. 10 Issued 100,000 shares of common stock for cash at Br. 3 per share.

Mar. 1 Issued 10,000 shares of preferred stock for cash at Br. 55 per share.

Apr. 1 Issued 25,000 shares of common stock for land. The asking price of the land was Br. 90,000. The company's estimate of fair value of the land was Br. 75,000.

May 1 Issued 75,000 shares of common stock for cash at Br. 4 per share.

Aug. 1 Issued 10,000 shares of common stock to attorneys in payment of their bill for Br. 50,000 for services provided in helping the company organize.

Sept. 1 Issued 5,000 shares of common stock for cash at Br. 6 per share.

Nov. 1 Issued 2,000 shares of preferred stock for cash at Br. 60 per share.



**Instructions: - Journalize the transactions.**

➤ **Please read about**

- treasury stock
- accounting for dividend
- Earnings per share
- Reporting shareholders equity on the Statement of Financial Position

## **Session 21**

### **6.2.8 Accounting process for Dividend, Treasury stock and Earning per share**

#### **Session learning objectives:**

Dear students after completion of this session you should be able to understand the accounting process for

- Dividend of share company
- Treasury share transaction
- Presentation of Earning per share

#### **Reading assignment discussion**

- a. What is treasury stock?
- b. What are the different types of dividend distribution process?

#### **Reading text**

##### **I. Accounting for Dividends**

When a board of directors declares a **cash dividend**, it authorizes the distribution of cash to stockholders.

When a board of directors declares a **stock dividend**, it authorizes the distribution of its stock.

In both cases, **declaring a dividend reduces the retained earnings** of the corporation.

##### **a. Cash Dividends**



A cash distribution of earnings by a corporation to its shareholders is a **cash dividend**. Although dividends may be paid in other assets, cash dividends are the most common.

**Three conditions for a cash dividend are as follows:**

1. Sufficient balance in the retained earnings account
2. Sufficient balance in the cash account
3. Formal action (declaration) by the board of directors

There must be a sufficient (large enough) balance in Retained Earnings to declare a cash dividend. That is, the balance of Retained Earnings must be large enough so that the dividend does not create a debit balance in the retained earnings account.

Three dates included in a dividend announcement are as follows:

### **1. Date of declaration**

On the declaration date, the board of directors formally declares (authorizes) the cash dividend and announces it to shareholders. Declaration of a cash dividend commits the corporation to a legal obligation. The obligation is binding and cannot be rescinded. The company makes an entry to recognize the increase in Cash Dividends and the increase in the liability Dividends Payable.

Cash Dividends .....xxx

Dividends payable .....xxx

### **2. Date of record**

At the **record date**, the company determines ownership of the outstanding shares for dividend purposes. The shareholders' records maintained by the corporation supply this information. In the interval between the declaration date and the record date, the corporation updates its share ownership records. No entry is required on this date because the corporation's liability recognized on the declaration date is unchanged..... *No entry necessary*

### **3. Date of payment**

On the **payment date**, the company makes cash dividend payments to the shareholders of record and records the payment of the dividend.



Dividend Payable ..... xxx

Cash.....xxx

## Illustration

To illustrate, assume that on October 1 Hiber Corporation declares the cash dividends shown below with a date of record of November 10 and a date of payment of December 2.

|                                                                  | Dividend | Total      |
|------------------------------------------------------------------|----------|------------|
| per Share      Dividends                                         |          |            |
| Preferred stock, Br. 100 par, 5,000 shares outstanding . . . . . | Br. 2.50 | Br. 12,500 |
| Common stock, Br. 10 par, 100,000 shares outstanding ..... .     | Br. 0.30 | 30,000     |
| Total . . . . .                                                  |          | Br. 42,500 |

- On October 1, the declaration date, Hiber Corporation records the following entry:

Cash Dividends.....42,500

Cash Dividends Payable.....42,500

*-Declared cash dividends*

- On November 10, the date of record, no entry is necessary. This date merely determines which stockholders will receive the dividends. On December 2, **the date of payment**, Hiber Corporation records the payment of the dividends as follows:

Cash Dividends Payable.....42,500

Cash.....42,500

*Paid cash dividends.*

At the end of the accounting period, the balance in Cash Dividends will be transferred to Retained Earnings as part of the closing process.

## b. Stock Dividends

A **stock dividend** is a distribution of shares of stock to stockholders. Stock dividends are normally declared only on common stock and **issued to common stockholders**. The recording



of a **stock dividend affects only stockholders' equity**. Specifically, the amount of the stock dividend is transferred from Retained Earnings to Paid-in Capital. The amount transferred is normally the fair value (market price) of the shares issued in the stock dividend.

## Types of stock dividend

### 1. Small stock dividend

IFRS is silent regarding the accounting for share dividends. One approach used in some countries is that if the company issues a **small share dividend** (less than 20–25% of the corporation's issued shares), the value assigned to the dividend is the fair value per share. This treatment is based on the assumption that a small share dividend will have little effect on the market price of the shares previously outstanding. Thus, many shareholders consider small share dividends to be distributions of earnings equal to the fair value of the shares distributed.

### 2. Large stock dividend

If a company issues a large share dividend (greater than 20–25%), the value assigned to the dividend is the par or stated value.

## Illustration

To illustrate, assume that the stockholders' equity accounts of XYZ Corporation as of December 15 are as follows:

|                                                          |                |
|----------------------------------------------------------|----------------|
| Common Stock, Br. 20 par (2,000,000 shares issued) ..... | Br. 40,000,000 |
| Paid-In Capital in Excess of Par—Common Stock .....      | 9,000,000      |
| Retained Earnings .....                                  | 26,600,000     |

On December 15, XYZ Corporation declares a stock dividend of 5% or 100,000 shares (2,000,000 shares 5%) to be issued on January 10 to stockholders of record on December 31. The market price of the stock on December 15 (the date of declaration) is Br. 31 per share.

|                                    |           |
|------------------------------------|-----------|
| Stock Dividends.....               | 3,100,000 |
| Stock Dividends Distributable..... | 2,000,000 |



Paid-In Capital in Excess of Par—Common Stock....1,100,000

**Declared 5% (100,000 Share) stock dividend on Br. 20 par common stock with a market price of Br. 31 per share.**

On January 10, the stock dividend is distributed to stockholders by issuing 100,000 shares of common stock. The issuance of the stock is recorded by the following entry:

Stock Dividends Distributable.....2,000,000

Common Stock.....2,000,000

Issued stock as stock dividend

### Note

A stock dividend does not change the assets, liabilities, or total stockholders' equity of a corporation. Likewise, a stock dividend does not change an individual stockholder's proportionate interest (equity) in the corporation.

To illustrate, assume a stockholder owns 1,000 of a corporation's 10,000 shares outstanding. If the corporation declares a 6% stock dividend, the stockholder's proportionate interest will not change as shown in the following page :

|                               | Before                       | After                      |
|-------------------------------|------------------------------|----------------------------|
| <b><u>Stock Dividend</u></b>  | <b><u>Stock Dividend</u></b> |                            |
| Total shares issued .....     | 10,000 .....                 | 10,600[10,000+(10,000X6%)] |
| Number of shares owned .....  | 1,000.....                   | 1,060 [1,000 (1,000X6%)]   |
| Proportionate ownership ..... | 10% (1,000/10,000).....      | 10% (1,060/10,600)         |



## II. Accounting for Treasury Stock

Treasury stock is a stock (common or preferred) that a corporation has issued and then reacquired. A corporation may reacquire (purchase) its own stock for a variety of reasons including the following:

- To provide shares for resale to employees
- To reissue as bonuses to employees, or
- To support the market price of the stock
- To increase Earnings per share by reducing the number of shares outstanding
- To reduce dividend payment by reducing the number of shares outstanding
- To use the shares acquired for stock dividend

Treasury stock does not reduce the number of shares issued, but does reduce the number of outstanding shares. The purchase of treasury stock decrease both assets and stockholders' equity. Moreover, treasury stock does not carry voting, dividend, preemptive, or liquidating rights and is not assets.

The cost method is normally used for recording the purchase and resale of treasury stock. Using the cost method, Treasury Stock is debited for the cost (purchase price) of the stock. When the stock is resold, Treasury Stock is credited for its cost. Any difference between the cost and the selling price is debited or credited to Paid-In Capital from Sale of Treasury Stock.

### Illustration

To illustrate, assume that a corporation has the following paid-in capital on January 1:

|                                                                     |                    |
|---------------------------------------------------------------------|--------------------|
| Common stock, Br. 25 par (20,000 shares authorized and issued)..... | Br. 500,000        |
| Excess of issue price over par .....                                | <u>150,000</u>     |
|                                                                     | Br. <u>650,000</u> |

On February 13, the corporation purchases 1,000 shares of its common stock at Br.45 per share. The entry to record the purchase of the treasury stock is as follows:



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Treasury Stock .....45,000

Cash.....45,000

*Purchased 1,000 shares of treasury stock at Br. 45*

On April 29, the corporation sells 600 shares of the treasury stock for Br. 60. The entry to record the sale is as follows:

Cash.....36,000

Treasury Stock(600X45).....27,000

Paid-In Capital from Sale of Treasury Stock ..... 9,000

*Sold 600 shares of treasury stock at Br. 60*

A sale of treasury stock may result in a decrease in paid-in capital. To the extent that Paid-In Capital from Sale of Treasury Stock has a credit balance, it is debited for any such decrease. Any remaining decrease is then debited to the retained earnings account.

To illustrate, assume that on October 4, the corporation sells the remaining 400 shares of treasury stock for Br. 40 per share. The entry to record the sale is presented in the following page:

Cash.....16,000

Paid-In Capital from Sale of Treasury Stock..... 2,000

Treasury Stock.....18,000

*Sold 400 shares of treasury stock at Br. 40*

**Note that:** - No dividends (cash or stock) are paid on the shares of treasury stock.

### Exercise

1. On May 3, Hope Corporation reacquired 3,200 shares of its common stock at Br. 42 per share.



2. On July 22, Hope sold 2,000 of the reacquired shares at Br. 47 per share.
3. On August 30, Hope sold the remaining shares at Br. 40 per share.

### **Required**

Journalize the transactions of May 3, July 22, and August 30.

### **III. Reporting Stockholders' Equity**

As with other sections of the balance sheet, alternative terms and formats may be used in reporting stockholders' equity. Also, changes in retained earnings and paid-in capital may be reported in separate statements or notes to the financial statements.

### **Illustration**

Using the following accounts and balances, prepare the Stockholders' Equity section of the balance sheet. Forty thousand shares of common stock are authorized, and 5,000 shares have been reacquired the presentation of these information is shown in the following table:

|                                                  |               |
|--------------------------------------------------|---------------|
| Common Stock, Br. 50 par .....                   | Br. 1,500,000 |
| Paid-In Capital in Excess of Par .....           | 160,000       |
| Paid-In Capital from Sale of Treasury Stock..... | 44,000        |
| Retained Earnings .....                          | 4,395,000     |
| Treasury Stock .....                             | 120,000       |

### **Stockholders' Equity**

#### **Paid in capital**

|                                                                                   |                |               |
|-----------------------------------------------------------------------------------|----------------|---------------|
| Common stock, Br. 50 par<br>(40,000 shares authorized, 30,000 shares issued)..... | Br. 1,500,000  |               |
| Excess of issue price over par.....                                               | <u>160,000</u> | Br. 1,660,000 |



|                                                           |               |
|-----------------------------------------------------------|---------------|
| From sale of treasury stock.....                          | 44,000        |
| <b>Total paid-in capital</b> .....                        | Br. 1,704,000 |
| <b>Retained earnings</b> .....                            | Br. 4,395,000 |
| <b>Total</b> .....                                        | Br. 6,099,000 |
| <i>Deduct treasury stock (5,000 shares at cost)</i> ..... | 120,000       |
| <b>Total stockholders' equity</b> .....                   | Br. 5,979,000 |

#### IV. Reporting Retained Earnings

Changes in retained earnings may be reported using one of the following:

1. Separate retained earnings statement
2. Combined income and retained earnings statement
3. Statement of stockholders' equity Changes in retained earnings may be reported in a separate retained earnings statement.

When a separate **retained earnings statement is prepared, the beginning balance** of retained earnings is reported.

#### V. Equity per share of corporation

The amount appearing on the balance sheet as total stockholders' equity can be stated in terms of the equity per share. When there is only one class of stock, the equity per share is determined by dividing total stockholders' equity by the number of shares outstanding. For a corporation with both preferred and common stock, it is necessary first to allocate the total equity between the two classes.

The computation of earnings per shares are as follows:

Preferred EPS =  $\frac{\text{Equity allocated to preferred stock}}{\text{Number of o/s shares of preferred stock}}$

Common EPS =  $\frac{\text{Equity allocated to common stock}}{\text{Number of o/s shares of common stock}}$

Number of o/s shares of common stock



*For example,* assume that the total number of outstanding common stock of ABC Corp. is 20,000. During the year the common stock holders portion of cash dividend was Br. 100,000. Therefore, the earning per share (EPS) of the year is:

Common EPS = Equity allocated to common stock

Number of o/s shares of common stock

$$= \frac{\text{Br. 100,000}}{20,000}$$

EPR= Br. 10/share

### **Retained Earnings**

Recall that retained earnings is net income that a company retains in the business. The balance in retained earnings is part of the shareholders' claim on the total assets of the corporation. It does not, though, represent a claim on any specific asset. Nor can the amount of retained earnings be associated with the balance of any asset account. For example, a Br. 10,000,000 balance in retained earnings does not mean that there should be Br. 10,000,000 in cash. The reason is that the company may have used the cash resulting from the excess of revenues over expenses to purchase buildings, equipment, and other assets.

Remember that when a company has net income, it closes net income to retained earnings. The closing entry is a debit to Income Summary and a credit to Retained Earnings. When a company has a net loss (expenses exceed revenues), it also closes this amount to retained earnings. The closing entry in this case is a debit to Retained Earnings and a credit to Income Summary. This is done even if it results in a debit balance in Retained Earnings. Companies do not debit net losses to share capital or share premium. If cumulative losses exceed cumulative income over a company's life, a debit balance in Retained Earnings results

### **Lecture Synopsis**

The following points was discussed in this session

- ✓ The accounting treatment of profit share (dividend) of corporation



- ✓ The nature, treatment and reissuance of treasury stocks of corporation
- ✓ The basic component of stockholders equity of corporations
- ✓ The separate calculation of equity per share for preferred stocks and common stocks by analyzing liquidation price for preferred stocks

### **Warp-up questions**

- What are the different types of dividend distribution?
- What are the three criteria to be fulfilled by stocks in order to be categorized as treasury stocks?
- How do we record the purchase of treasury stocks?
- At the time of issuance of treasury stocks, how is a premium or discount calculated on treasury stocks?
- What does equity per share means?
- How do we calculate equity per share of common stock and preferred stocks?

### **Next week assignment**

1. On May 10, Cokeb Corporation issues 2,000 Br. 6 par value ordinary shares for cash at Br. 13 per share. Journalize the issuance of the shares.
2. On June 1, Feriha Inc. issues 4,000 no-par ordinary shares at a cash price of Br. 6 per share. Journalize the issuance of the shares assuming the shares have a stated value of Br. 2 per share.
3. Adulala Inc.'s Br. 10 par value ordinary shares are actively traded at a market price of Br. 15 per share. Alou issues 5,000 shares to purchase land advertised for sale at Br. 81,000. Journalize the issuance of the shares in acquiring the land.
4. On July 1, River Corporation purchases 500 of its Br. 20 par value ordinary shares for the treasury at a cash price of Br. 80 per share. On September 1, it sells 300 treasury shares for cash at Br. 90 per share. Journalize the two treasury share transactions.



5. Chard Inc. issues 5,000 Br. 100 par value preference shares for cash at Br. 118 per share. Journalize the issuance of the preference shares.
6. Fields Corporation has 80,000 ordinary shares outstanding. It declares a Br. 2 per share cash dividend on November 1 to shareholders of record on December 1. The dividend is paid on December 31. Prepare the entries on the appropriate dates to record the declaration and payment of the cash dividend.
7. Valiant Corporation has 56,000 Br. 10 par value ordinary shares outstanding. It declares a 10% share dividend on December 1 when the market price per share is Br. 16. The dividend shares are issued on December 31. Prepare the entries for the declaration and payment of the share dividend.
8. The equity section of Neely Corporation consists of share capital—ordinary (Br. 10 par) Br.2,000,000 and retained earnings Br. 500,000. A 15% share dividend (30,000 shares) is declared when the market price per share is £14. Show the before-and-after effects of the dividend on the following.
  - a. The components of equity.
  - b. Shares outstanding.
  - c. Par value per share.
9. For the year ending December 31, 2014, Abbott Inc. reports net income Br. 140,000 and dividends Br. 55,000. Prepare the retained earnings statement for the year assuming the balance in retained earnings on January 1, 2014, was Br. 220,000.

### Next day assignment

Please read on the characteristics, formation and net income distribution of partnership business organization.



## **Chapter 7 Public enterprises in Ethiopia (4 hours)**

### **Session 26**

#### **Topics: Accounting for Establishing of Public Enterprise**

#### **Learning objective:**

**At the end of this session, students are expected to:**

- Describe the meaning and characteristics of public enterprise
- Understand the overview of proclamations pertinent to public enterprises
- Describe the organization, operation, and liquidation of public enterprises

#### **Reading assignment discussion:**

- a. What is public enterprise?
- b. What are the characteristics of public enterprise?
- c. What is the meaning of privatization of public enterprise?

#### **Reading text**

### **7.1 Introduction to the Nature and Meaning of public enterprise**



## Definition of public enterprise

*“Public enterprises are autonomous or semi-autonomous corporations and companies established, owned and controlled by the state and engaged in industrial and commercial activities.”* Public enterprises as a form of business organization have gained importance only in recent times. At present, governments of almost all countries in the world are participating in economic activities in one or the other way. State enterprise is considered necessary to reduce economic inequality and to prevent concentration of wealth in a few hands.

“Enterprise” means a wholly state owned public enterprise established pursuant to carry on for gain manufacturing, distribution, service rendering or other economic and related activities;

### 7.1.1 Types of Public Enterprises

Public enterprises may be classified based on their organization and function. Organizationally, the establishment of a public enterprise may belong to any of the three categories – public corporations created by statute; government companies governed by the same law as private enterprises; and societies registered for the purpose of undertaking commercial activity. But, in Ethiopia, the last items have separate legal regime and they are referred to as cooperative societies and not public enterprises even if they have the attainment of social purpose as their goal. Functionally, public enterprise may be broadly classified as financial institutions (insurance, banking), promotional and Development undertakings, and commercial & industrial undertakings.

For legal purposes, however, the above is not a good classification. A more useful division can be made based on the forms of business organization they assume. Much of the discourse on structure centers on the relative merits of different organizational forms, principally the government department, the public corporation and the company. It focuses on the compromise between public control and autonomy in pursuing of virtues of efficiency and end realization.

The following except gives, a background on the need for autonomous organization of a public enterprise outside the government’s structure.

### 7.1.2 Characteristics of Public Enterprises:

#### (i) Financed by Government:



Public enterprises are financed by the government. They are either owned by the government or majority shares are held by the government. In some undertakings private investments are also allowed but the dominant role is played by the government only.

### **(ii) Government Management:**

Public enterprises are managed by the government. In some cases government has started enterprises under its own departments. In other cases, government nominates persons to manage the undertakings. Even autonomous bodies are directly and indirectly controlled by the government departments.

### **(iii) Financial Independence:**

Though investments in government undertakings are done by the government, they become financially independent. They are not dependent on the government for their day- to-day needs. These enterprises arrange and manage their own finances. An element of profitability is also considered while pricing their products. It has helped the enterprises to finance their growth themselves.

### **(iv) Public Services:**

The primary aim of state enterprises is to provide service to the society. These enterprises are started with a service motive. A private entrepreneur will start a concern only if possibilities of earning profits exist but this is not the purpose of public enterprises.

### **(v) Useful for Various Sectors:**

State enterprises do not serve a particular section of the society but they are useful for everybody. They serve all sectors of the economy.



### **(vi) Direct Channels for Using Foreign Money:**

Most of the government to government aid is utilized through public enterprises. Financial and technical assistance received from industrially advanced countries is used in public enterprises.

### **(vii) Helpful in Implementing Government Plans:**

Economic policies and plans of the government are implemented through public enterprises

### **(viii) Autonomous or Semi-autonomous Bodies:**

These enterprises are autonomous or semi-autonomous bodies. In some cases they work under the control of government departments and in other cases they are established under statutes and under Companies Act.

## **7.2 Overview of proclamations pertinent to public enterprises**

### **I. Establishment Regulations**

Every enterprise shall be established by regulations to be issued pursuant to the public enterprise proclamation. The establishment regulations shall contain:

1. The name of the enterprise;
2. A statement that the enterprise shall be governed by this Proclamation;
3. The purposes for which the enterprise is established;
4. The authorized capital;
5. The amount of the initial capital paid up both in cash and in kind;
6. A statement that the enterprise shall not be liable beyond its total assets;
7. The head office of the enterprise;
8. A statement that may authorize the enterprise to open branches;



9. The name of the supervising authority;
10. The duration for which the enterprise is established.

## **II. Legal Personality and Liability of public Enterprise**

- 1) An enterprise shall have legal personality and as such it shall have rights and duties.
- 2) An enterprise may not be held liable beyond its total assets.

## **III. Address of a Public Enterprise**

The address of an enterprise shall be the place where its head office is situated.

## **IV. Capacity of Public Enterprises**

- 1) An enterprise shall have such capacity as is necessary to accomplish its purpose and to perform related activities.
- 2) Without limiting the generality of sub-article 1 of this Article, an enterprise shall have the capacity to:
  - a) Sue and be sued in its own name;
  - b) Acquire, possess, own, and dispose of, pledge and mortgage moveable and immovable property;
  - c) Enter into contracts and borrow money;
  - d) Issue and accept commercial and other instruments;
  - e) Open and operate bank accounts;
  - f) Invest money.



## **V. Organization of Public Enterprise**

As long as operation is concerned, each enterprise shall have:

- 1) a supervising authority;
- 2) a management board;
- 3) a general manager, deputy general managers as may be necessary; and
- 4) the necessary staff.

## **. VI. Capital needed to establish a Public Enterprise.**

- 1) Any enterprise shall have capital.
- 2) The supervising authority shall cause the initial capital needed to establish an enterprise to be allocated by the Government. The capital may be paid in cash or in kind. Where it is paid in kind the supervising authority shall ensure that the property is correctly valued by experts in accordance with Article 5 of this Proclamation or in conformity with the book value thereof.

## **VII. Paid up and Authorized Capital of Public Enterprise In Ethiopia**

The proclamation clearly indicates that:

- 1) The amount of the paid up capital of an enterprise at the time of its establishment shall not be less than 25% of its authorized capital.
- 2) The authorized capital of an enterprise shall be fully paid up within 5 years from the date of its establishment.
- 3) Where the authorized capital is not fully paid up as provided under sub-article 2 of this Article, the supervising authority shall, without prejudice to the rights of third parties, adjust the capital to the level of the paid up capital.



### ➤ **Increase of Authorized Capital of Public Enterprise**

The supervising authority may cause the funds needed to increase the capital of an enterprise to be allocated by the Government or to be paid out of the net profits of the enterprise.

### ➤ **Decrease of Capital**

The capital of an enterprise may without prejudice to the rights of third parties, be decreased where:

- 1) The auditors have proposed that the capital should be decreased;
- 2) It was decided to decrease the capital following a proposal by the board to this effect;
- 3) The authorized capital of the enterprise has not been fully paid as provided

## **VIII. Accounts of Public Enterprises**

As business entities, public enterprises are expected to exhibit prudent accounting practices. The fact that they are created to attain a certain social policy goal on the behalf of the public makes them amenable to high degree of compliance with established accounting principles, and marks the importance of external auditing system over the financial record of the public enterprise. The Proclamation provides for certain guidelines of accounting and auditing.

### **7.3 Accounting Principles of Public Enterprises**

An enterprise, just like private traders and enterprises, is required to keep books of accounts following International Public Sector Accounting Standards (IPSAS). Accordingly, a public enterprise should draw up and maintain the two important accounting records: Statement of Financial Position and the profit and loss account. The provisions in the proclamation regarding the keeping of accounts are not detailed enough. The proclamation promises that the supervising authority issues directives on the details of the accounting aspect of the enterprise



## **I. Financial Year, Closing of Accounts and Annual Reports**

- 1) The financial year of an enterprise shall be determined by the supervising authority.
- 2) Any enterprise shall close its accounts at least once a year. The annual closing of accounts shall be completed within three months following the end of the financial year.
- 3) The enterprise shall prepare a report on the state of its activities and affairs during the last financial year, including a statement of achievements and major plans and programmes to be implemented in the near future.
- 4) Failure to close, in due time, the accounts of an enterprise in accordance with sub-article 2 of this Article may entail liability.

## **II. Payment of Taxes and Duties**

In Ethiopian legal regime of taxation, almost all tax legislations include public enterprises into tax-paying category of persons though deductions and exemptions may be granted in certain justifiable cases. Thus, despite the Public Enterprise Proclamation's provision for the exemption of public enterprise from tax on its activities as a whole, the various tax laws recognize them as separate corporate entities from the government and oblige them as a matter of principle to pay taxes. Therefore,

- 1) The relevant laws concerning taxes and duties shall be applicable to enterprises.
- 2) Nothing in the proclamation shall affect the right of an enterprise to be exempt from taxes and duties and any other right under any other law.

## **III. Payment of State Dividend**

It is a fact of the business world that the net profit obtained by a legal business organization is ultimately to accrue into the patrimony of the owner or the shareholders as the case may be. The state is an owner of public enterprises, and it is legitimately entitled to receive dividends on the capital it has invested in public enterprise. The Public Enterprises Proclamation No.25/92 and the



Distribution of Profits of Public Enterprises Regulation No.107/2004 both provide for the payment of state dividend. Any public enterprise shall pay to the Government state dividend within seven months following the end of the financial year.

## **7.4 Dissolution and winding-up of Public Enterprise**

### **I. Grounds for Dissolution**

An enterprise may be dissolved for any one of the following reasons:

- 1) The expiry of the life of the enterprise as fixed in its establishment regulations;
- 2) Completion of the venture for which the enterprise was established;
- 3) Failure of the purpose or impossibility of performance;
- 4) Loss of 75% of the paid up capital of the enterprise;
- 5) A decision of the Council of Ministers affecting the existence of the enterprises;
- 6) Decision of the court declaring the enterprise bankrupt.

### **II. Bankruptcy and Winding-up**

- 1) The provisions of the Commercial Code shall apply to the winding-up of an enterprise declared bankrupt.
- 2) The Commercial Code of Ethiopia indicate that, the court may decide that bankruptcy proceedings of an enterprise be conducted by way of summary procedure.

### **Appointment, Duties and Powers of Liquidators**

- 1) The supervising authority, shall appoint one or more liquidators that could satisfy the criteria set by the Auditor General and who are not employees of the enterprise. The supervising



authority may dismiss the liquidators and replace them with other liquidators for good cause.

2) The liquidators shall take possession of the books and accounts of the enterprise under liquidation.

3) Unless the supervising authority decides otherwise, the liquidators shall take possession of the property of the enterprise and shall assume the powers and duties of the board and the general manager under this Proclamation; provided, however, that the liquidators may not undertake new business unless required for the execution of contracts still running or where the interests of the winding-up so require.

4) The board shall prepare a report for the liquidators on the affairs of the enterprise covering the period from the end of the last financial year to the date of the opening of the winding-up.

5) The liquidators and the board shall jointly prepare and sign a statement of affairs summarizing the rights and obligations of the enterprise.

6) Unless the supervising authority decides otherwise, the board and the general manager shall assist the liquidators in carrying out their duties.

## **Lecture synopsis**

The last chapter of this module was dedicated to summarize the establishment and operation of public enterprise. It includes:

- ✓ Definition of public enterprise: - companies established, owned and controlled by the state and engaged in industrial and commercial activities
- ✓ Types of Public Enterprises: - more useful division can be made based on the forms of business organization they assume
- ✓ Characteristics of Public Enterprises: which includes
  - Financed by Government
  - Government Management
  - Financial Independence



- Public Services:
  - Useful for Various Sectors:
  - Direct Channels for Using Foreign Money:
  - Helpful in Implementing Government Plans
  - Autonomous or Semi-autonomous Bodies
- 
- ✓ Establishment Regulations summarizes on how the public enterprise established
  - ✓ Overview of proclamations pertinent to public enterprises is tried to cover on this part of the module
  - ✓ Legal Personality and Liability of public Enterprise is similar to private companies
  - ✓ Capital needed to establish a Public Enterprise
  - ✓ Accounts of Public Enterprises are somehow similar with accounts of private organization
  - ✓ Dissolution and winding-up of Public Enterprise is based on *Grounds for Dissolution*
  - ✓ Bankruptcy and Winding-up Appointment, Duties and Powers of Liquidators is performed by supervising authority set by the Auditor General

### Chapter summary questions

1. What are the major characteristics of a public enterprise?
2. Explain in brief the establishment criteria of public enterprises?
3. How is the process of Dissolution and winding-up of Public Enterprise in Ethiopian context?
- 4.